Morgan Stanley Canada Limited
181 Bay Street, Toronto, ON, M5J 2Y3

Policy No.: 8835467

Policy Period:
From: 12:01 A.M. on December 15, 2025
To: 12:01 A.M. on December 15, 2026
Local time at the First Named Insured address

Contact to report a claim:

Zurich, Claims Department
Attn: New Claims
100 King Street West, Suite 5500

P.O. Box 290,
Toronto, ON M5X 1C9

Email: claims@zurich.com
Telephone: (866) 345-3454
Fax: (877) 977-8077

Privacy Consent Notice

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For the purpose of *the Insurance Companies Act* (Canada), this document was issued in the course of the Company's insurance business in Canada.

The Zurich Edge II
Declarations

ZURICH

SECTION 1 – POLICY INFORMATION

1.1. INSURING AGREEMENT

This Policy Insures against direct physical loss of or damage from a **Covered Cause of Loss** that commences during the Policy Period, to Property Insured at an Insured Location, all subject to the terms, conditions and exclusions stated in this Policy.

No coverage can be provided in violation of any Canadian economic or trade sanctions laws or regulations. Such coverage, which may be in violation of any Canadian economic or trade sanctions laws or regulations, shall be null and void and the Company shall not be liable to make any payments or provide any defence under this policy.

This policy contains a clause(s) that may limit the amount payable

1.2. POLICY NUMBER

8835467

hereinafter referred to as this "Policy".

1.3. NAMED INSURED AND MAILING ADDRESS

Morgan Stanley Canada Limited
181 Bay Street,
Toronto, ON, M5J 2Y3

hereinafter referred to as the **First Named Insured**.

The following are all hereinafter referred to as the "Insured", including legal representatives.

The **First Named Insured** and any subsidiary of the **First Named Insured**. The **First Named Insured**'s interest in any partnership, joint venture or other legal entity in which the **First Named Insured** has management control or ownership as now constituted or hereinafter is acquired.

1.4. BROKER INFORMATION

AON REED STENHOUSE INC.
20 BAY STREET
TORONTO, ON, M5J 2N9

1.5. POLICY PERIOD

Begins December 15, 2025 at 12:01 AM; Ends December 15, 2026 at 12:01 AM.

In the event of a claim, the Policy Period is measured by local time at the location where the loss or damage occurs.

1.6. COMPANY

Insurance is provided by the following insurance company:

Zurich Insurance Company Ltd

hereinafter referred to as the "Company".

1.7. SHARE

Proportionate Share of Company for Loss or Damage:

The Company's proportionate share of loss or damage after the application of any deductible amount is:

100% Quota Share: Being $137,692,000 part of a $137,692,000 primary loss layer.

1.8. PREMIUM

Total Policy Premium: $203,480

1.9. PREMIUM PAYABLE

This Policy is issued in consideration of an initial premium. The **First Named Insured** shown on the Policy is responsible for the payment of all premiums and will be the payee for any return premiums paid by the Company. Premiums will be paid in the currency designated in Section 2.2. Currency.

1.10. TERRITORY

Coverage under this Policy applies to all covered loss or damage that takes place in Canada.

SECTION 2. – POLICY APPLICABILITY

2.1. INSURED LOCATION

This Policy insures an Insured Location unless otherwise provided.

An Insured Location is a **Location**:

a. Listed on a schedule on file with Company per most recent statement of values;

b. Covered as a **Miscellaneous Unnamed Location**; or

c. Covered under the terms and conditions of the Newly Acquired or Errors and Omissions Coverages.

2.2. CURRENCY

All amounts, including deductibles and Limits of Liability, indicated in this Policy are in the lawful currency of Canada unless otherwise indicated by a three-letter currency designator that is defined by the International Standards Organization's currency codes - ISO 4217, as amended.

2.3. POLICY LIMITS OF LIABILITY

The Policy Limit is **$137,692,000** for the total of all coverages combined regardless of the number of **Locations** involved subject to the following provisions:

a. The Company will pay no more in any one (1) **Occurrence** than its proportionate share of the Policy Limit.

b. Limits of Liability stated below or elsewhere in this Policy are part of and not in addition to the Policy Limit.

c. When an **Annual Aggregate** Limit of Liability is shown, the Company's maximum amount payable will not exceed such **Annual Aggregate** Limit of Liability.

d. The most the Company will pay in an **Occurrence** caused by a **Described Cause of Loss** is the Limit of Liability for that **Described Cause of Loss**.

e. Limits of Liability in an **Occurrence** apply to the total loss or damage, including any insured Time Element loss, at all **Locations** and for all coverages involved.

f. Limits of Liability

The following are the Limits of Liability (including Time and Distance limitations) in any one (1) **Occurrence** unless otherwise shown. The Company will pay no more in any one (1) **Occurrence** than its proportionate share.

Where **NCP** is shown in the Declarations for any Special Coverage, **Described Cause of Loss** or portion of coverage, any loss or damage caused by or falling within the coverage provided by that Special Coverage, **Described Cause of Loss** or portion of coverage, is not covered under this Policy.

(1) PROPERTY DAMAGE AND TIME ELEMENT

Limits of Liability	**Coverage Part**
$137,692,000	PD & TE combined at scheduled **Locations** on file with the Company per the most recent Statement of Values TIME ELEMENT But not to exceed: PERIOD OF LIABILITY OF NCP, not to exceed NCP GROSS EARNINGS PERIOD OF LIABILITY OF 12 months, not to exceed $0 **GROSS PROFIT** RETRAINING OF EMPLOYEES NCP NCP EXTRA EXPENSE $137,692,000 LEASEHOLD INTEREST NCP EXTENDED PERIOD OF LIABILITY But not to exceed : **Ordinary Payroll**: 30 days, subject to a $137,692,000 limit of liability

(2) SPECIAL COVERAGES

Limits of Liability	**Coverage Part**
$137,692,000	ACCOUNTS RECEIVABLE

Limits of Liability	**Coverage Part**
NCP	BETTER GREEN™ UPGRADE
$137,692,000	BRANDS AND LABELS
60 days for property within 8 kilometers, not to exceed $137,692,000 limit	CIVIL OR MILITARY AUTHORITY
$137,692,000	CIVIL OR MILITARY ORDER PREVENTING SPREAD OF FIRE
$137,692,000	**CLOUD SERVICE** AND COMMUNICATION INTERRUPTION
NCP	COMPLETED CIVIL ENGINEERING STRUCTURES
NCP	**COMPUTER SYSTEMS DAMAGE** in the **Annual Aggregate**
NCP	CONTINGENT TIME ELEMENT
NCP	CONTRACT PENALTIES
NCP	COURSE OF CONSTRUCTION
NCP	CRISIS EVENT
$137,692,000	DEBRIS REMOVAL
$34,423,000	DECONTAMINATION COSTS
NCP	DEFERRED PAYMENTS
0 days not to exceed limit $68,846,000	DELAY IN COMPLETION starts after the Waiting Period of 0 days is exceeded
NCP	DOWN ZONING
NCP	EMERGENCY EVACUATION EXPENSE - IMPENDING LOSS in excess of NCP
$68,846,000	ERRORS AND OMISSIONS
$137,692,000	EXPEDITING COSTS
$68,846,000	FINE ARTS
$34,423,000	FIRE DEPARTMENT SERVICE CHARGE
NCP	HISTORICAL BUILDINGS PRESERVATION
30 days not to exceed $137,692,000 limit	IMPOUNDED WATER
$137,692,000	INCREASED COST OF CONSTRUCTION
60 days for property within 8 kilometers not to exceed $137,692,000 limit	INGRESS/EGRESS
$13,769,200	LAND AND WATER **CONTAMINANT** CLEANUP, REMOVAL AND DISPOSAL in the **Annual Aggregate**
$1,376,920	**LAND IMPROVEMENTS**
NCP	LEASE CANCELLATION
NCP	LOCKS AND KEYS
NCP	LOGISTICS EXTRA COST
NCP	METERED SERVICES
NCP	MISCELLANEOUS PERSONAL PROPERTY
$68,846,000	**MISCELLANEOUS UNNAMED LOCATION**
NCP	**MONEY** DURING NORMAL BUSINESS HOURS

Limits of Liability	Coverage Part
NCP	**MONEY** IN LOCKED SAFE OR VAULT
120 days not to exceed $137,692,000 limit	NEWLY ACQUIRED
0 days not to exceed $137,692,000	OFF PREMISES SERVICE INTERRUPTION
$34,423,000	PROFESSIONAL FEES
$34,423,000 Period of Time: 48 hours	PROTECTION AND PRESERVATION OF PROPERTY
NCP	RADIOACTIVE **CONTAMINATION**
0 months not to exceed $34,423,000 limit	RESEARCH AND DEVELOPMENT
NCP	RESEARCH ANIMALS
NCP	REWARD PAYMENTS
$13,769,200	SPOILAGE FROM ON PREMISES SERVICE INTERRUPTION
NCP	TENANTS ACCESS
NCP	TENANTS RELOCATION AND REPLACEMENT EXPENSE
NCP	TRANSIT
$137,692,000	VALUABLE PAPERS AND RECORDS

(3) **DESCRIBED CAUSES OF LOSS**

Limits of Liability	Coverage Part
$137,692,000	**BREAKDOWN** OF EQUIPMENT but not to exceed the following limits: $688,460 for Refrigerant $688,460 for Spoilage From **Breakdown** Of **Covered Equipment**
$137,692,000	**EARTH MOVEMENT** in the **Annual Aggregate** but not to exceed the following limits in the **Annual Aggregate**: $137,692,000 for specific **Locations:** Locations with TIV less than $25M • NCP for Property Insured covered under the Special Coverage titled Miscellaneous Personal Property. • NCP for coverage provided under the Special Coverage titled Newly Acquired. • NCP for coverage provided under the Special Coverage titled Miscellaneous Unnamed Locations. • For coverage provided under the Special Coverage titled Contingent Time Element:

Limits of Liability	Coverage Part
	(1) With respect to loss or damage at a **Direct Dependent Time Element Location**: (a) Unscheduled Locations - NCP limit of liability, in the **Annual Aggregate** . (b) Scheduled Locations - NCP limit of liability, in the **Annual Aggregate** . (2) With respect to loss or damage at an **Indirect Dependent Time Element Location**: NCP limit of liability, in the **Annual Aggregate** . (3) With respect to loss or damage at **Attraction Properties**: NCP limit of liability, in the **Annual Aggregate** .
$137,692,000	**FLOOD** in the **Annual Aggregate** but not to exceed the following limits in the **Annual Aggregate:** • $137,692,000 for Property Insured within a High Hazard Zone as described in Appendix E; but not to exceed $137,692,000 for 1404thAvenueSW,Calgary,AB $137,692,000 for 6003rdAvenueSW,Calgary,AB • Notwithstanding Zone limits of liability shown above, $137,692,000 for specific **Locations** Locations with TIV less than $25M • NCP for coverage provided under the Special Coverages titled as **Miscellaneous Unnamed Locations**. • NCP for coverage provided under the Special Coverages titled Miscellaneous Personal Property. • NCP for coverage provided under the Special Coverage titled Newly Acquired. • For coverage provided under the Special Coverage titled Contingent Time Element: (1) With respect to loss or damage at a **Direct Dependent Time Element Location**:

Limits of Liability	Coverage Part
	(a) Unscheduled Locations - NCP limit of liability, in the **Annual Aggregate** . (b) Scheduled Locations - NCP limit of liability, in the **Annual Aggregate** . (2) With respect to loss or damage at an **Indirect Dependent Time Element Location**: NCP limit of liability, in the **Annual Aggregate** . (3) With respect to loss or damage at **Attraction Properties:** NCP limit of liability, in the **Annual Aggregate** .
NCP	**NAMED STORM** in the **Annual Aggregate**

g. Causation Definition: The following term is included in the definition of the **Described Cause(s) of Loss** as indicated:

Storm Surge is part of **Flood**

h. Time Specifications as follows:

EARTH MOVEMENT Occurrence	168 hours
Flood Occurrence	72 hours
NAMED STORM Occurrence	72 hours
Cancellation for nonpayment of premium	15 days
Cancellation for any other reason	90 days

i. Valuation as follows:

Finished Stock	Replacement Cost
Merchandise that carries the Insured's brand or trade name	Replacement Cost
All other **Merchandise**	Replacement Cost
Vehicles	Actual Cash Value

2.4. QUALIFYING PERIOD

The **Qualifying Period** is the continuous period of time expressed in hours or days that must be exceeded before coverage under this Policy applies. For the Special Coverages and **Described Cause(s) of Loss** listed below the following **Qualifying Period** applies:

ATTRACTION PROPERTIES	NCP
CIVIL OR MILITARY AUTHORITY	12 Hours
CLOUD SERVICE AND COMMUNICATION INTERRUPTION	NCP
COMPUTER SYSTEMS DAMAGE	NCP
CRISIS EVENT applies separately at each Insured Location	NCP
INGRESS/EGRESS	12 Hours
LOGISTICS EXTRA COST	NCP
OFF PREMISES SERVICE INTERRUPTION applies separately at each Insured Location	12 Hours
SPOILAGE FROM ON PREMISES SERVICE INTERRUPTION applies separately at each Insured Location	NCP
TENANTS ACCESS applies separately at each Insured Location	NCP

2.5. DEDUCTIBLES

Each claim for loss, damage, cost or expense as insured against arising out of any one (1) **Occurrence** will be adjusted separately. The Company will not be liable for any claim made unless the Insured sustains a covered loss, damage, costs or expenses in excess of the deductible(s) stated below and then only for the proportionate share of such excess amount(s).

a. A deductible that applies on a per **Location** basis will apply separately to the loss, damage, cost or expense suffered at each **Location** where the loss or damage occurred regardless of the number of **Locations** involved in the **Occurrence**.

b. Unless stated otherwise, if two or more deductibles apply to an **Occurrence**, the total deducted will not exceed the largest applicable deductible. If two or more deductibles apply on a per **Location** basis in an **Occurrence**, the largest deductible applying to each **Location** will be applied separately to each such **Location**.

c. If separate Property Damage and Time Element loss deductibles are shown, those deductibles will apply separately.

d. When a "minimum deductible" per **Occurrence** is shown, the "minimum deductible" is the minimum dollar amount of covered damage that the Insured will retain in any one (1) **Occurrence**. The amount retained for purposes of applying the "minimum deductible" is the sum of:

    (1) The specified location deductible for each Insured Location where the amount of covered damage exceeds the specified location deductible; and

    (2) The amount of covered damage for each Insured Location where the amount of covered damage is less than the specified location deductible.

e. Percentage deductibles

    (1) When a deductible applies on a percentage basis, whether separately for each of Property Damage and Time Element or combined for Property Damage and Time Element, the deductible will be calculated as follows:

    Property Damage: The applicable percentage (%) of the following:

Value per the: most current Statement of Values on file with the Company

for the **Location** where the direct physical loss or damage occurred, per **Location**.

Time Element: The applicable percentage (%) of the full 12 months Gross Earnings or **Gross Profit** values that would have been earned (following the **Occurrence**) by use of the facilities at the **Location** where the direct physical loss or damage occurred and all other **Locations** where the Time Element loss ensues.

(2) When a deductible applies on a percentage basis to property that is:

(a) In any one or more of the following states of construction: New construction, renovation or additions being made; or

(b) Covered under the Errors and Omissions, Miscellaneous Personal Property, **Miscellaneous Unnamed Locations**, Newly Acquired or Transit Coverages,

the most current value at the time of the loss of all Property Insured, at the location where the direct physical loss or damage occurred, will be applied in the calculation of the deductible.

f. Policy Deductible(s)

The deductible that applies to all coverages, unless otherwise stated in the Exceptions to Policy Deductible(s) hereinbelow:

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE)

per **Occurrence** except as follows:

Exceptions to Policy Deductible(s)

$68,846 combined coverages for Locations with TIV less than $25M

(1) **Breakdown** of Equipment

The following deductible applies to loss or damage caused by **Breakdown** of Equipment:

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE)

per **Occurrence**

(2) Contingent Time Element: NCP

(3) Course of Construction

NCP

(4) Crisis Event

NCP

(5) **Earth Movement**

The following deductible applies to loss or damage caused by or resulting from **Earth Movement.**

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE)

per **Occurrence**

- As respects to a specific **Location(s)** Locations with TIV less than $25M:
  - $68,846 PD & TE combined coverages per **Occurrence**

(6) **Flood**

The following deductibles apply to loss or damage caused by or resulting from **Flood**.

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE)

per **Occurrence**

- As respects Property Insured within a High Hazard Zone as described in Appendix E:
  - Property Damage (PD) - $688,460 per **Occurrence**
  - Time Element (TE) - $2,753,840 per **Occurrence**
- As respects to a specific **Location(s)** Locations with TIV less than $25M:
  - $68,846 PD & TE combined coverages per **Occurrence**

(7) **Named Storm**

The following deductibles apply to loss or damage caused by or resulting from **Named Storm**.

NCP

(8) Certain Water/Water Damage

The following deductible applies to loss or damage caused by or resulting from **Certain Water**, except this deductible does not apply to loss or damage caused in whole or part by **Flood**.

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE)

per **Occurrence.**

(9) Hail or Wind (other than a **Named Storm**), or both:

The following deductible applies to loss or damage caused by or resulting from any one or more of Hail and Wind, except this deductible does not apply to loss or damage caused in whole or part by a **Named Storm**.

$688,460 Property Damage (PD) & $2,753,840 Time Element (TE) per **Occurrence.**

ENDORSEMENTS AND OTHER POLICY FORMS ATTACHED TO THE EDGE II (shown below are titles and form numbers of endorsements and other policy forms attached to The Edge II and, if applicable, limits of insurance and deductibles corresponding to each such endorsement or other policy form).

#	Form Number	Edition Date	Coverage
-	ZC-RC-20338 U	1124a	The Zurich Edge II Declarations
-	ZC-RC-20339 U	1024a	The Zurich Edge II Coverage Form
-	ZC 6300 U	0122	Statutory Conditions, General Conditions and Other Conditions
-	ZC 6301 U	1007	Standard Mortgage Clause
-	LMA 5400	0622a	Cyber and Data Exclusion
-	ZC 13001 U	0615	Trade and Economic Sanctions Limitation
-	ZC-RC-20331 U	0424	International Insurance Program Clause
1	ZC-RC-20334 U	0425a	Additional Described Cause of Loss – Theft (and amendments to the Declarations)
2	ZC-RC-20329 U 0324		Additional Described Cause of Loss - Windstorm
-	ZC-EDGE II-451-D	0622	Appendix B – Earth Movement/Earthquake Zones Worldwide Except USA its Commonwealths and Territories
-	ZC-EDGE II-458-C	0719	Appendix E –Flood Zones

In witness whereof, the Insurer has caused this policy to be signed by its Head of Underwriting, Canada.

Head of Underwriting, Canada

The Zurich Edge II Coverage Form

Read this entire Policy carefully to determine rights, duties and what is and is not covered.

In this Policy, the phrase *the Company* refers to the Company(ies) providing insurance.

Various words and phrases that appear in bold print have special meaning, as detailed in Section 7. Definitions.

SECTION 3. – PROPERTY DAMAGE

3.1. PROPERTY INSURED

This Policy insures the following property, unless otherwise excluded elsewhere in this Policy, located at an Insured Location or within 300 meters thereof or as otherwise provided for in this Policy:

a. The Insured's interest in Real Property (including permanently installed machinery and equipment) and the additions, renovations, alterations and repairs made to such Real Property that the Insured owns, occupies, leases or rents.

b. The Insured's interest in Personal Property, including **Improvements and Betterments**.

c. Property of Others, limited to property:

(1) In the Insured's care, custody or control;

(2) In which the Insured has an insurable interest or obligation;

(3) The Insured is legally liable for; or

(4) The Insured has agreed to insure in writing prior to any loss or damage.

d. Personal Property of officers and employees of the Insured.

3.2. PROPERTY EXCLUDED

This Policy does not insure the following property:

a. **Money**, **Digital Currency,** precious metals in bullion form, notes and **Securities** except to the extent coverage is provided by the **Money** In Locked Safe Or Vault or **Money** During Normal Business Hours coverages of this Policy.

b. Watercraft and aircraft, except watercraft or aircraft that are manufactured by the Insured when unfueled and located at an Insured Location.

c. Spacecraft, satellites, associated launch vehicles and any property contained therein.

d. Animals, standing timber and growing crops, except to the extent coverage is provided by the Research Animals coverage of this Policy.

e. Bridges and tunnels (when not part of a building or structure), dams, dikes, piers, wharfs, docks or bulkheads except to the extent coverage is provided by the Completed Civil Engineering Structures coverage of this Policy.

f. Land (including underlying soil), water and any other substance in or on land; except this exclusion does not apply to:

(1) **Land Improvements**;

(2) Fill that alters the natural condition of land beneath covered **Land Improvements,** bridges, tunnels, dams, dikes, piers, wharfs, docks, bulkheads, railways, transformer enclosures, buildings or structures; or

(3) Water that is contained in any enclosed tank, piping system or any other processing equipment.

g. **Land Improvements** at a golf course.

h. Mines, mineshafts, caverns and any property contained therein.

i. Vehicles licensed for use on public roads, except vehicles the Insured owns that are operated principally at an Insured Location and vehicles located at an Insured Location that the Insured manufactures, processes, warehouses or holds for sale. With respect to such vehicles falling within the aforementioned exception, this insurance will apply only as excess insurance for such vehicles otherwise insured or **Self-insured** for physical loss or damage.

j. Transmission and distribution lines situated beyond 300 meters of the Insured Location.

k. Property in transit, except to the extent coverage is provided by the Transit coverage of this Policy.

l. All contraband property, including property in the course of illegal transit or trade.

m. Property more specifically insured, except for excess insurance beyond such more specific insurance.

n. Property sold by the Insured under a conditional sale, trust agreement, installment plan or other deferred payment plan after delivery to customers except to the extent coverage is provided by the Deferred Payments coverage of this Policy.

o. **Digital Assets,** except to the extent coverage is provided by the **Computer Systems** Damage coverage.

3.3. EXCLUSIONS

The following exclusions apply unless otherwise specifically stated elsewhere in this Policy:

a. This Policy excludes the following unless it results from direct physical loss or damage to Property Insured not excluded by this Policy:

(1) **Contamination**, and any cost due to **Contamination**, including the inability to use or occupy property or any cost of making property safe or suitable for use or occupancy, except to the extent coverage is provided by the Radioactive **Contamination** coverage of this Policy.

(2) Changes in size, colour, flavour, texture or finish.

(3) Loss or damage arising from the enforcement of any law, by-law, ordinance, regulation or rule regulating or restricting the zoning, construction, installation, repair, replacement, improvement, modification, demolition, occupancy, operation or other use, or removal (including debris removal) of any property.

b. This Policy excludes:

(1) Loss or damage arising from delay, loss of market, or loss of use.

(2) Indirect or remote loss or damage.

(3) Loss or damage arising from an unexplained disappearance; mysterious disappearance; or a shortage disclosed on taking inventory when the factual existence of such shortage is solely dependent on inventory records.

(4) Loss or damage resulting from the **Suspension** of the Insured's business activities, except to the extent coverage is provided by this Policy.

(5) Any loss or damage caused by or falling within the coverage provided by any applicable Special Coverage, **Described Cause of Loss**, or portion of coverage if a Limit of Liability is identified as **NCP** in the Declarations.

(6) The voluntary parting with title or possession of property by an Insured or anyone else to whom an Insured has entrusted the property, if induced to do so by any fraudulent scheme, trick, device or false pretense.

c. This Policy excludes physical loss or damage directly or indirectly caused by or resulting from any of the following, regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss:

(1) Nuclear reaction or radiation, any by-product of nuclear reaction, any radiological material or radioactive **Contamination** however caused; but if direct physical loss of or damage to Property Insured by fire or sprinkler leakage results, the Company will pay for the loss or damage caused by the fire or sprinkler leakage.

(2) War, invasion, act of foreign enemy, hostilities or warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportions of or amounting to an uprising, military or usurped power, nationalization, confiscation, requisition, seizure or destruction by a government or any public authority, including action in hindering, combating or defending against any of these.

(3) Any weapon of war or of mass destruction employing biological or chemical warfare, atomic fission, atomic fusion, radioactive force or radioactive material, whether in time of peace or war regardless of who commits the act.

(4) (a) Any **Terrorist Activity.**

(b) Any activity or decision of a government agency or other entity to prevent, control, suppress, respond to, or terminate **Terrorist Activity.**

(c) Any action in controlling, preventing, suppressing, retaliating against, or responding to any **Terrorist Activity**.

(5) Dishonest, fraudulent or criminal acts by the Insured or any of the Insured's associates, proprietors, partners, officers, employees, directors, trustees or authorized representatives.

Notwithstanding the above, this exclusion applies only to a claim made by an Insured(s) who:

(a) committed or consented to an act or omission that caused the loss or damage;

(b) abetted or colluded in the act or omission that caused the loss or damage; or

(c) knew or ought to have known that the act or omission would cause loss or damage.

This exclusion does not apply to direct physical loss or damage resulting from a **Covered Cause of Loss** intentionally caused by any individual specified above and done without the knowledge of the Insured. In no event does this Policy cover loss caused by theft by any individual specified above.

(6) The lack of the following services when caused by an event that occurs off the Insured Location (except to the extent coverage is provided by the **Cloud Service** and Communication Interruption or Off Premises Service Interruption coverages of this Policy). However, if the lack of any of the following services results in a **Covered Cause of Loss,** this exclusion does not apply to the loss or damage caused by the **Covered Cause of Loss:**

(a) Incoming electricity, fuel, water, gas, steam or refrigerant;

(b) Outgoing sewage;

(c) Incoming or outgoing **Cloud Service**; or

(d) Any one or more of the following incoming or outgoing services: voice, data and video.

d. This Policy excludes the following but any resulting physical damage not otherwise excluded is insured:

(1) Loss or damage caused by faulty, inadequate or defective design, specifications, workmanship, construction or materials used.

(2) Loss of or damage to stock or materials attributable to manufacturing or processing operations while such stock or materials are being processed, manufactured, tested or otherwise worked on.

(3) Loss or damage caused by corrosion, depletion, deterioration, erosion, inherent vice, latent defect, rust, or wear and tear.

(4) Loss or damage caused by changes of temperature or changes in relative humidity, all whether atmospheric or not except to the extent coverage is provided by the Spoilage From On Premises Service Interruption or Spoilage From **Breakdown** Of **Covered Equipment** coverages of this Policy.

However, this exclusion does not apply to loss or damage to machinery or equipment caused by a change in temperature.

(5) Settling, cracking, shrinking, bulging or expansion of foundations (including any pedestal, pad, platform or other property supporting machinery), floors, pavements, walls, ceilings or roofs.

(6) Loss or damage caused by insects, animals or vermin.

(7) Cumulative effects of smog, smoke, vapour, liquid or dust.

3.4. ADDITIONAL EXCLUSION

Communicable Disease Exclusion

This Policy excludes all loss of or damage to any property, any consequential or resulting Time Element loss" (or both), and any other coverage that would otherwise have been provided by this Policy (including but not limited to Special Coverages), including all costs or expenses, caused by any one or more of the following:

(1) the inability to use or occupy property;

(2) making property safe or suitable for use or occupancy;

(3) any interruption or suspension of operations due to order of any civil, government or military authority;

(4) any interruption or suspension of operations due to obstructed or impaired ingress or egress to any location;

(5) any other interruption or suspension of operations at any location,

whether or not at an Insured Location and that is directly or indirectly caused by, resulting from, arising out of, related to, or in any manner connected with any one or more of the following:

(1) a declared or undeclared public health emergency because of a **Communicable Disease;**

(2) the actual, suspected, fear of, threat or potential of the presence, spread, transmission of, or exposure to (or any combination thereof) a **Communicable Disease,**

regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

SECTION 4. – TIME ELEMENT

4.1. LOSS INSURED

a. The Company will pay for the actual Time Element loss sustained by the Insured, as provided in the Time Element Coverages, during the Period of Liability. The Time Element loss must result from the necessary **Suspension** of the Insured's business activities at an Insured Location. The **Suspension** must be due to direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Loss** at the Insured Location.

   The Company will also pay for the actual Time Element loss sustained by the Insured, during the Period of Liability, at other Insured Locations. The Time Element loss must result from the necessary **Suspension** of the Insured's business activities at the other Insured Locations. Such other Insured Locations must depend on the continuation of business activities at the Insured Location that sustained direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Loss**.

b. Time Element coverage applies only to the extent that the Insured is:

   (1) Unable to continue business activities during the Period of Liability; and

   (2) Able to demonstrate a loss of revenue for the business activities **Suspended**.

c. Time Element coverage applies only to the extent that the loss sustained by the Insured cannot be reduced by:

   (1) The Insured resuming business activities in whole or part;

   (2) Using damaged or undamaged property (including **Raw Materials**, **Stock in Process** or **Finished Stock**) at the Insured Location or elsewhere;

   (3) Using the services or property of others;

   (4) Working extra time or overtime;

   (5) The use of other **Locations** not covered under this Policy;

   (6) Any amount the Insured receives for loss or damage to property valued at **Selling Price;** or

(7) Making up lost production within a reasonable period of time not limited to the period during which production is **Suspended**.

d. In determining the Time Element loss sustained by the Insured, the Company will include in any calculation the combined operating results of all Insured Locations.

e. In determining the Time Element loss sustained by the Insured, the Company will evaluate the experience of the business before and after the physical loss or damage and the probable experience if the event that caused the direct physical loss or damage had not occurred.

f. If **NCP** is shown in the Declarations for any portion of the Time Element Coverages section of this Policy, no coverage is provided for any loss falling within that portion of the Time Element Coverages section.

4.2. TIME ELEMENT COVERAGES

a. TIME ELEMENT COVERAGE OPTION

(1) The Insured may elect to receive payment under only one of the following options:

(a) Gross Earnings plus Extended Period Of Liability; or

(b) **Gross Profit**.

Coverage afforded under the option elected in a.(1) is in addition to any other Time Element coverage applicable to the loss.

(2) Such option may be exercised by the Insured any time prior to:

(a) The Company and the Insured reaching an agreement on the amount of loss; or

(b) The issuance of an appraisal award per Condition f. of Subsection 6.1.

(3) If a Time Element loss involves more than one **Location**, including interdependency at one or more **Locations**, such Time Element loss will be adjusted by using the single coverage option elected in a.(1) of this paragraph.

b. GROSS EARNINGS

(1) If the Insured elects option a.(1)(a) of this Section, the Company will pay the actual Gross Earnings loss sustained by the Insured during the Period of Liability.

(2) The Gross Earnings value is determined as follows:

(a) The sum of:

(i) Total net sales value of production;

(ii) Total net sales of **Merchandise** in mercantile or non-manufacturing operations;

(iii) Rental income; and

(iv) Other income derived from the Insured's business activities, including the sale of services.

(b) Less the cost of the following:

(i) **Raw Materials** from which production is derived;

(ii) Supplies consisting of materials consumed by direct conversion of **Raw Materials** into **Finished Stock;** supplies used to provide the service(s) sold by the Insured;

(iii) **Merchandise** sold, including related packaging materials; and

(iv) Service(s) purchased from outsiders (not the Insured's employees) for resale, which do not continue under contract.

(3) The Gross Earnings loss is determined as follows:

(a) The lost Gross Earnings value as calculated in (2) above that would have been earned during the Period of Liability; minus

(b) Charges and expenses that do not necessarily continue during the Period of Liability; minus

(c) **Ordinary Payroll** that continues in excess of the number of consecutive days as stated in the Declarations or the Limit of Liability shown for **Ordinary Payroll** in the Declarations.

(4) The Company will pay the reasonable and necessary expenses incurred (except the cost to extinguish a fire) by the Insured to reduce the amount of Gross Earnings loss sustained during the Period of Liability. This Policy will pay for such expenses to the extent that they do not exceed the amount of Gross Earnings loss that otherwise would have been payable. This provision will not pay for the cost of permanent repair or replacement of property that has suffered direct physical loss or damage.

(5) The Company will pay the increased tax liability incurred by the Insured due to the profit portion of a Gross Earnings loss payment being greater than the tax liability incurred on the profits that would have been earned had no loss occurred.

c. EXTENDED PERIOD OF LIABILITY

The Company will continue to pay the actual Gross Earnings loss sustained by the Insured after the end of the Period of Liability until the date the Insured could restore its business (with due diligence) to the condition that would have existed had no direct physical loss or damage occurred, but not to exceed the number of consecutive days, as stated in the Declarations, after the end of the Period of Liability.

d. **GROSS PROFIT**

If the Insured elects option a.(1)(b) of this Section, the Company will pay the actual **Gross Profit** loss sustained by the Insured during the Period of Liability.

(1) **Gross Profit** loss is determined as follows:

(a) The amount calculated by multiplying the **Rate of Gross Profit** against the amount by which the **Turnover** during the Period of Liability falls short of **Standard Turnover;** minus,

(b) Expenses, payable out of **Gross Profit,** that do not necessarily continue during the Period of Liability; minus,

(c) **Ordinary Payroll** that continues in excess of the number of consecutive days as stated in the Declarations or in excess of the Limit of Liability shown for **Ordinary Payroll** in the Declarations.

(2) The Company will pay the reasonable and necessary expenses incurred (except the cost to extinguish a fire) by the Insured during the Period of Liability to minimize reduction in **Turnover**, but not to exceed the sum that is calculated by multiplying the **Rate of Gross Profit** by the amount of any reduction in **Turnover** thereby avoided.

(3) If during the Period of Liability property is sold or services are rendered (either by the Insured or by others on the Insured's behalf) at a location other than at the Insured Location, for the benefit of the Insured's business activities, the money paid or payable in respect of such sales or services will be brought into account in arriving at the **Turnover** during the Period of Liability.

(4) Adjustments will be made if any shortage in **Turnover,** due to the direct physical loss or damage, is postponed by reason of the **Turnover** being temporarily maintained as part of accumulated stocks of **Finished Stock** or **Merchandise** in warehouses and/or depots.

(5) Adjustments will be made to **Rate of Gross Profit** and **Standard Turnover** as necessary to provide for: the trend, variations in, or special circumstances affecting the Insured's business activities either before or after the physical loss or damage, or which would have affected the Insured's business activities had the physical loss or damage not occurred. Adjusted figures shall represent as nearly as may be reasonably practicable the results that would have been obtained during the Period of Liability if not for the physical loss or damage.

(6) The Company will pay the increased tax liability incurred by the Insured due to the profit portion of a **Gross Profit** loss payment being greater than the tax liability incurred on the profits that would have been earned had no loss occurred.

(7) The Extended Period of Liability does not apply to the **Gross Profit** coverage.

e. EXTRA EXPENSE

(1) The Company will pay for the reasonable and necessary Extra Expense incurred by the Insured, during the Period of Liability, to resume and continue as nearly as practicable the Insured's normal business activities that otherwise would be necessarily **Suspended**, due to direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Loss** at an Insured Location.

(2) Extra Expense means the amount spent to continue the Insured's business activities over and above the expenses the Insured would have normally incurred, had there been no direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Loss** at an Insured Location.

(a) Extra Expense includes the increased costs to purchase **Finished Stock** from third parties to fulfill orders (less payment received for the sale of such **Finished Stock**).

(b) Extra Expense does not include any Gross Earnings or **Gross Profit** loss, the cost of permanent repair or replacement of property that has suffered direct physical loss or damage, or expenses otherwise payable elsewhere in the Policy.

(3) The Company will reduce the amount payable as Extra Expense by the fair market value remaining at the end of the Period of Liability for property obtained in connection with the above.

f. LEASEHOLD INTEREST

(1) The Company will pay for the actual Leasehold Interest loss incurred by the Insured (as a lessee) resulting from direct physical loss of or damage to a building (or structure) that is leased and not owned by the Insured caused by a **Covered Cause of Loss**, as follows:

(a) If the building (or structure) becomes wholly untenantable or unusable and the lease agreement requires continuation of the rent, the Company will pay the Insured the present value of the actual rent payable for the unexpired term of the lease, not including any options;

(b) If the building (or structure) becomes partially untenantable or unusable and the lease agreement requires continuation of the rent, the Company will pay the Insured for the present value of the proportionate amount of the actual rent payable for the unexpired term of the lease, not including any options; or

(c) If the lease is cancelled by the lessor pursuant to the terms of the lease agreement or by operation of law, this Policy will pay the Insured for their **Lease Interest** for the first (3) months following the loss or damage and for their **Net Lease Interest** for the remaining unexpired term of the lease.

(2) The Insured must use any suitable property or service owned, controlled, or obtainable from any source to reduce the loss.

(3) Exclusion g.(2)(a) of Subsection 4.2. is replaced with the following:

Suspension, cancellation or lapsation of any contract, license or order, but if a **Suspension** covered under this Time Element coverage directly causes the suspension, lapsation or cancellation, the Company will cover the resulting Leasehold Interest loss.

(4) This Coverage excludes:

(a) Any loss arising from the Insured exercising an option to cancel the lease; or

(b) Any loss arising from an act or omission by the Insured that constitutes default under the lease.

g. EXCLUSIONS

In addition to the exclusions elsewhere in this Policy, the following exclusions apply to the Time Element coverages:

This Policy excludes:

(1) Any loss during any idle period that would have been experienced had the **Suspension** of business activities not occurred. This includes, but is not limited to, when production, operation, services, delivery or receipt of goods or services or any other business activities would have ceased, or would not have taken place or would have been prevented due to:

(a) Planned or rescheduled shutdowns;

(b) Strikes or other work stoppages; or

(c) Any reason other than physical loss or damage insured by this Policy.

(2) Any increase in a Time Element loss due to:

(a) The suspension, cancellation or lapsation of any lease, contract, license or order, but if a **Suspension** covered under a Time Element coverage directly causes the suspension, cancellation or lapsation of said lease, contract, license or order, the Company will cover the resulting actual Gross Earnings or **Gross Profit** loss sustained by the Insured during the Period of Liability and any Extended Period of Liability;

(b) Fines or damages for breach of contract or for late or non-completion of orders;

(c) Penalties of any nature, except to the extent coverage is provided by the Contract Penalties Coverage of this Policy; or

(d) Any other consequential or remote factors.

(3) Any Time Element loss sustained by the Insured resulting from loss or damage to property valued at **Selling Price**, nor the time required for their reproduction or replacement unless otherwise provided by the Extra Expense coverage of this Policy.

(4) Any Time Element loss due to physical loss or damage not insured by this Policy on or off of the Insured Location.

However, in the event that a **Suspension** is due to a **Covered Cause of Loss** and during such **Suspension** a loss that is otherwise excluded occurs, the Company will pay for the Time Element loss that is directly caused by the **Covered Cause of Loss** to Property Insured under this Policy.

(5) Any Time Element loss resulting from damage to Property of Others; however this exclusion does not apply to a Time Element loss suffered by the Insured as a direct result of the damage to Property of Others.

4.3. PERIOD OF LIABILITY

a. The Period of Liability applying to all Time Element coverages, except **Gross Profit**, Leasehold Interest and the Special Coverage titled as Contingent Time Element, is as follows:

(1) For buildings and equipment not undergoing addition, renovation, alteration, or repair: The period starting from the time of direct physical loss or damage of the type insured against and ending when, with due diligence and dispatch, the building and equipment could be repaired or replaced, and made ready for business activities to resume under the same or equivalent physical and operating conditions that existed prior to the damage but not later than the number of consecutive months as stated in the Declarations. The expiration of this Policy will not limit the Period of Liability.

(2) For buildings and equipment under addition, renovation, alteration, or repair: The period of time equivalent to that stated in (1) of this paragraph will be applied to the level of business activity that reasonably would have been achieved (after construction and startup would have been completed) had there been no direct physical loss or damage but not later than the number of consecutive months as stated in the Declarations. Due consideration will be given to the actual experience of the business after completion of the construction and startup.

(3) For **Merchandise** and for **Stock in Process:** The period of time required, with the exercise of due diligence and dispatch, to restore **Stock in Process** to the same state of manufacture in which it stood at the inception of the interruption of production resulting from the **Suspension** of the Insured's business activities and the period of time required to replace physically damaged **Merchandise.**

(4) For **Raw Materials** and supplies: The period of time required, with the exercise of due diligence and dispatch, to replace **Raw Materials** and supplies damaged.

b. The Period of Liability applying to **Gross Profit** is as follows:

(1) The period starting from the time of direct physical loss or damage of the type insured against and continuing while the results of the business are directly affected in consequence of such loss or damage and ending not later than the number of consecutive months as stated in the Declarations. The expiration of this Policy will not limit the Period of Liability.

(2) For buildings and equipment under addition, renovation or alteration: The period starting on the date construction and startup would have been completed had there been no physical loss or damage of the type insured against and continuing while the results of the business are directly affected in consequence of such loss or damage and ending not later than the number of consecutive months as stated in the Declarations. The expiration of this Policy will not limit the Period of Liability.

The **Rate of Gross Profit** and **Standard Turnover** will be based on the experience of the business after construction is completed and the probable experience during the Period of Liability.

c. The Period of Liability applying to the Special Coverage titled as Contingent Time Element is as follows:

(1) The Gross Earning Period of Liability:

The period starting from the time the necessary **Suspension** of the Insured's business activities at an Insured Location commences, as a direct result of loss or damage described under the Special Coverage titled as Contingent Time Element (section 5.2.i hereinbelow), and ending when, with due diligence and dispatch, the loss or damage to property that caused the necessary **Suspension** of the Insured's business activities could be repaired or replaced, and made ready for business activities to resume under the same or equivalent physical and operating conditions that existed prior to the damage, but not later than:

(a) With respect to **Direct Dependent Time Element Locations** and **Indirect Dependent Time Element Locations**, the number of consecutive months indicated in the Declarations.

(b) With respect to **Attraction Properties**, the number of consecutive months indicated in the Declarations.

In each case, the Period of Liability is subject to the applicable limit of liability as stated in the Declarations.

The expiration of this Policy will not limit the Period of Liability.

(2) The **Gross Profits** Period of Liability:

The period starting from the time the necessary **Suspension** of the Insured's business activities at an Insured Location commences, as a direct result of loss or damage described under the Special Coverage titled as Contingent Time Element (section 5.2.i hereinbelow), and continuing while the results of the business are directly affected in consequence of the loss or damage to property that caused the necessary **Suspension** of the Insured's business activities and ending not later than:

(a) With respect to **Direct Dependent Time Element Locations** and **Indirect Dependent Time Element Locations**, the number of consecutive months indicated in the Declarations.

(b) With respect to **Attraction Properties**, the number of consecutive months indicated in the Declarations.

In each case, the Period of Liability is subject to the applicable limit of liability as stated in the Declarations.

The expiration of this Policy will not limit the Period of Liability.

d. The Period of Liability applying to all Time Element coverages, except Leasehold Interest or if otherwise stated elsewhere in this Policy, does not include any additional time incurred due to the Insured's inability to resume business activities for any reason, including but not limited to:

(1) Making changes to equipment;

(2) Making changes to Real Property except to the extent coverage is provided by the Better Green™ Upgrade, Historical Buildings Preservation or Increased Costs of Construction coverages of this Policy; or

(3) Re-staffing or retraining employees; except for the period of time to retrain employees to use new machinery or equipment that has been replaced under the terms of this Policy, but not to exceed the number of consecutive days, as stated in the Declarations, after installation of the replacement machinery or equipment.

SECTION 5. – SPECIAL COVERAGES & **DESCRIBED CAUSES OF LOSS**

5.1. OPERATION OF SPECIAL COVERAGES & **DESCRIBED CAUSES OF LOSS**:

a. Special Coverages & **Described Causes of Loss** are subject to the applicable Limit of Liability and are included within and will not increase the Policy Limit.

b. Special Coverages & **Described Causes of Loss** are subject to the Policy provisions, including applicable exclusions and deductibles, all as shown in this section and elsewhere in this Policy, whether or not a Limit of Liability is shown.

c. If coverage is afforded under any Special Coverage or **Described Cause of Loss**, the applicable Limit of Liability for that Special Coverage or **Described Cause of Loss** is the most the Company will pay for all loss or damage described therein even if coverage is otherwise available under any other part of this Policy.

d. Any Time Element coverages expressly included in the description of a Special Coverage or **Described Cause of Loss** are included within any Limit of Liability for that coverage stated in f.(2) of Subsection 2.3. Unless Time Element coverages are expressly excluded within a Special Coverage or **Described Cause of Loss**, any Time Element loss covered under this Policy that is not expressly included within the description of a Special Coverage or **Described Cause of Loss** is included within the Time Element Limit of Liability as stated in section f.(1) of Subsection 2.3.

e. The Period of Liability for Time Element coverages expressly included in the description of a Special Coverage is calculated in accordance with the terms of Section 4.3.

f. If no Limit of Liability is shown in this Policy, the Limit of Liability for that Special Coverage or **Described Cause of Loss i**s included within the Policy Limit.

g. If **NCP** is shown in the Declarations for any Special Coverage, **Described Cause of Loss** or portion of coverage in this Policy, then any loss or damage caused by or falling within the coverage provided by that Special Coverage, **Described Cause of Loss** or portion of coverage, is not covered under this Policy.

h. If two or more Limits of Liability apply to a claim for loss or damage, or some part thereof, the lesser applicable Limit of Liability will apply to the claim, or to the part thereof.

i. The Company will pay no more in any one (1) **Occurrence** than its proportionate share of any applicable Limit of Liability regardless of the number of **Locations** affected by such an **Occurrence** and regardless of whether additional or greater limits would otherwise be available under any other part of this Policy.

j. In the event of loss or damage involving any one or more of the following Special Coverages or **Described Causes of Loss**, the Company will pay no more for the total of all such coverages combined than our proportionate share of the Policy Limit.

5.2. SPECIAL COVERAGES

a. ACCOUNTS RECEIVABLE

(1) The Company will pay for the actual loss sustained by the Insured resulting from direct physical loss of or damage to the Insured's accounts receivable records caused by a **Covered Cause of Loss** as follows:

(a) All sums due the Insured from customers, provided the Insured is unable to collect these sums;

(b) Interest charges on any loan obtained by the Insured to offset impaired collections, but only for the period of time reasonable and necessary for the Insured to resume normal collections;

(c) Necessary collection expenses in excess of normal collection costs; and

(d) Other expenses, when reasonably incurred by the Insured in re-establishing accounts receivable records.

(2) For the purpose of this Coverage, credit card charge records will be deemed to represent sums due the Insured from customers until the charge records are delivered to the credit card company.

(3) When there is proof that direct physical loss of or damage to accounts receivable records has occurred and the Insured cannot accurately establish the total amount of accounts receivable outstanding as of the date of loss, the amount payable will be computed as the sum of:

(a) The monthly average of accounts receivable during the last available 12 months:

(i) Adjusted in accordance with:

i The percentage increase or decrease in the 12 months average of monthly gross revenues that may have occurred in the interim; and

ii Any demonstrable variance from the average for the particular month in which the loss occurred; and

(ii) With consideration given to:

i The normal fluctuations in the amount of accounts receivable within the fiscal month involved; and

ii The total amounts of accounts evidenced by records not lost or damaged, or otherwise established or collected by the Insured; and

(iii) With deductions applied for:

i An amount to allow for probable bad debts that the Insured normally would have been unable to collect; and

ii The normal collection costs incurred due to accounts receivable.

(b) The reasonable and necessary collection expenses in excess of normal collection costs due to direct physical loss of or damage to accounts receivable records; and

(c) The reasonable and necessary expenses incurred in re-establishing accounts receivable records following direct physical loss of or damage to accounts receivable records.

(4) This Coverage excludes:

(a) Shortage resulting from:

(i) Bookkeeping, accounting or billing errors or omissions; or

(ii) Alteration, falsification, manipulation, concealment, destruction or disposal of accounts receivable records committed to conceal the wrongful giving, taking, obtaining or withholding of **Money**, **Securities** or other property; but only to the extent of such wrongful giving, taking, obtaining or withholding.

(b) Any loss, damage or shortage in **Digital Currency**.

b. BETTER GREEN™ UPGRADE

(1) The Company will pay the reasonable and necessary costs incurred by the Insured to upgrade buildings (or structures) shown for this Coverage in the Declarations, that have incurred direct physical loss or damage caused by a **Covered Cause of Loss**, to comply with the minimum requirements of a **Green Standard** that is applicable at the time of the loss or damage. This includes but is not limited to certification fees, accredited professional fees and engineering fees.

(2) Any increase in the Time Element loss attributable to upgrading buildings (or structures) to comply with the minimum requirements of a **Green Standard** is included within the Limit of Liability for this Coverage and is not included within the Time Element Limit of Liability as stated in f.(1) of Subsection 2.3. in the Declarations.

(3) This Coverage applies only to the physically damaged portion of the building (or structure) and does not extend to any undamaged portion, even if both damaged and undamaged portions of the building (or structure) are part of the same material, component or system.

(4) This Coverage excludes costs to upgrade:

(a) Property that processes or transmits **Electronic Data** except when that property is part of an elevator, plumbing, lighting, heating, ventilation, air conditioning or security system; or

(b) Buildings (or structures) that were certified to a **Green Standard** prior to the loss or damage.

c. BRANDS AND LABELS

The Company will pay for the reasonable and necessary costs for the Insured or the Insured's representative to stamp "salvage", remove, or obliterate the brand, label or trade name on **Finished Stock** or **Merchandise** (including its container) that carries the Insured's brand or trade name, if doing so will not damage the property, when such property has sustained direct physical loss or damage caused by a **Covered Cause of Loss** and the Company has taken possession of it. The Insured must re-label such property or its containers to comply with any applicable law.

d. CIVIL OR MILITARY AUTHORITY

(1) The Company will pay for the actual Time Element loss sustained by the Insured resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if the **Suspension** is caused by order of civil or military authority that limits, restricts or prohibits access to the Insured Location. That order must result from a civil authority's response to direct physical loss or damage caused by a **Covered Cause of Loss** to property not insured under this Policy and located within the distance of the Insured's Location as stated in the Declarations.

(2) This Coverage will only apply when the period of time that access to an Insured Location is limited, restricted or prohibited exceeds the time shown in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, the Company will pay for the actual Time Element loss sustained, subject to the deductible provisions that would have applied had the physical loss or damage occurred at the Insured Location, during the time the order remains in effect, but not to exceed the number of consecutive days following such order, as stated in the Declarations, up to the Limit of Liability applying to this Coverage.

e. CIVIL OR MILITARY ORDER PREVENTING SPREAD OF FIRE

The Company will pay for direct physical loss of or damage to Property Insured caused by order of a civil or military authority for the purpose of preventing the spread of fire, provided the fire was caused by a **Covered Cause of Loss**.

f. **CLOUD SERVICE** AND COMMUNICATION INTERRUPTION

(1) The Company will pay for direct physical loss of or damage to Property Insured and for the actual Time Element loss sustained by the Insured, during the **Period of Service Interruption**, at Insured Locations caused by the interruption of an incoming service consisting of **Cloud Service**, voice, data or video or from the lack of outgoing voice, data or video services.

(2) The interruption of service must result from direct physical loss of or damage to property of the supplier of such service located within this Policy's Territory, caused by a **Covered Cause of Loss** that immediately prevents in whole or in part the delivery of such usable services.

(3) This Coverage will only apply when the **Period of Service Interruption** exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible, but not more than the Limit of Liability applying to this Coverage. The **Qualifying Period** applies to direct physical loss of or damage to Property Insured and any resulting Time Element loss sustained.

(4) With respect to the **Cloud Service** and Communication Interruption coverage:

(a) Exclusions a.(2), c.(5) and d. of Subsection 3.3. do not apply.

(b) This Coverage excludes loss of or damage to Property Insured and any resulting Time Element loss, sustained directly or indirectly, caused by or resulting from the interruption of such services, when such interruption is caused directly or indirectly by:

(i) The failure of the Insured to comply with the terms and conditions of any contract(s) the Insured has for the supply of such specified services; or

(ii) The failure of any satellite or any condition that causes the interruption of, or interference with, transmission(s) to or from any satellite,

regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

g. COMPLETED CIVIL ENGINEERING STRUCTURES

(1) The Company will pay for direct physical loss of or damage to bridges, tunnels, dams, dikes, wharfs, docks or bulkheads and for the actual Time Element loss sustained by the Insured, during the Period of Liability, caused by a **Covered Cause of Loss** at an Insured Location.

(2) This Coverage excludes loss of or damage to:

(a) Off-shore property; or

(b) River or marine bridges.

h. **COMPUTER SYSTEMS** DAMAGE

(1) The Company will pay for the:

(a) Corruption or loss of the Insured's **Digital Assets**; and

(b) Actual Time Element loss sustained by the Insured during the **Period of Interruption**,

resulting from direct physical loss of or damage to **Computer Systems** or **Media** directly resulting from a **Covered Cause of Loss** at an Insured Location.

(2) This Coverage will only apply when the **Period of Interruption** exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible, but not more than the Limit of Liability applying to this Coverage.

i. CONTINGENT TIME ELEMENT

(1) The Company will pay for the actual Time Element loss sustained by the Insured, during the Period of Liability, directly resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if the **Suspension** results from direct physical loss of or damage to property (of the type insurable under this Policy) at the following locations caused by a **Covered Cause of Loss:**

(a) **Direct Dependent Time Element Locations** and **Indirect Dependent Time Element Locations**, located in Canada.

(b) **Attraction Properties** located within the number of kilometers shown on the Declarations of the Insured Location having suffered a **Suspension** of its business activities as a result of the direct physical loss of or damage to property at an **Attraction Property.**

With respect to the actual Time Element loss sustained by the Insured as a result of direct physical loss of or damage to property (of the type insurable under this Policy) at **Attraction Properties**, this Coverage will only apply when the period of time that the necessary **Suspension** of the Insured's business activities at an Insured Location exceed the time shown as a **Qualifying Period** in the Declarations.

(2) As respects Contingent Time Element:

(a) The Insured will influence and cooperate with the **Direct Dependent Time Element Locations**, **Indirect Dependent Time Element Locations** and **Attraction Properties** in every way and take any reasonable and necessary action, including the use of other machinery, supplies or locations, to mitigate the loss payable hereunder.

(b) In determining the indemnity amount payable hereunder, the Company will consider the amount of income derived before the date of physical loss or damage and the probable amount of income after the date of loss or damage.

(c) Exclusion g.(3) of Subsection 4.2. does not apply.

(3) As respects **Attraction Properties,** any Time Element loss resulting from physical loss or damage caused by or resulting from an **Earth Movement, Flood,** or **Named Storm,** regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss, is excluded.

j. CONTRACT PENALTIES

The Company will pay for contractual penalties the Insured is legally liable to pay under the provisions of a written contract due to late or non-delivery of products or services to customers that result from direct physical loss of or damage to Property Insured from a **Covered Cause of Loss** at an Insured Location.

k. COURSE OF CONSTRUCTION

The Company will pay for direct physical loss of or damage to new buildings or structures (including materials and supplies intended to become a permanent part thereof), caused by a **Covered Cause of Loss,** in the course of construction anywhere within the coverage territory (as stated in section1.10 of the Declarations, or as amended elsewhere in this Policy).

l. CRISIS EVENT

(1) The Company will pay for **Crisis Event Expenses** actually incurred by the Insured directly attributable to a violent crime, suicide or attempted suicide occurring at an Insured Location or within the distance of the Insured's Location, as stated in the Declarations, that the Insured reasonably believes threatens or impairs the reputation or goodwill of the Insured.

(2) The Company will pay for the actual Time Element loss sustained by the Insured resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if the **Suspension** is caused by an order of civil or military authority that prohibits access to the Insured Location. That order must result from a civil or military authority's response to the violent crime, suicide or attempted suicide at the Insured Location or within the distance of the Insured's Location, as stated in the Declarations.

(3) This Coverage will only apply when the period of time that access is prohibited exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the Crisis Event Deductible, up to the number of consecutive days as stated in the Declarations, but not more than the Limit of Liability applying to this Coverage.

(4) This Coverage excludes any loss or expense:

(a) Otherwise payable elsewhere in this Policy; or

(b) Caused by or resulting from a violent crime, suicide or attempted suicide initiated by the Insured, or any of the Insured's associates, proprietors, partners, officers, employees, directors, trustees or authorized representatives.

m. DEBRIS REMOVAL

(1) The Company will pay the reasonable and necessary costs incurred by the Insured to demolish and remove debris of property from an Insured Location that remains following direct physical loss of or damage to Property Insured resulting from a **Covered Cause of Loss**. This includes the cost to demolish the physically undamaged portion of Property Insured due to the enforcement of any law, by-law, or ordinance regulating the demolition, construction, repair, replacement or use of Real Property at an Insured Location.

(2) This Coverage will also cover the costs of removal of **Contaminated** Property Insured or the **Contaminant** in or on Property Insured only if the **Contamination,** due to the actual (not suspected) presence of **Contaminant(s),** of the debris resulted from direct physical loss or damage caused by a **Covered Cause of Loss.**

(3) This Coverage excludes costs to remove:

(a) Property Excluded that is **Contaminated**; or

(b) The **Contaminant** in or on Property Excluded, whether or not the **Contamination** results from direct physical loss or damage caused by a **Covered Cause of Loss**.

n. DECONTAMINATION COSTS

If Property Insured is **Contaminated** as a result of direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** and there is in force at the time of the loss any law, by-law or ordinance regulating **Contamination** due to the actual (not suspected) presence of **Contaminant(s),** this Coverage covers, as a direct result of the enforcement of such law, by-law or ordinance, the increased cost of decontamination and/or removal of such **Contaminated** Property Insured in a manner to satisfy such law, by-law or ordinance. This Coverage applies only to that part of Property Insured so **Contaminated** due to the actual (not suspected) presence of **Contaminant(s)** as a result of direct physical loss of or damage to Property Insured. The Company is not liable for the costs required to remove **Contaminated** Property Excluded nor the **Contaminant** therein or thereon, whether or not the **Contamination** results from a **Covered Cause of Loss.**

o. DEFERRED PAYMENTS

(1) The Company will pay for direct physical loss of or damage to Personal Property (of the type insurable under this Policy), caused by a **Covered Cause of Loss,** that has been sold by the Insured under a conditional sale, trust agreement, or installment or deferred payment plan. Such property must have been delivered to the buyer.

(2) In the event of loss to Personal Property sold under a deferred payment plan, the Insured will use all reasonable efforts, including legal action, if necessary, to collect outstanding amounts due or to regain possession of the property.

(3) This Coverage excludes loss or damage:

(a) Pertaining to products recalled including, but not limited to, the costs to recall, test or to advertise such recall by the Insured;

(b) From theft or conversion by the buyer of the Personal Property after the buyer has taken possession of such Personal Property;

(c) To Personal Property to the extent the buyer continues payments; or

(d) To Personal Property that is not within this Policy's Territory.

p. DELAY IN COMPLETION

(1) If a limit of liability is shown on the Declarations for the Special Coverage titled as Course of Construction, the Company will pay for:

(a) The actual Gross Earnings or **Gross Profit** loss sustained by the Insured; and

(b) The soft costs that would not have been incurred if the delay in completion of new buildings or structures (including materials and supplies intended to become a permanent part thereof) in the course of construction had not occurred, limited to the following:

(i) Construction loan fees -The additional cost incurred to rearrange loans necessary for the completion of new construction including: the cost to arrange refinancing, accounting work necessary to restructure financing, legal work necessary to prepare new documents, charges by the lenders for the extension or renewal of loans necessary;

(ii) Commitment fees, leasing and marketing expenses - The additional cost of returning any commitment fees received from prospective tenant(s) or purchaser(s), the cost of re-leasing and marketing due to loss of prospective tenant(s) or purchaser(s);

(iii) Additional fees – The additional cost for: architects, engineers, consultants, attorneys and accountants needed for the completion of new construction; and

(iv) Carrying costs – The additional cost of: property taxes, building permits, additional interest on loans, realty taxes and insurance premiums,

arising out of a delay in completion, during the **Period of Delay**, resulting from direct physical loss of or damage to new buildings or structures (including materials and supplies intended to become a permanent part thereof), in the course of construction anywhere within the coverage territory (as stated in section 1.10 of the Declarations or as amended elsewhere in this Policy), caused by a **Covered Cause of Loss.**

(2) This Coverage starts when the delay in completion exceeds the Waiting Period, as stated in the Declarations. If the Waiting Period is exceeded, this Policy will pay up to the number of consecutive days as stated in the Declarations after the Waiting Period, but not more than the Limit of Liability applying to this coverage. No deductible applies to this Coverage.

q. DOWN ZONING

(1) When Real Property at an Insured Location has incurred direct physical loss or damage caused by a **Covered Cause of Loss** and cannot be repaired, rebuilt, or replaced due to a law, by-law or ordinance prohibiting the repairing, rebuilding, or replacing of Real Property to the same height, floor area, number of units or configuration that existed prior to the loss or damage:

(a) The Insured may elect to:

(i) Receive payment for the difference between the **Actual Cash Value** and **Replacement Cost** for the portion of the Real Property that cannot be repaired, rebuilt, or replaced;

(ii) Rebuild or replace the Real Property on another site subject to the **Replacement Cost** provision of j.(1) of Subsection 6.1.; or

(iii) Receive payment for capital expenditures, as per the Capital Expenditure Election for the portion of the Real Property that cannot be repaired, rebuilt, or replaced.

(b) However, if such law, by-law or ordinance is subject to a waiver (that would cost less than any option in (a)(i) through (iii) of this paragraph) that allows for the repair, rebuilding, or replacement of property to the original height, floor area, number of units or configuration that existed prior to the loss or damage, this Coverage is limited to the cost of such waiver.

(c) The Period of Liability that applies to such Real Property is the period to repair, rebuild, or replace the Real Property, with due diligence and dispatch, to the same height, floor area, number of units, or configuration, that existed prior to the loss or damage.

(2) Payment under this Down Zoning Coverage is conditional upon the law, by-law or ordinance being in force on the date of direct physical loss or damage and such ordinance, law or by-law requires compliance as a condition precedent to obtaining a building permit or certificate of occupancy.

(3) This Coverage excludes costs incurred as a direct or indirect result of the enforcement of any laws, by-laws or ordinances regulating any form of **Contamination.**

r. EMERGENCY EVACUATION EXPENSE – IMPENDING LOSS

(1) When there is impending loss or damage to Property Insured resulting from a **Covered Cause of Loss,** the Company will pay the reasonable and necessary costs incurred by the Insured for actions taken to temporarily evacuate occupants from the Insured Location, provided such actions are necessary to protect occupants from injury. In the event that the Property Insured then does not suffer physical loss or damage from a **Covered Cause of Loss**, the Company will pay the reasonable and necessary costs incurred by the Insured to return occupants to the Insured Location.

(2) This Coverage will only apply when the costs incurred by the Insured exceed the amount shown in the Declarations.

(3) If that amount is exceeded, this Policy will pay for the costs that exceed such amount, but not more than the Limit of Liability applying to this Coverage.

(4) Paragraph (2) above does not apply if the Property Insured suffers physical loss or damage from a **Covered Cause of Loss**.

s. ERRORS AND OMISSIONS

(1) The Company will pay for direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Loss** that is not insured under this Policy because of an unintentional error or omission:

(a) To include, at the time of the inception date of this Policy, any **Location** owned, occupied, leased or rented by the Insured to be Property Insured; or

(b) In the description of any **Location** owned, occupied, leased or rented by the Insured,

but only to the extent this Policy would have otherwise provided coverage for such property had the unintentional error or omission not been made.

(2) The Policy also covers the actual Time Element loss sustained by the Insured, during the Period of Liability, resulting from the necessary **Suspension** of the Insured's business activities at that **Location**, if the **Suspension** is caused by direct physical loss of or damage to such property caused by a **Covered Cause of Loss**.

(3) The Insured must report any unintentional error or omission as soon as possible and pay any additional premium that may be due.

(4) This Coverage does not apply:

(a) If there is coverage available under the Newly Acquired or **Miscellaneous Unnamed Locations** Coverages of this Policy; or

(b) For any error or omission in Limits of Liability or deductibles.

t. EXPEDITING COSTS

(1) The Company will pay the reasonable and necessary costs incurred by the Insured for the temporary repair of direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** and to expedite the permanent repair or replacement of such damaged property.

(2) This Coverage excludes costs recoverable elsewhere in this Policy, including costs for the permanent repair or replacement of damaged property.

u. FINE ARTS

(1) The Company will pay for direct physical loss of or damage to fine arts, including bona fide works of art, works of rarity, works of historical values, works of artistic merit, photographs (positives and negatives), lithographs, illustrations, gallery proofs, original records and similar property caused by a **Covered Cause of Loss** at an Insured Location.

(2) This Policy excludes loss of or damage to fine arts directly or indirectly caused by or resulting from:

(a) Breakage of bric-a-brac, glassware, marble, porcelain, statuary and similar fragile property resulting from the article being dropped or knocked over, whether intentional or accidental;

(b) Any repairing, restoring or retouching process; or

(c) Any pre-existing condition,

regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

(3) For fine arts articles, the Company will pay the lesser of:

(a) The reasonable and necessary cost to repair or restore such property to the physical condition that existed on the date of loss;

(b) The reasonable and necessary cost to replace the article; or

(c) The value of the fine arts articles stated on a schedule on file with the Company.

If the fine arts article cannot be replaced and an appraisal is not available, the valuation will be market value based on prevailing conditions at the time of loss or damage.

v. FIRE DEPARTMENT SERVICE CHARGE

The Company will pay for the reasonable expenses:

(1) Resulting from costs of refilling or recharging fire extinguishing materials expended due to fire extinguishing materials being discharged accidentally or in the course of protecting Property Insured; or

(2) For Fire Department service charges incurred by the Insured when the Fire Department is called to save or protect Property Insured from a **Covered Cause of Loss** at an Insured Location. The Fire Department service charges are those assumed by contract or agreement prior to loss or damage or required by local ordinance.

w. HISTORICAL BUILDINGS PRESERVATION

(1) In the event of direct physical loss or damage, otherwise covered under this Policy, to buildings (or structures) that are listed in the Declarations for this Coverage, and that are also listed on a governmental registry as a historical, or heritage, building (or structure), the Company will adjust a covered loss to such building (or structure) on a Historical Replacement Cost basis. Historical Replacement Cost will be the cost to repair, rebuild or replace the damaged parts of buildings (or structures) with the same materials, workmanship and architectural features at the same **Location** and for similar occupancy.

(2) If the same materials, workmanship and architectural features are no longer available, the Company will pay to repair, rebuild or replace with available materials, workmanship and architectural features that resemble those that existed prior to the loss or damage.

(3) If repair, rebuilding or replacement has not started within 2 years from the date of direct physical loss or damage, the Company will not be liable for more than the **Actual Cash Valu**e of the damaged property.

(4) Subject to all of the above, this Special Coverage will pay for the difference between:

(a) the cost to adjust a covered loss to a building (or structure) listed in the Declarations, and on a governmental registry, on a Historical Replacement Cost basis; and

(b) the cost to adjust such covered loss on a **Replacement Cost** basis.

Any increase in a Time Element loss attributable to repairing, rebuilding or replacement on a Historical Replacement Cost basis is included within the Limit of Liability for this Special Coverage and is not included within the Time Element Limit of Liability stated in f.(1) of Subsection 2.3.

x. IMPOUNDED WATER

(1) The Company will pay for the actual Time Element loss sustained by the Insured, during the Period of Liability, resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if the **Suspension** is caused by the lack of a supply of water stored behind dams or in reservoirs on the Insured Location. The water supply must be used as a **Raw Material** or for generation of power or for other manufacturing purposes. The inadequate supply of water must result from the release of water from the water supply and be caused by direct physical loss of or damage to the dam, reservoir, or connected equipment caused by a **Covered Cause of Loss.**

(2) The Company will pay for the actual Time Element loss sustained in excess of the applicable deductible, but not to exceed the number of consecutive days as stated in the Declarations, after the damaged dam, reservoir or connected equipment has been repaired or replaced with the exercise of due diligence and dispatch.

(3) The Period of Liability that applies to this Coverage is the Period of Liability for **Raw Materials** in a.(4) of Subsection 4.3.

y. INCREASED COST OF CONSTRUCTION

(1) The Company will pay the reasonable and necessary costs incurred by the Insured for the increased costs to:

(a) Repair or rebuild the physically damaged portion of Real Property; and

(b) Rebuild physically undamaged Real Property that has been demolished,

with materials and in a manner to satisfy the minimum requirement of the enforcement of any law, by-law or ordinance regulating the demolition, construction, repair, replacement or use of Real Property at an Insured Location, provided:

(c) Such law, by-law or ordinance is in force on the date of direct physical loss of or damage to Real Property caused by a **Covered Cause of Loss**; and

(d) Its enforcement is a direct result of direct physical loss of or damage to Real Property caused by a **Covered Cause of Loss**.

(2) This Coverage applies only to the costs described in (1)(a) and (b) of this paragraph. The costs to repair, rebuild or replace property with property of like kind and quality (other than the costs described in (1)(a) and (b) of this paragraph) are not part of this Coverage and are to be considered direct physical loss of or damage under Subsection 3.1. Property Insured.

(3) This Coverage excludes costs incurred:

(a) Due to any law, by-law or ordinance with which the Insured was required to comply with before the loss, even when the Real Property was undamaged and the Insured did not comply.

(b) As a direct or indirect result of the enforcement of any laws, by-laws or ordinances regulating any form of **Contamination.**

z. INGRESS/EGRESS

(1) The Company will pay for the actual Time Element loss sustained by the Insured resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if ingress or egress to that Insured Location by the Insured's suppliers, customers or employees is hindered or prevented by physical obstruction due to direct physical loss of or damage, caused by a **Covered Cause of Loss,** to

property not insured under this Policy and located within the distance of the Insured Location as stated in the Declarations.

(2) This Coverage will only apply when the period of time that ingress or egress to an Insured Location (by the Insured's suppliers, customers or employees) is hindered or prevented (as set out in (1) above) exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, the Company will pay for the actual Time Element loss sustained by the Insured, subject to the deductible provisions that would have applied had the physical loss or damage occurred at the Insured Location, during the time ingress or egress remains hindered or prevented (as set out in (1), but not to exceed the number of consecutive days as stated in the Declarations following such obstruction, up to the Limit of Liability applying to this Coverage.

aa. LAND AND WATER **CONTAMINANT** CLEANUP, REMOVAL AND DISPOSAL

(1) The Company will pay the reasonable and necessary costs incurred by the Insured for the cleanup, removal and disposal of the actual (not suspected) presence of **Contaminant(s)** from uninsured property consisting of land (including underlying soil), water or any other substance in or on land at the Insured Location if the release, discharge or dispersal of such **Contaminant(s)** is a result of direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss.**

(2) This Coverage excludes costs to cleanup, remove and dispose of **Contaminant**(s) from such property:

(a) At any **Location** where the Real Property is not insured by this Policy;

(b) At any property insured by the Newly Acquired, Errors and Omissions or **Miscellaneous Unnamed Location** Coverages of this Policy; **or**

(c) When the Insured fails to give written notice of loss to the Company within 180 days after the date of the loss.

bb. **LAND IMPROVEMENTS**

(1) The Company will pay for the cost of reclaiming, restoring or repairing **Land Improvements** resulting from direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** at an Insured Location.

(2) The Company will pay the amount, per tree, as stated in the Declarations for damaged or lost trees that are not replaced within 12 months from the date of the loss or damage, but not to exceed the amount, per **Occurrence,** stated in the Declarations, for such trees.

cc. LEASE CANCELLATION

(1) The Company will pay for the value of undamaged **Improvements and Betterments** when the Insured's lease is cancelled by the lessor due to direct physical loss of or damage to property (of the type insurable under this Policy) caused by a **Covered Cause of Los**s at an Insured Location when such cancellation is permitted by a provision of the lease.

(2) The Company will not be liable for more than a proportion of the original cost of the **Improvements and Betterments** determined as follows:

(a) Multiply the original cost of the **Improvements and Betterments** by the number of days from the **Covered Cause of Loss** to the expiration date of the lease; and

(b) Divide the amount determined in (a) of this paragraph by the number of days from the installation of the **Improvements and Betterments** to the expiration date of the lease.

(c) If the lease contains a renewal option, the expiration of the renewal option period will replace the expiration date of the lease in this calculation.

dd. LOCKS AND KEYS

The Company will pay the reasonable and necessary costs incurred by the Insured to replace, adjust, or reprogram undamaged locks to accept new keys or entry codes at an Insured Location made necessary due to direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss**.

ee. LOGISTICS EXTRA COST

(1) The Company will pay for the reasonable and necessary additional costs incurred by the Insured to continue usual business activities when the normal movement of goods or materials directly between Insured Locations or directly between an Insured Location and a **Direct Dependent Time Element Location** is disrupted. The disruption must result from direct physical loss of or damage to property (of the type insurable under this Policy) within this Policy's Territory caused by a **Covered Cause of Loss.**

(2) This Coverage will only apply when the period of time that the normal movement of goods or materials is disrupted exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible, up to the number of consecutive days as stated in the Declarations, but not more than the Limit of Liability applying to this Coverage.

(3) This Coverage excludes costs:

(a) Of permanent repair or replacement of damaged property;

(b) Recoverable elsewhere in this Policy;

(c) Resulting from physical loss of or damage to property insured under this Policy.

ff. METERED SERVICES

(1) The Company will pay for the additional expense incurred by the Insured for water, gas, or electricity charges due to the sudden and accidental escape of such service from a system or apparatus, caused by a **Covered Cause of Loss**, at an Insured Location.

(2) The additional expense incurred will be determined by comparing:

(a) The amount charged to the Insured for water, gas or electricity during the period that the sudden and accidental escape of service occurs; with

(b) The charges the Insured would have normally incurred had there been no sudden and accidental escape of service, adjusted for any other relevant factors affecting the Insured's consumption of water, gas or electricity during such period.

(3) This Coverage excludes expenses caused by or resulting from continuous or repeated seepage or leakage of water, gas or electricity.

gg. MISCELLANEOUS PERSONAL PROPERTY

(1) The Company will pay for direct physical loss of or damage to the following property, caused by a **Covered Cause of Loss**, while such property is within this Policy's Territory but away from an Insured Location:

(a) The Insured's interest in Personal Property; and

(b) Property of Others limited to property:

(i) In the Insured's care, custody or control;

(ii) In which the Insured has an insurable interest or obligation;

(iii) For which the Insured is legally liable;

(iv) For which the Insured has agreed in writing prior to any loss or damage to provide coverage; or

(v) Under contract to be used in a construction project at an Insured Location.

(2) This Coverage excludes property in transit or insured under any other Coverage in this Policy.

hh. **MISCELLANEOUS UNNAMED LOCATIONS**

(1) The Company will pay for direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** at a **Miscellaneous Unnamed Location** and the actual Time Element loss sustained by the Insured, during the Period of Liability, resulting from the necessary **Suspension** of the Insured's business activities if such **Suspension** is caused by direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** at a **Miscellaneous Unnamed Location.**

(2) This Coverage excludes loss or damage that is payable under any other provision in this Policy.

ii. **MONEY** DURING NORMAL BUSINESS HOURS

(1) The Company will pay for the loss of **Money** located inside a building at an Insured Location, caused by theft, that occurs during normal business hours.

(2) As used in this Coverage, theft means loss of **Money** by means of assault or violence upon the Insured or any employee of the Insured or entry into or exit from buildings at the Insured Location by forcible and violent means evidenced by marks of forced entry.

(3) All loss or damage caused by one or more persons or involving a single act or series of related acts will constitute a single **Occurrence**.

(4) The Time Element coverages of this Policy do not apply to this Coverage.

jj. **MONEY** IN LOCKED SAFE OR VAULT

(1) The Company will pay for the loss of **Money,** caused by theft, located inside a permanently installed locked safe or vault that is inside a building at an Insured Location, provided the theft does not occur during normal business hours.

(2) As used in this Coverage, theft means loss of **Money** by means of assault or violence upon the Insured or any employee of the Insured or entry into or exit from buildings at the Insured Location by forcible and violent means evidenced by marks of forced entry or exit.

(3) All loss or damage caused by one or more persons or involving a single act or series of related acts will constitute a single **Occurrence**.

(4) The Time Element coverages of this Policy do not apply to this Coverage.

kk. NEWLY ACQUIRED

(1) The Company will pay for direct physical loss of or damage to property (of the type insurable under this Policy), caused by a **Covered Cause of Loss,** at any **Location** purchased, leased or rented by the Insured after the inception date of this Policy and the actual Time Element loss sustained by the Insured, during the Period of Liability, resulting from the necessary **Suspension** of the Insured's business activities at that **Location,** if the **Suspension** is caused by direct physical loss of or damage to such property caused by a **Covered Cause of Loss.**

(2) This Coverage applies from the date of purchase, lease or rental and will end at the earliest of:

(a) The Policy expiration date;

(b) The number of consecutive days, as stated in the Declarations, after the Insured first acquired an interest in the Property Insured; or

(c) When the Insured reports the **Location** to the Company.

ll. OFF PREMISES SERVICE INTERRUPTION

(1) The Company will pay for direct physical loss of or damage to Property Insured and for the actual Time Element loss sustained by the Insured during the **Period of Service Interruption** at Insured Locations caused by the partial or total interruption of an incoming service consisting of electricity, gas, fuel, steam, water, or refrigeration or from the lack of outgoing sewage service.

(2) The interruption of service must result from direct physical loss of or damage to property of the supplier of such service located within the number of kilometers stated on the Declarations of a **Location,** caused by a **Covered Cause of Loss** that immediately prevents in whole or in part the delivery of such usable services.

(3) This Coverage will apply only when the **Period of Service Interruption** exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible up to the number of consecutive days stated in the Declarations, but not more than the Limit of Liability applying to this Coverage. The **Qualifying Period** applies to direct physical loss of or damage to Property Insured and the Time Element loss sustained.

(4) Exclusions a.(2), c.(6) and d. of Subsection 3.3. do not apply to this Coverage.

(5) This Coverage excludes loss of or damage to Property Insured and the Time Element loss sustained directly or indirectly caused by or resulting from the interruption of such services when such interruption is caused directly or indirectly by:

(a) The failure of the Insured to comply with the terms and conditions of any contract(s) the Insured has for the supply of such specified services; or

(b) The failure of any satellite or any condition that causes the interruption of, or interference with, transmission(s) to or from any satellite,

regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

mm. PROFESSIONAL FEES

(1) The Company will pay for the actual costs incurred by the Insured for the reasonable fees paid to the Insured's accountants, architects, auditors, engineers, or other professionals and for the cost of using the Insured's employees (for producing and certifying any details contained in the Insured's books or

documents, or such other proofs, information or evidence required by the Company) as a result of loss or damage payable under this Policy for which the Company has accepted liability.

(2) This Coverage excludes the fees and costs of:

(a) Lawyers, **Public Adjusters** and loss appraisers, including any of their subsidiary(ies), related or associated entities either partially or wholly owned by them or retained by them for the purpose of assisting them; and

(b) Consultants who provide consultation on coverage or negotiate claims.

nn. PROTECTION AND PRESERVATION OF PROPERTY

(1) The Company will pay for the reasonable and necessary costs incurred by the Insured for actions to temporarily protect or preserve Property Insured; provided such actions are necessary due to actual or impending physical loss or damage, due to a **Covered Cause of Loss**, to such Property Insured; and

(2) The actual Gross Earnings or **Gross Profit** loss sustained by the Insured for a period of time not to exceed the hours, listed in the Declarations, prior to and after the Insured first taking reasonable action for the temporary protection and preservation of Property Insured.

(3) This Coverage is subject to the deductible provisions that would have applied had the physical loss or damage occurred.

oo. RADIOACTIVE **CONTAMINATION**

The Company will pay for direct physical loss of or damage to Property Insured and for the actual Time Element loss sustained by the Insured, during the Period of Liability, at Insured Locations caused by sudden and accidental radioactive **Contamination,** including resultant radiation damage, at an Insured Location, provided the radioactive **Contamination** arises out of material at the Insured Location that is:

(1) Commonly known to be radioactive; and

(2) Used as part of the Insured's business activities, and

there is neither a nuclear reactor capable of sustaining nuclear fission in a self-supporting chain reaction, nor any new or used nuclear fuel that is intended for or which has been used in that type of nuclear reactor at the Insured Location.

pp. RESEARCH AND DEVELOPMENT

(1) The Company will pay for the fixed charges and fixed expenses (including **Ordinary Payroll**) actually incurred by the Insured directly attributable to the interruption of research and development project(s) after direct physical loss of or damage to research and development project(s) at a **Location** caused by a **Covered Cause of Loss,** but not to exceed the number of months as stated in the Declarations, up to the Limit of Liability applying to this Coverage.

(2) Coverage starts when there is direct physical loss of or damage to research and development project(s) at a **Location,** caused by a **Covered Cause of Loss,** and ends the earlier of:

(a) The time period stated in the Declarations; or

(b) When the research and development project(s) has resumed to the same or equivalent conditions that existed immediately prior to the loss.

(3) This Coverage excludes payment for any other Time Element loss under this Coverage. This Coverage does not insure any fixed charges and/or fixed expenses (including **Ordinary Payroll**) otherwise payable elsewhere in the Policy.

(4) The amount the Company will pay for **Ordinary Payroll** under this Coverage will not exceed any of the following:

(a) The **Ordinary Payroll** amount for the number of consecutive days (as stated in the Declarations) after the loss or damage occurred.

(b) Any Limit of Liability, as stated in the Declarations, for **Ordinary Payroll**.

qq. RESEARCH ANIMALS

(1) The Company will pay for the reasonable and necessary costs incurred by the Insured to research, replace or restore a Research Animal to the animal's same condition that existed prior to the animal's death caused by a **Covered Cause of Loss,** while anywhere within this Policy's Territory, including while in transit, when the loss is in excess of the amount stated in the Declarations. No other deductible applies to this Coverage. This Coverage does not apply to loss of Research Animals that cannot be replaced to the same condition that existed prior to the loss.

(2) This Coverage excludes costs caused by or resulting from:

(a) Death or destruction from natural causes, unknown causes, medical procedures including surgery, inoculation, parturition, or abortion;

(b) Errors or omission in processing and/or failure on the part of the Insured to provide nourishment, medicine or sanitary conditions;

(c) **Contamination** of animal, food or medicine;

(d) The intentional slaughter of animals;

(e) Escape, unless directly resulting from a **Covered Cause of Loss**; or

(f) Death or destruction resulting from activities of any animal, unless resulting from a **Covered Cause of Loss**.

(3) The Time Element Coverages do not apply to this Coverage.

rr. REWARD PAYMENTS

The Company will pay for the cost incurred by the Insured for rewards the Insured pays, other than to the Insured, for information leading to a conviction of any persons for arson or other crimes in connection with a **Covered Cause of Loss** to Property Insured. No deductible applies to this Coverage.

ss. SPOILAGE FROM ON PREMISES SERVICE INTERRUPTION

(1) The Company will pay for spoilage of Property Insured during the **Period of Service Interruption** at Insured Locations caused by the interruption of services consisting of electricity, gas, fuel, steam, water, or refrigeration.

(2) The interruption of service must result from a **Covered Cause of Loss** to Property Insured under this Policy.

(3) This Coverage will only apply when the **Period of Service Interruption** exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible, but not more than the Limit of Liability applying to this Coverage.

(4) Exclusions a.(2) and d.(4) of Subsection 3.3. do not apply to this Coverage.

(5) This Coverage excludes loss or damage directly or indirectly caused by or resulting from the interruption of such services, when such interruption is caused directly or indirectly by the failure of the Insured to comply with the terms and conditions of any contract(s) the Insured has for the supply of such specified services, regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

tt. TENANTS ACCESS

(1) The Company will pay for the actual Gross Earnings or **Gross Profit** loss sustained by the Insured resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location if access by the Insured's suppliers, customers or employees is physically obstructed due to the owner, landlord or a legal representative of the building owner or landlord, hindering or preventing access to the Insured Location.

(2) This Coverage will only apply when the period of time that access is hindered or prevented exceeds the time shown as a **Qualifying Period** in the **Qualifying Period** clause of the Declarations section. If the **Qualifying Period** is exceeded, this Policy will pay for the amount of loss in excess of the applicable deductible, up to the number of consecutive days as stated in the Declarations, but not more than the Limit of Liability applying to this Coverage.

(3) This Coverage excludes loss directly or indirectly caused by or resulting from hindered or prevented access to the Insured Location, when such hindered or prevented access is caused directly or indirectly by the failure of the Insured to comply with the terms and conditions of any contract(s) the Insured has for the use of such Insured Location, regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

uu. TENANTS RELOCATION AND REPLACEMENT EXPENSE

(1) The Company will pay for the reasonable and necessary **Moving Costs** when the Insured's tenant(s) at an Insured Location are relocated or moved temporarily and the **Tenant Replacement Costs** when the lease of the Insured's tenant(s) at an Insured Location is cancelled, due to direct physical loss of or damage to Property Insured at such Insured Location caused by a **Covered Cause of Loss.**

(2) The **Moving Costs** and **Tenant Replacement Costs** must be incurred no later than the number of consecutive days as stated in the Declarations after the building repairs have been completed. The expiration of this Policy will not limit this time period.

vv. TRANSIT

(1) The Company will pay for direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss** while such property is in transit within this Policy's Territory, including:

(a) The Insured's interest in Free on Board (F.O.B) shipments, Free-Along-Side (F.A.S) shipments and returned shipments. The Insured's contingent interest is admitted.

(b) The Insured's loss of property caused by fraud or deceit perpetrated by any person or persons who may represent themselves to be the proper party or parties to receive goods for shipment or accept goods for delivery.

(c) The Insured's legal liability as a carrier of lawful goods and merchandise by vehicles under bills of lading or shipping receipts issued by the Insured, while in the Insured's custody or in the custody of connecting carriers in transit.

(d) The Insured's interest in general average, salvage and other charges on shipments covered hereunder.

(2) The Insured is granted the privilege to ship under released or limited bills of lading or shipment receipts.

(3) This Coverage also insures the actual Time Element loss sustained by the Insured, during the Period of Liability, resulting from the necessary **Suspension** of the Insured's business activities at an Insured Location, if the **Suspension** is caused by direct physical loss of or damage to Property Insured caused by a **Covered Cause of Loss**.

(4) Coverage starts when the vehicle transporting Property Insured leaves the originating location and ends upon arrival at the destination location and the goods are transferred to the custody or control of the consignee, warehouseman or receiver.

(5) This Coverage excludes loss or damage to:

(a) Property while waterborne, except:

(i) While on the navigable inland waterways of a country;

(ii) While on roll-on/roll-off ferries between countries; or

(iii) While on coastal shipments.

(b) Property shipped by mail from the time it passes into the custody of any governmental postal service;

(c) Property for sale while in the care, custody or control of the Insured's sales persons or representatives, except for such property used solely for the purposes of sales samples;

(d) Any conveyance used for property in transit;

(e) Property insured under any ocean marine insurance; or

(f) Property under airborne shipment unless by regularly scheduled passenger airlines or air freight carriers.

(6) As respects to this Coverage, Exclusion b.(6) of Subsection 3.3. does not apply.

(7) If this Policy expires during the due course of transit, coverage is extended until the shipment is delivered to its final destination and the goods are transferred to the custody or control of the consignee, warehouseman or receiver.

ww. VALUABLE PAPERS AND RECORDS

(1) The Company will pay for direct physical loss of or damage to inscribed, printed or written documents, manuscripts or records, including abstracts, books, deeds, drawings, films, maps, mortgages, prints and tracings, files and tapes, and card index systems caused by a **Covered Cause of Loss** at an Insured Location. The Company will pay for the value of the blank Personal Property and the reasonable and necessary costs incurred by the Insured to research, replace or restore the information lost or damaged thereon.

(2) This Coverage excludes:

(a) Loss of or damage to property that cannot be repaired or restored with like kind or quality; or

(b) Loss of or damage to **Digital Assets**, **Money**, **Digital Currency** or **Securities**.

5.3. **DESCRIBED CAUSES OF LOSS**

a. **BREAKDOWN** OF EQUIPMENT

(1) The Company will pay for direct physical loss of or damage to **Covered Equipment**, Time Element loss and Special Coverages loss if such loss or damage is caused by a sudden and accidental **Breakdown** of **Covered Equipment**, which manifests itself by physical damage at the time of its **Occurrence** and necessitates repair or replacement, regardless of any other cause or event contributing concurrently or in any other sequence of loss.

(2) This Coverage includes **Breakdown** of **Covered Equipment** that occurs during operational testing.

(3) All **Breakdown(s)** at any one Insured Location that manifest themselves at the same time and are the result of the same cause will be considered one **Breakdown**.

(4) Refrigerant

The Company will pay for resulting loss or damage, including salvage expense, caused by a refrigerant contacting or permeating Property Insured under refrigeration or in a process requiring refrigeration caused by a sudden and accidental **Breakdown** of **Covered Equipment** at an Insured Location, but not more than the Limit of Liability applying to Refrigerant in the Declarations.

(5) Spoilage From **Breakdown** Of **Covered Equipment**

The Company will pay for spoilage of **Raw Materials**, **Stock in Process**, **Finished Stock** or **Merchandise**, caused by a sudden and accidental **Breakdown** of **Covered Equipment**, provided the **Raw Materials**, **Stock in Process**, **Finished Stock** or **Merchandise** is in storage or in the course of being manufactured, but not more than the Limit of Liability applying to Spoilage From **Breakdown** Of **Covered Equipment** in the Declarations.

b. **EARTH MOVEMENT**

(1) The Company will pay for direct physical loss of or damage to Property Insured, Time Element loss and Special Coverages loss if such loss or damage is caused by **Earth Movement,** regardless of any other cause or event contributing concurrently or in any other sequence of loss. However, ensuing direct physical loss of or damage to Property Insured caused by fire, explosion, theft, vandalism, sprinkler leakage or **Flood** will not be considered loss by **Earth Movement** within the terms and conditions of this Policy.

(2) All **Earth Movement** that occurs within the period defined in the Declarations will constitute a single **Occurrence.** The expiration of this Policy will not reduce that period. The Insured may elect the point in time when the period defined in the Declarations begins; but such point in time must not precede the loss of or damage to Property Insured. Any loss or damage from such **Earth Movement** occurring outside of the period defined in the Declarations for a single **Occurrence** of **Earth Movement** will constitute a separate **Occurrence** subject to any additional deductibles and Limits of Liability that apply under this Policy.

c. **FLOOD**

(1) The Company will pay for direct physical loss of or damage to Property Insured, Time Element loss and Special Coverages loss if such loss of or damage is caused by **Flood,** regardless of any other cause or

event contributing concurrently or in any other sequence of loss. However, ensuing direct physical loss of or damage to Property Insured caused by fire, explosion, theft, vandalism or sprinkler leakage will not be considered to be loss by **Flood** within the terms and conditions of this Policy.

(2) All **Flood** that occurs within the period defined in the Declarations will constitute a single **Occurrence.** The expiration of this Policy will not reduce that period. The Insured may elect the point in time when the period defined in the Declarations begins; but such point in time must not precede the loss of or damage to Property Insured. Any loss or damage from such **Flood** occurring outside of the period defined in the Declarations for a single **Occurrence** of **Flood** will constitute a separate **Occurrence** subject to any additional deductibles and Limits of Liability that apply under this Policy.

d. **NAMED STORM**

(1) The Company will pay for direct physical loss of or damage to Property Insured, Time Element loss and Special Coverages loss if such loss or damage is caused by **Named Storm,** regardless of any other cause or event contributing concurrently or in any other sequence of loss. However, ensuing direct physical loss of or damage to Property Insured caused by fire, explosion, theft, vandalism, sprinkler leakage or Flood will not be considered loss by **Named Storm** within the terms and conditions of this Policy.

(2) All **Named Storm** damage that occurs within the period defined in the Declarations will constitute a single **Occurrence.** The expiration of this Policy will not reduce that period. The Insured may elect the point in time when the period defined in the Declarations begins; but such point in time must not precede the loss of or damage to Property Insured. Any loss or damage from such **Named Storm** occurring outside of the period defined in the Declarations for a single **Occurrence** of **Named Storm** will constitute a separate Occurrence subject to any additional deductibles and Limits of Liability that apply under this Policy.

SECTION 6. – CONDITIONS

6.1. LOSS ADJUSTMENT AND SETTLEMENT

a. DUTIES IN THE EVENT OF LOSS OR DAMAGE

The Insured must see that the following are done in the event of loss or damage to Property Insured:

(1) Notify the police if a law may have been broken.

(2) Give the Company prompt notice of the loss or damage, including a description of the property involved.

(3) As soon as possible, give the Company a description of how, when and where the loss or damage occurred.

(4) Take all reasonable steps to protect the Property Insured from further damage. If feasible, set the damaged property aside and in the best possible order for examination. Also, keep a record of expenses for emergency and temporary repairs for consideration in the settlement of the claim. This will not increase the Limit of Liability.

(5) At the Company's request, provide a complete inventory of the damaged and undamaged property, including quantities, costs, values and amount of loss claimed.

(6) As often as reasonably required, permit the Company to inspect the property, books and records evidencing the loss or damage, including taking some or all of damaged and undamaged property for inspection, testing and analysis, and permit the Company to make copies of the Insured's books and records.

(7) Permit the Company to question the Insured, the Insured's employees and agents under oath, while not in the presence of any other Insured and at such times as may be reasonably required, about any matter

relating to this insurance or the loss or damage. An Insured's answers must be signed or attested to by a notary public, commissioner of oaths or a court reporter accredited by an appropriate provincial or territorial court reporters' association.

(8) Give the Company a signed sworn statement of loss containing the information necessary to investigate the claim. If requested by the Company, the Company will supply the necessary form and the Insured must return this completed form within 60 days of the request or as required by law.

(9) Cooperate with the Company in the investigation or settlement of the claim.

b. CONTROL OF DAMAGED GOODS

In the event of direct physical loss of or damage to **Finished Stock** or **Merchandise**, caused by a **Covered Cause of Loss**, that carries the Insured's brand or trade name; this Policy gives control of the physically damaged property as follows:

(1) The Insured will have full rights to the possession, control and disposition of the property.

(2) The Insured, using reasonable judgment, will decide if the Insured can reprocess or sell the property.

(3) The Insured will allow the Company to deduct from the amount of loss otherwise payable the fair market salvage value of the property that could have been obtained on any sale or other disposition of goods or products through normal insurance industry salvage practices.

c. SETTLEMENT OF CLAIMS

(1) Loss Payment

In the event of loss or damage to Property Insured, the Company will, at its option:

(a) Pay the value of lost or damaged property;

(b) Pay the cost of repairing or replacing the lost or damaged property;

(c) Take all or any part of the property at an agreed valuation; or

(d) Pay to repair, rebuild or replace the property with other property of like kind and quality.

(2) The Company will give notice of its intentions within 30 days after receiving the sworn statement of loss or as required by law.

(3) The Company will not pay more than the Insured's financial interest in the Property Insured.

(4) The Company will pay for covered loss or damage within 30 days or as required by law, after receiving the sworn statement of loss, if the Insured has complied with all the terms of this Policy; and

(a) The Company has reached agreement on the amount of loss; or

(b) An appraisal award has been made, subject to Condition f. of Subsection 6.1.

(5) Priority of Payment

In the event of a claim that involves more than one interest and/or coverage and/or peril; the Insured has the option to apportion recovery under this Policy when submitting a final proof of loss, subject to the overall amount of claim not exceeding the applicable Limit of Liability and subject to all other terms and conditions of the Policy.

For the purpose of attachment of coverage for excess layers, claims involving any interest and/or peril covered in the primary or underlying excess layers, but not covered in higher excess layers, will be recognized by such excess layers as eroding or exhausting the Occurrence Limits of Liability of the primary and/or underlying excess layer(s). Nothing, however, will extend coverage in such layers(s) to include loss from any interest and/or peril not covered in the excess layer(s) itself.

d. LOSS ADJUSTMENT/PAYABLE

Loss, if any, will be adjusted with and payable to the **First Named Insured** as shown on this Policy, or as directed by the **First Named Insured**.

When a Lender or Mortgagee is named in the Certificates of Insurance on file with the Company, the Lender or Mortgagee will be included in loss payments as their interests may appear.

When a Loss Payee is named in the Certificates of Insurance on file with the Company, the Loss Payee will be included in loss payments made to the Insured as their interests may appear. The Loss Payee has no other rights under this Policy.

When an Additional Insured is named in the Certificates of Insurance on file with the Company, the Additional Insured will be included in loss payments as their interests may appear.

e. ABANDONMENT

There may be no abandonment of any property to the Company.

f. APPRAISAL

If the Insured and the Company fail to agree on the value of the property or the amount of loss, each will, on the written demand of either, select a competent, disinterested, and impartial appraiser, who has no direct or indirect financial interest in the claim. Each will notify the other of the appraiser selected within 20 days of such demand. The Insured may not invoke Appraisal unless it has first fully complied with all provisions of this Policy, including Duties in the Event of Loss or Damage and has provided the Company with a signed and sworn statement of loss.

The appraisers will first select a competent, disinterested and impartial umpire. If the appraisers fail to agree upon an umpire within 15 days, on the request of the Insured or the Company, a judge of a court of record in the jurisdiction in which the appraisal is pending will select the umpire. The appraisers will then appraise the value of the property or the amount of loss. For each individual item of Property Insured they will each state the amount of loss based on an **Actual Cash Value** basis and a **Replacement Cost** value basis, as of the date of loss. For a Time Element loss, they will each state the amount of loss for each Time Element Coverage of this Policy.

If the appraisers fail to agree, they will submit their differences to the umpire. An award agreed to in writing by any two will determine the amount of loss.

An award will state separately the amount of loss based on the **Actual Cash Value** basis and **Replacement Cost** value basis as of the date of loss for each individual item of Property Insured. For a Time Element loss, it will state the amount of loss for each Time Element Coverage of this Policy.

Once there is an award, the Company retains the right to apply all Policy terms and conditions (including but not limited to deductibles, **Qualifying Periods,** exclusions, and Limits of Liability) to the award. The Company further retains its right to deny the claim in whole or in part.

The Insured and the Company will each pay its chosen appraiser and bear equally the other expenses of the appraisal and umpire.

g. SUBROGATION

The Insured is required to cooperate in any subrogation proceedings. To the extent of the Company's payment, the Insured's rights of recovery against any party are transferred to the Company.

The Company acquires no rights of recovery that the Insured has expressly waived prior to a loss, nor will such waiver affect the Insured's rights under this Policy.

Any recovery from subrogation proceedings, less costs incurred by the Company in such proceedings, will be payable to the Insured in the proportion that the amount of any applicable deductible and/or any provable uninsured loss, bears to the entire provable loss amount.

h. ACTION AGAINST THE COMPANY

No suit, action or proceeding for the recovery of any claim will be sustained in any court of law or equity unless the Insured has fully complied with all the provisions of this Policy. Legal action must be started within 12 months after the date of direct physical loss of or damage to Property Insured or to other property as set forth herein.

If under the laws of the jurisdiction in which the property is located such 12 months' limitation is invalid, any such legal action needs to be started within the shortest limit of time permitted by such laws.

i. PRIVILEGE TO ADJUST WITH OWNER

In the event of loss or damage involving Property of Others in the Insured's care, custody or control, the Company has the right, but not the duty to:

(1) Settle the loss or damage with the owners of such Property.

(2) Provide a defence for legal proceedings brought against the Insured. If provided, the expense for this defence will be at the Company's cost and will not reduce any applicable Limit of Liability.

j. VALUATION

In the event of any claim for direct physical loss of or damage to Property Insured:

(1) **Replacement Cost**

The basis of adjustment is on a **Replacement Cost** basis unless a specific valuation applies. However, the Company will not be liable for more than the **Actual Cash Value** of the damaged property until the damaged property has been repaired, rebuilt or replaced, at which time the difference between the **Actual Cash Value** and the **Replacement Cost** value will be paid if such repairs, rebuilding or replacement were started within 2 years from the date of direct physical loss or damage.

(2) Pairs, Sets or Components

The Company will pay the reduction in value of fine arts, **Finished Stock** or **Merchandise** that is part of pairs, sets or components directly resulting from physical loss of or damage to other insured parts of pairs, sets or components of such fine arts, **Finished Stock** or **Merchandise** caused by a **Covered Cause of Loss** as follows:

(a) The Company at its option will:

(i) Pay the cost of repairing or replacing any part to restore the pairs, sets or components to its value before the loss or damage;

(ii) Repair or replace any part to restore the pairs, sets or components to its value before the loss or damage; or

(iii) Pay the difference between the value of the pair, set or component before and after the loss or damage.

(b) If settlement is based on a constructive total loss, the Insured will surrender the undamaged parts of such property to the Company.

(3) The following property will be valued as specified below:

(a) **Raw Materials**

For **Raw Materials** and supplies, the **Replacement Cost**.

(b) **Stock in Process**

For **Stock in Process**, the value of **Raw Materials** and labour expended plus the proportion of overhead charges attributable to that **Stock in Process**.

(c) **Finished Stock**

For **Finished Stock** manufactured by the Insured, the valuation as stated in the Declarations. If valued at **Selling Price**, this Policy will also pay the increased tax liability incurred by the Insured due to the profit portion of a loss payment involving **Finished Stock** being greater than the tax liability of the profits that would have been earned had no loss occurred.

(d) **Merchandise**

For **Merchandise** that carries the Insured's brand or trade name, the valuation as stated in the Declarations. For all other **Merchandise**, the valuation as stated in the Declarations.

(e) Deferred Payments

For property insured under Deferred Payments, the lesser of the total amount of unpaid installments less finance charges or the **Actual Cash Value** of the property at the time of loss or the cost to repair or replace with material of like size, kind and quality.

(f) Buildings, Machinery and Equipment

For buildings (or structures) or machinery and equipment, other than stock, offered for sale on the date of loss, the cost to repair or replace but not more than the selling price.

(g) Electrical or Mechanical Equipment

For non-repairable electrical or mechanical equipment, including computer equipment, the cost to replace with equipment that is the most functionally equivalent to that damaged or destroyed, even if such equipment has technological advantages, represents an improvement in function, or forms part of a program of system enhancement.

(h) **Improvements and Betterments**

Improvements and Betterments at **Replacement Cost** if such property is repaired or replaced at the expense of the Insured. For **Improvements and Betterments** that are not repaired, rebuilt or replaced at the expense of the Insured, the Company will not be liable for more than a proportion of the original cost determined as follows:

(1) Multiply the original cost of the **Improvements and Betterments** by the number of days from the date of the loss or damage to the expiration date of the lease; and

(2) Divide the amount determined in a. above by the number of days from the installation date of the **Improvements and Betterments** to the expiration date of the lease.

(3) If the lease contains a renewal option, the expiration date of the renewal option period will replace the expiration date of the lease in this procedure.

(i) Obsolete Property

For property that is useless to the Insured or obsolete, the **Actual Cash Value.**

(j) Vehicles

For vehicles, the valuation as stated in the Declarations.

(k) Capital Expenditure Election

The Insured may elect not to repair or replace damaged Property Insured, however, if loss settlement proceeds are expended on other capital expenditures, on property (of the type insurable under this Policy) related to the business activities of the Insured, within two years from the date of loss, the lesser of the repair or **Replacement Cost** of damaged Property Insured will be paid. As a condition of collecting under this clause, such expenditure must be unplanned as of the date of loss and be made at an Insured Location. This clause does not extend to the Increased Cost of Construction Coverage.

k. CURRENCY FOR LOSS PAYMENT

Losses will be adjusted and paid in the currency designated in Subsection 2.2., unless directed otherwise by the Insured. In the event of a loss adjustment involving local currency, the exchange-selling rate will be calculated as follows:

(1) As respects to the calculation of deductibles and Limits of Liability, the rate of exchange published in the Globe and Mail on the date of loss.

(2) As respects to direct physical loss of or damage to Real and Personal Property:

(a) The cost to repair or replace Real and Personal Property will be converted based on the rate of exchange published in the Globe and Mail on the date of settlement.

(b) If such property is not replaced or repaired, the conversion will be based on the rate of exchange published in the Globe and Mail on the date of loss.

(3) As respects to a Time Element loss, the conversion will be based on the average of the rate of exchange published in the Globe and Mail on the date of loss and the rate of exchange published in the Globe and Mail on the last day of the Period of Liability.

(4) If the Globe and Mail was not published on the stipulated date, the rate of exchange will be as published on the next business day.

6.2. GENERAL PROVISIONS

a. CANCELLATION/NON-RENEWAL

(1) Cancellation

(a) The **First Named Insured** shown in the Declarations may cancel this Policy by mailing or delivering to the Company advance written notice of cancellation.

(b) The Company may cancel this Policy by mailing or delivering to the **First Named Insured** written notice of cancellation at least:

(i) The number of days before the effective date of cancellation if the Company cancels for nonpayment of premium, as stated in the Declarations; or

(ii) The number of days before the effective date of cancellation if the Company cancels for any other reason, as stated in the Declarations.

(c) The Company will mail or deliver notice to the **First Named Insured's** mailing address shown in the Declarations of this Policy or any Endorsement attached thereto.

(d) Notice of cancellation will state the effective date of cancellation. The Policy Period will end on that date.

(e) If this Policy is cancelled, the Company will send the **First Named Insured** any premium refund due. If the Company cancels, the refund will be pro rata. If the **First Named Insured** cancels, the refund may be less than pro rata but no less than the customary short rate amount. The cancellation will be effective even if the Company has not made or offered a refund.

(f) If notice is mailed, proof of mailing will be sufficient proof of notice.

(g) If under the laws of the jurisdiction in which the property is located, such cancellation terms or conditions are different, then cancellation terms or conditions will be as permitted by such laws.

(2) Non-renewal

The Company may non-renew this Policy by mailing or delivering to the **First Named Insured** written notice, the number of days before the non-renewal, as permitted by law in the jurisdiction where in the property is located.

b. CERTIFICATES OF INSURANCE

Any Certificate of Insurance issued in connection with this Policy is provided solely as a matter of convenience or information for the addressee(s) or holder(s) of such Certificate of Insurance, except as provided under the Policy when a loss payee(s) or mortgagee(s) are named. The Certificate does not amend, extend or alter the coverage or any of the limits of insurance afforded by the Policy.

In the event this Policy is cancelled pursuant to the Cancellation/Non-Renewal provision, other than for nonpayment of premium, and except as provided otherwise, the Company will provide notice of cancellation to those entities set out in the Certificates of Insurance on file with the Company, within 30 days after notifying the **First Named Insured**. However, in no event will failure to provide notice to entities set out in Certificates of Insurance waive the Company's right or ability to cancel the policy as allowed by law.

The Company hereby authorizes the Broker named on the Policy to issue Certificates of Insurance consistent with the foregoing.

c. CONCEALMENT, MISREPRESENTATION OR FRAUD

This Policy is void as to all Insureds in any case of fraud by any Insured as it relates to this Policy at any time. It is also void if any Insured, at any time, intentionally conceals or misrepresents a material fact concerning:

(1) This Policy;

(2) The Property Insured;

(3) The Insured's interest in Property Insured; or

(4) A claim under this Policy.

d. CONFORMITY TO STATUTES

Any provisions required by law to be included in policies issued by the Company will be deemed to have been included in this Policy.

If the provisions of this Policy conflict with the laws of any jurisdictions in which this Policy applies, and if certain provisions are required by law to be stated in this Policy, this Policy will be read so as to eliminate such conflict or deemed to include such provisions for Insured Locations within such jurisdictions.

Where any part of this policy is deemed to be invalid or unenforceable, the remainder shall have full force and effect.

e. INSPECTIONS AND SURVEYS

(1) The Company has the right but not the obligation to make inspections and surveys at any time, to give the Insured reports on the conditions found, and to recommend changes.

(2) Any inspections, surveys, reports or recommendations relate only to insurability and the premiums to be charged. The Company does not make safety inspections. The Company does not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public, nor does it represent that conditions are safe, healthful, or comply with laws, regulations, codes or standards.

(3) This condition applies not only to the Company, but also to any rating, advisory, rate service or similar organization that makes insurance inspections, surveys, reports or recommendations.

f. JOINT LOSS

This clause applies only if all of the following requirements are met:

(1) The **Breakdown** of Equipment **Described Cause of Loss** is shown as **NCP** in the Declarations of this Policy and the Breakdown Of Equipment Coverage carried by the Named Insured, insuring the Property Insured contains a similar Joint Loss provision with substantially the same requirements, procedures and conditions as contained in this Policy.

(2) The loss of or damage to the Property Insured was caused by a **Covered Cause of Loss** for which both the Insurer(s) of the Property Coverage and the Insurer(s) of the Breakdown Of Equipment Coverage admit to some liability for payment under the respective policies.

(3) The total amount of loss is agreed to by the Insured, the Insurer(s) of the Property Coverage and the Insurer(s) of the Breakdown Of Equipment Coverage.

(4) The Insurer(s) of the Property Coverage and the Insurer(s) of the Breakdown Of Equipment Coverage disagree as to the amount of loss that both should pay that is attributable to:

(a) An accident covered under the Breakdown Of Equipment Coverage; and

(b) A **Covered Cause of Loss** under the Property Coverage.

(5) If the requirements listed above are satisfied, the Insurer(s) of the Property Coverage and of the Breakdown Of Equipment Coverage will make payments to the extent, and in the manner, described in the following:

(a) The Insurer(s) of the Breakdown Of Equipment Coverage will pay, after the Insured's written request, the entire amount of loss that they have agreed as being covered by Breakdown Of Equipment Coverage and one-half (1/2) the amount of loss that is in disagreement.

(b) The Insurer(s) of the Property Coverage will pay, after the Insured's written request, the entire amount of loss that they have agreed as being covered by the Property Coverage and one-half (1/2) the amount of loss that is in disagreement.

(c) The amount in disagreement to be paid by the Insurer(s) of the Breakdown Of Equipment Coverage and the Insurer(s) of the Property Coverage under this Joint Loss provision will not exceed the amount payable under the equivalent loss adjustment provisions of the Insurer(s) of the Property Coverage and the Breakdown Of Equipment Coverage.

(6) The amount to be paid under this Joint Loss provision will not exceed the amount that would have been paid had no Property Coverage or, in the alternative, no Breakdown Of Equipment Coverage been in effect at the time of loss.

(7) Acceptance by the Insured of sums paid under this Joint Loss provision does not alter, waive or surrender any other rights against the Insurer(s).

(8) Additional Conditions:

(a) The Insurer(s) of the Property Coverage and the Insurer(s) of the Breakdown Of Equipment Coverage agree to submit their differences to arbitration within 90 days after payment of the loss under the terms of this Joint Loss provision.

(b) The Insured agrees to cooperate with any arbitration procedures. There will be three arbitrators: one will be appointed by the Insurer(s) of the Breakdown Of Equipment Coverage and one will be appointed by the Insurer(s) of the Property Coverage. The two arbitrators will select a third arbitrator. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. A decision agreed to by two of the three arbitrators will be binding on both parties. Judgment on any award can be entered in any court that has jurisdiction. The Insurer(s) of the Breakdown Of Equipment Coverage will pay their designated arbitrator and the Insurer(s) of the Property Coverage will pay their designated arbitrator. The Insurer(s) of the Breakdown Of Equipment and the Insurer(s) of the Property Coverage will split the expense of the third arbitrator.

g. JURISDICTION

Any disputes arising hereunder will be exclusively subject to the jurisdiction of a court of competent jurisdiction within Canada.

h. LENDERS LOSS PAYEE AND MORTGAGE HOLDER INTERESTS AND OBLIGATIONS

(1) When named in Certificates of Insurance on file with the Company, the Company will pay for covered loss to Property Insured under this Policy to each:

(a) Lender Loss Payee (hereinafter referred to as the Lender) as its interest may appear, in order of precedence; or

(b) Mortgagee as its interest may appear, in order of precedence.

(2) The interest of the named Lender or Mortgagee for Property Insured under this Policy will not be invalidated by:

(a) Any act or neglect of any Insured.

(b) The commencement of foreclosure, notice of sale, or similar proceedings with respect to the property.

(c) A change in the title or ownership of the property.

(d) A change to a more hazardous occupancy.

(3) The Lender or Mortgagee will notify the Company of any known change in ownership, occupancy, or hazard and, within 10 days of written request by the Company, may pay the increased premium associated with such known change. If the Lender or Mortgagee fails to pay the increased premium, all coverage under this Policy will cease.

(4) In the event of a claim, upon request of the Company, the Lender or Mortgagee will cooperate in any claim investigation.

(5) If this Policy is cancelled at the request of the Insured, the coverage for the interest of the Lender or Mortgagee will terminate 10 days after the Company sends to the Lender or Mortgagee written notice of cancellation, unless:

(a) This Policy is terminated earlier by authorization, consent, approval, acceptance, or ratification of the Insured's action by the Lender, Mortgagee, or its agent.

(b) This Policy is replaced by the Insured, with a policy providing coverage for the interest of the Lender or Mortgagee, in which event coverage under this Policy with respect to such interest will terminate as of the effective date of the replacement policy, notwithstanding any other provision of this Policy.

(6) The Company may cancel this Policy and/or the interest of the Lender or Mortgagee under this Policy, by sending the specified Lender or Mortgagee written notice 30 days prior to the effective date of cancellation, if cancellation is for any reason other than non-payment of premium. If the Insured has failed to pay any premium due under this Policy, the Company may cancel this Policy for such non-payment, but will send the Lender or Mortgagee written notice 10 days prior to the effective date of cancellation. If the Lender or Mortgagee fail to pay the premium due by the specified cancellation date, all coverage under this Policy will cease.

(7) The Company has the right to invoke this Policy's Suspended Property clause. When the Company suspends the insurance, it will also apply to the interest of any Lender or Mortgagee. The Company will send the named Lender or Mortgagee, at the last known address, a copy of such notice.

(8) If the Company pays a Lender or Mortgagee for any loss, and denies payment to the Insured, the Company will, to the extent of the payment made to the Lender or Mortgagee be subrogated to the rights of the Lender or Mortgagee under all securities held as collateral. No subrogation will impair the right of the Lender or Mortgagee to recover the full amount of its claim. At its option, the Company may pay to a Lender or Mortgagee the whole principal due on the debt or mortgage plus any accrued interest and charges. In this event, all rights and securities will be assigned and transferred from the Lender or Mortgagee to the Company, and the remaining debt or mortgage will be paid to the Company.

(9) If the Insured fails to render a proof of loss, the Lender or Mortgagee, upon notice of the Insured's failure to do so, will render a proof of loss within 60 days of notice and will be subject to the Insured's duties, obligations and provisions of this Policy when presenting a claim.

(10) In no event will the amount payable to a Lender or Mortgagee exceed the amount that would be payable to the Named Insured.

i. LIBERALIZATION

If during the policy period of this Policy the Company adopts a revision to any standard Company policy form contained in this Policy that would broaden coverage without additional premium, the broadened coverage will immediately be deemed to apply to this Policy as of the date the Company adopts the revised policy form.

j. NO REDUCTION BY LOSS

Loss or damage will not reduce the amount of insurance recoverable, except where an **Annual Aggregate** applies. The reinstatement of any exhausted **Annual Aggregate** is not permitted unless authorized by the Company in writing.

k. OTHER INSURANCE

Insurance that is intended to pay proportionally with this insurance as a part of a property insurance plan or program expressly written with other participants is not other insurance as described below.

(1) The Company will not be liable if, at the time of loss or damage, there is any other insurance that would attach in the absence of this insurance; except, subject to (4) of this paragraph, this insurance will apply only as excess insurance, Difference in Conditions or Difference in Limits insurance after all other insurance has been exhausted. In no event will this insurance apply as contributing insurance.

(2) The Company gives the Insured permission to purchase insurance for all or any part of the deductible(s) in this Policy, and the existence of underlying insurance will not prejudice the Insured's rights under this Policy.

(a) The deductible and any amount paid under such other insurance that would be covered under this Policy will apply to the deductible that would apply in this Policy.

(b) This Policy will then apply on an excess, Difference in Conditions or Difference in Limits basis.

(3) The Insured can purchase excess insurance commencing on or after the inception date of this Policy that is specifically excess over the limits of liability set forth in this Policy without prejudice to this Policy. The existence of such other insurance will not reduce any liability under this Policy.

(4) The Company will not be liable if, at the time of loss or damage, there is any of the following other insurance that would attach in absence of this insurance:

(a) A stand alone flood insurance policy, including a National Flood Insurance Program policy from the Federal Emergency Management Association (FEMA) of the United States of America;

(b) A specific policy for construction, additions, renovations or alterations; or

(c) A specific policy for **Finished Stock**, **Merchandise**, **Raw Materials** or **Stock in Process**,

except that this insurance:

(d) Will apply only as excess after the Limit of Liability for the other insurance described in (a) through (c) of this paragraph, that has coverage for the loss or damage, has been exhausted by payment; and

(e) Will not contribute on any basis, drop down, replace or assume any obligation within the limit of liability of the other insurance described in (a) through (c) of this paragraph for any reason including, differences in insurance terms or conditions, the uncollectibility of such other insurance or the application of a sub-limit (or deductible) within such other insurance.

l. POLICY MODIFICATION

(1) This Policy contains all of the agreements between the Insured and the Company concerning this insurance. The Insured and the Company may request changes to this Policy. Only endorsements issued by the Company and made a part of this Policy can change this Policy.

(2) Notice to any broker or knowledge possessed by any broker or by any other person will not create a waiver or change any part of this Policy or prevent the Company from asserting any rights under the Policy.

m. SUSPENDED PROPERTY

When Property Insured is found to be in, or exposed to, a dangerous condition, any of the Company's representatives may immediately suspend this insurance for that property. This can be done by delivering or mailing a written notice to the **First Named Insured's** mailing address or to the address where the Property Insured is located. Once suspended, this insurance can be reinstated only by an endorsement. Any unearned premium due will be returned by the Company.

n. TITLES

The titles of the various paragraphs and endorsements are solely for reference and will not in any way affect the provisions to which they relate.

o. TRADE AND ECONOMIC SANCTIONS LIMITATION

Notwithstanding any other terms under this agreement, no insurer shall be deemed to provide coverage or will make any payments or provide any service or benefit to any insured or other party to the extent that such cover, payment, service, benefit and/or any business or activity of the insured would violate any applicable trade or economic sanctions law or regulation.

p. TRANSFER OF RIGHTS AND DUTIES

The Insured's rights and duties under this Policy may not be transferred without the Company giving written consent.

SECTION 7. – DEFINITIONS

The following terms wherever used in bold print in this Policy have a special meaning as described below:

7.1. **Actual Cash Value** - The amount it would cost to repair or replace the damaged property, on the date of loss, with material of like kind and quality, with proper deduction for physical depreciation and obsolescence, but in no event more than the fair market value.

7.2. **Annual Aggregate –**

a. The maximum amount of loss or damage payable in any one (1) Policy Period regardless of the number of Insured Locations, Coverages or **Occurrences** involved within the same Policy Period.

b. Policy Period 24 Months Or Less

When the initial Policy Period is for less than 24 months, the **Annual Aggregate** applies to all loss or damage occurring during the Policy Period even if the initial Policy Period is for more than 12 months. If any such

Policy is endorsed to extend the initial Policy Period by any amount of time, the **Annual Aggregate** applies to the initial Policy Period plus the extended period of time.

c. Multi-Year Policy

When the initial Policy Period is for 24 months or more, the **Annual Aggregate** applies separately to loss or damage occurring during each separate successive 12 month period, beginning on the effective date of the Policy. If the Policy is endorsed to extend the final 12 month period by any amount of time, the **Annual Aggregate** applies to the final 12 month period plus the extended period of time.

7.3. **Attraction Properties** - A property within the distance described in the Declarations of an Insured Location that attracts customers to the Insured's business.

7.4. **Average Daily Value (ADV)** - The 100% Gross Earnings or **Gross Profit** value at the Insured Location(s) where the direct physical loss or damage occurred and all other Insured Locations where a Time Element loss ensues for the Policy Period divided by the number of working days in the Policy period. **ADV** does not include **Ordinary Payroll** if **NCP** is shown for **Ordinary Payroll** on the Declarations.

7.5. **Breakdown** –

a. A failure of pressure or vacuum equipment;

b. An electrical failure including arcing; or

c. A mechanical failure including rupture or bursting caused by centrifugal force.

d. a. through c. of this paragraph includes an explosion to a steam boiler, electric steam generator, steam piping, steam turbine, steam engine, gas turbine, or moving or rotating machinery when such explosion is caused by centrifugal force or mechanical failure; but not the explosion of gases or fuel within the furnace of any **Covered Equipment** or within the flues or passages through which the gases of combustion pass; nor combustion explosion outside the **Covered Equipment**.

e. **Breakdown** does not mean or include:

(1) Malfunction, including but not limited to adjustment, alignment, calibration, cleaning or modification;

(2) Defects, erasures, errors, limitations or viruses in computer equipment and **Programs**;

(3) Leakage at any valve, fitting, shaft seal, gland packing, joint or connection;

(4) Damage to any vacuum tube, gas tube or brush;

(5) Damage to any structure or foundation supporting any **Covered Equipment** or any of its parts;

(6) The functioning of any safety or protective device; or

(7) Cracking of any part on an internal combustion gas turbine exposed to the products of combustion.

7.6. **Certain Water** –

a. Leakage, escape or discharge of any substance from a fire extinguishing system or equipment, caused by freezing or any other **Covered Cause of Loss**, except for discharge in response to a fire;

b. Leakage, escape, discharge, back-up or overflow of water or steam from a plumbing, heating, air conditioning or other system or appliance, caused by freezing or any other **Covered Cause of Loss**;

c. Accidental discharge or leakage from roof drains, gutters, downspouts or similar fixtures or equipment;

d. Incursion, leakage or seepage of water caused by or resulting from thawing of snow, sleet or ice on a building or structure; or

e. Incursion, leakage or seepage of rain, snow, sleet or ice, whether driven by wind or not, into the interior of a building or structure unless the building or structure first sustains damage caused by or resulting from a **Covered Cause of Loss** through which the rain, snow, sleet or ice enters.

7.7. **Cloud Service(s)** - A contracted service in the business of storing, processing and managing the Insured's **Digital Assets** and providing access and use of software or a network of servers hosted away from the Insured Location to store, process and manage the **Digital Assets**.

7.8. **Communicable Disease –** means any contagious or infectious virus, bacteria, pathogen, protein, parasite, other biological agent or organism, disease or other illness-causing agent or substance, or any combination thereof, all whether living or non-living, that can cause, contribute to or threaten any one or more of illness, syndrome, infection or disease, regardless of the method of transmission.

7.9. **Computer Systems –** Information Technology (IT), industrial process control or communication systems including any other item or element of IT infrastructure, computer hardware, software and electronic equipment used for the purpose of creating, accessing, processing, protecting, monitoring, storing, retrieving, displaying or transmitting **Digital Assets. Computer Systems** includes associated input and output devices, computer networks and networking equipment, components, file servers, data processing equipment, microchip, microprocessors, computer chips or integrated circuits, but not including the **Digital Assets** contained therein.

Computer Systems also includes external drives, **Media,** CD-ROM's or DVD ROM's that are used to process, record or store **Digital Assets**.

7.10. **Contamination (Contaminated)** - Any condition of property due to the actual presence of any **Contaminant(s)**.

7.11. **Contaminant(s)** - Any solid, liquid, gaseous, thermal or other irritant, foreign substance, pollutant or impurity, including but not limited to smoke, vapour, soot, fumes, acids, alkalis, chemicals, waste (including materials to be recycled, reconditioned or reclaimed), asbestos, ammonia, poison, toxin, pathogen or pathogenic organism, bacteria, virus, disease or illness causing agent, other hazardous substances or **Fungus**.

7.12. **Covered Cause of Loss** - Direct physical loss or damage from any cause unless otherwise excluded.

7.13. **Covered Equipment** - Any boiler fired pressure vessel, unfired vessel normally subject to vacuum or internal pressure other than the weight of its contents, refrigerating and air conditioning systems, any metal piping and its accessory equipment, and mechanical, or electrical machines or apparatus used for the generation, transmission, or utilization of mechanical or electrical power, not otherwise Property Excluded.

Covered Equipment does not include any of the following:

a. Parts of pressure or vacuum equipment that are not under internal pressure of its contents or internal vacuum;

b. Insulating or refractory material, but not excluding the glass lining of any **Covered Equipment**;

c. Non-metallic pressure or vacuum equipment unless it is constructed and used in accordance with the American Society of Mechanical Engineers (ASME) code or another appropriate and approved code;

d. Catalyst;

e. Vessels, piping and other equipment that is buried below ground and requires the excavation of materials to inspect, remove, repair or replace;

f. Vehicles, aircraft, self-propelled equipment or floating vessels including any Property Insured (equipment) that is mounted upon or used solely with any one or more vehicle(s), aircraft, self-propelled equipment or floating vessels;

g. Drag-line, excavation or construction equipment including any Property Insured or **Covered Equipment** that is mounted upon or used solely with any one or more drag-line, excavation, or construction equipment;

h. Felt, wire, screen, die, extrusion plate, swing hammer, grinding disc, cutting blade, non-electrical cable, chain, belt, rope, clutch plate, brake pad, non-metal part or any part or tool subject to periodic replacement; or

i. Equipment or any part of such equipment manufactured by the Insured for sale.

7.14. **Crisis Event Expenses** - The reasonable and necessary expenses incurred by the Insured for:

a. A public relations firm, professional communications firm, or crisis management firm;

b. Print advertising or mailing materials to manage the reputation or goodwill of the Insured;

c. Evacuating customers, guests, employees and workers from the Insured Location due to a violent crime, suicide or attempted suicide; and

d. Temporarily relocating guests, if the Insured's business activities are public lodging, by removing guests from the Insured Location to alternative lodging and for charges at the alternative lodging facilities in excess of those that would have been charged at the Insured Location.

7.15. **Daily Value (DV)** - The 100% Gross Earnings or **Gross Profit** value at the Insured Location(s) where the direct physical loss or damage occurred and all other Insured Locations where a Time Element loss ensues for the Period of Liability divided by the number of working days in such Period of Liability. **DV** does not include **Ordinary Payroll** if **NCP** is shown for **Ordinary Payroll** on the Declarations.

7.16. **Described Cause(s) of Loss - Breakdown** of Equipment, **Earth Movement, Flood**, or **Named Storm.**

7.17. **Digital Assets** - **Electronic Data**, **Programs**, audio and image files. To the extent they exist as **Electronic Data** and only in that form, **Digital Assets** include the following: accounts, abstracts, deeds, manuscripts, or other documents. **Digital Assets** does not include **Digital Currency**, **Money** or **Securities**.

7.18. **Digital Currency** - Any type of currency available only in digital form as digital money, electronic money and electronic currency including, but not limited to, any type of virtual currency and crypto currency.

7.19. **Direct Dependent Time Element Location** –

a. Unscheduled Locations – means the following types of locations not scheduled onto this policy:

(1) Any location of a direct: customer, supplier, contract manufacturer or contract service provider to the Insured.

(2) Any location of any company under a royalty, licensing fee or commission agreement with the Insured.

(3) A **Direct Dependent Time Element Location** does not include any company directly or indirectly supplying to, or receiving from, the Insured any of the following services: electricity, fuel, gas, water, steam, refrigeration, sewage, **Cloud Service,** voice, data or video.

b. Scheduled Locations – means a location(s) scheduled onto Appendix F (forming part of this policy) that is a direct customer, supplier, contract manufacturer or contract service provider to the Insured or a company under a royalty, licensing fee or commission agreement with the Insured, but is not a company directly or indirectly supplying to, or receiving from, the Insured any of the following services: electricity, fuel, gas, water, steam, refrigeration, sewage, **Cloud Service**, voice, data or video.

7.20. **Earth Movement** - Any **Earth Movement** including earthquake, landslide, mine subsidence, earth sinking, rising, shifting, tsunami, volcanic eruption, explosion, effusion or sinkhole collapse.

7.21. **Electronic Data** – Information of any kind that is recorded, transmitted or stored (or any combination thereof) in a form usable in **Computer Systems** or similar devices in non-computer equipment.

7.22. **Finished Stock** –

a. Stock, which is ready for sale by the Insured, that is manufactured:

(1) By the Insured; or

(2) Under the Insureds' direction and to the Insureds' specifications.

b. For the purposes of the Gross Earnings or **Gross Profit** Coverage only:

(1) **Finished Stock** also includes whiskey and alcoholic products being aged.

(2) **Finished Stock** does not include stock that is held for sale at any retail outlet insured under this Policy or that has been sold, that is manufactured:

(a) By the Insured; or

(b) Under the Insureds' direction and to the Insureds' specifications.

7.23. **First Named Insured** - The Named Insured listed first in the Named Insured and Mailing Address section of the Declarations.

7.24. **Flood** –

a. A general and temporary condition of partial or complete inundation of normally dry land areas or structure(s) caused by:

(1) The unusual and rapid accumulation or runoff of surface waters, waves, tides, tidal waves, the release of water, the rising, overflowing or breaking of boundaries of natural or man-made bodies of water; or the spray from any of these, all whether driven by wind or not; or

(2) Mudflow or mudslides caused by accumulation of water on or under the ground.

b. **Flood** also includes the backup of water from a sewer, drain or sump caused in whole or part by **Flood**.

c. **Flood** also includes **Storm Surge** if shown on the Declarations as part of **Flood**.

d. **Flood** does not include **Storm Surge** if shown on the Declarations as part of **Named Storm**.

e. **Flood** does not include loss or damage directly or indirectly caused by or resulting from waves, tides, tidal waves or tsunamis, when such waves, tides, tidal waves or tsunamis are caused directly or indirectly by **Earth Movement** regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

7.25. **Fungus** (or **Fungi**) - Any form of fungus including, but not limited to, yeast, mould, mildew, rust, smut, mushroom, **Spores**, mycotoxins, odours, or any other substances or gases, products or byproducts produced by, released by, or arising out of the current or past presence of **Fungi**.

7.26.**Green Standard(s)** - The following standards, products, methods and processes for improving the environment, increasing energy efficiency, and enhancing safety and property protection:

a. LEED® Green Building Rating System™ of the Canada Green Building Council;

b. Green Globes™ Assessment and Rating System; and

c. ENERGY STAR®.

7.27.**Gross Profit** - The sum produced by adding to the **Net Profit or Loss**, the amount of the insured **Standing Charges**.

7.28.**Improvements and Betterments** - Fixtures, alterations, installation or additions comprising part of a building occupied, but not owned, by the Insured and acquired or made at the Insured's expense that the Insured cannot legally move.

7.29.**Indirect Dependent Time Element Location** – means a location(s) scheduled on Appendix F (forming part of this policy), subject to the following criteria:

The scheduled location is a location of a company that is a direct: customer, supplier, contract manufacturer or contract service provider to a **Direct Dependent Time Element Location.**

However, an **Indirect Dependent Time Element Location** does not include the locations of any company directly or indirectly supplying to, or receiving from, the **Direct Dependent Time Element Location** any of the following services: electricity, fuel, gas, water, steam, refrigeration, sewage, **Cloud Service,** voice, data or video.

7.30.**Land Improvements** - Lawns, plants, shrubs or trees; pavements, roadways, sidewalks or similar works, but not including any land (including underlying soil), beneath such property.

7.31. **Lease Interest** - The excess rent paid for the same or similar replacement property over actual rent otherwise payable had there been no loss or damage, plus cash bonuses or advance rent paid (including any maintenance or operating charges) for each month during the unexpired term of the lease.

7.32.**Location** –

a. A location as specified in the Schedule of Locations;

b. If not so specified in the Schedule of Locations:

(1) A **Location** is a building(s) bounded on all sides by public streets, clear land space or open waterways, each not less than fifteen meters wide; or

(2) A site or tract of land occupied or available for occupancy with tangible property.

7.33.**Media** - Physical data storage devices of all kinds, external drives, magnetic tapes and discs on which **Electronic Data** or **Programs** can be recorded, but not the **Electronic Data** or **Programs** themselves.**Money**, **Digital Currency** or **Securities** are not **Media**.

7.34.**Merchandise** - Goods kept for sale by the Insured that are not **Raw Materials**, **Stock in Process** or **Finished Stock**.

7.35.**Miscellaneous Unnamed Location** - A **Location** owned, leased or rented by the Insured, but not specified in a Statement of Values or Schedule of Locations.

7.36. **Money** - Currency, coins and bank notes whether or not in current use; travelers cheques, registered cheques and money orders held for sale to the public. **Money** does not mean or include **Digital Currency** or **Securities**.

7.37. **Moving Costs** - The reasonable and necessary costs to:

a. Pack and transport tenants' property, reestablish utility services at an Insured Location, assemble and set up tenants' fixtures and equipment at an Insured Location.

b. Unpack tenants' property, including re-shelving tenants' stock and supplies at an Insured Location.

7.38. **Named Storm** - Any storm or weather disturbance that is named by any of the following agencies of the United States or any comparable agency elsewhere in the world: the National Oceanic and Atmospheric Administration (NOAA); the National Weather Service; the National Hurricane Center.

Named Storm also includes **Storm Surge** if shown on the Declarations as part of **Named Storm**.

7.39. **Net Lease Interest** - The present value of the **Lease Interest** discounted at six percent (6%) interest compounded annually (minus the amount paid for the first 3 months **Lease Interest** following the loss or damage and any amounts otherwise payable).

7.40. **Net Profit or Loss** – The net operating profit or loss (exclusive of all capital receipts and accretions and all outlay properly chargeable to capital) resulting from the Insured's business activities after deductions have been made for all charges including depreciation but before the deduction of any taxation chargeable on profits.

7.41. **NCP** - No Coverage Provided.

7.42. **Occurrence** - All loss(es) or damage that is attributable directly or indirectly to one **Covered Cause of Loss.** All such loss(es) or damage will be treated as one **Occurrence.** However, if **Occurrence** is specifically defined elsewhere in this Policy, that definition will apply to the applicable coverage provided.

7.43. **Ordinary Payroll** - Payroll expenses for all employees except officers, executives, department managers, and employees under contract. Payroll expenses include the payroll, employee benefits (if directly related to payroll) premiums, federal and provincial (or territorial) taxes, union dues, federal employment insurance premiums and provincial (or territorial) workers' compensation board premiums the Insured pays for. Payroll expenses also include tips or gratuities normally earned by the Insured's employees that would have been properly reported for tax purposes.

7.44. **Period of Delay** - The period of time between the date construction of the new building(s) or structure(s) is scheduled to be completed, as stated in the construction contract(s), for the start of business activities or use and occupancy and the actual date on which business activities or use and occupancy can commence with the exercise of due diligence and dispatch.

7.45. **Period of Interruption** - The period starting when the Insured's **Digital Assets**, **Computer Systems** or **Media** fails to operate and ending when, with due diligence and dispatch, the Insured's **Digital Assets**, **Computer Systems** or **Media** could be restored to the same or equivalent operating condition that existed prior to the failure. The **Period of Interruption** does not include the additional time to update, restore or improve **Digital Assets**, **Computer Systems** or **Media** to a level beyond what existed just prior to the loss damage or failure.

7.46. **Period of Service Interruption** - The period starting when an interruption of a specified service occurs and ending when, with due diligence and dispatch, the service could be restored to the same or equivalent operating condition that existed prior to the failure.

7.47. **Program** - Any computer software, computer application, firmware, embedded software or recorded instructions, whether digital or otherwise, for the processing, sequencing, collecting, transmittal, recording, retrieval or storage of **Electronic Data**.

7.48.**Public Adjusters** - Individuals or groups, including consultants, secured specifically for the purpose of representing the Insured's interest in the adjustment of a claim(s) under this Policy.

7.49.**Qualifying Period** - The continuous period of time expressed in hours or days that must be exceeded before coverage under this Policy applies.

7.50.**Rate of Gross Profit** - The rate of **Gross Profit** earned on the **Turnover** during the 12 months immediately prior to the date of the physical loss or damage.

7.51. **Raw Material** - Materials in the state in which the Insured receives them for conversion into **Stock in Process** or **Finished Stock**.

7.52.**Replacement Cost** - The cost to repair, rebuild or replace the damaged property (without deduction for depreciation) with materials of like kind, quality and capacity at the same site or another site, but not more than the lesser of:

a. The cost to repair;

b. The cost to rebuild or replace on the same site or another site with materials of equivalent size, kind, quality and capacity;

c. The necessary cost actually expended in repairing, rebuilding or replacing on the same site or another site, but not exceeding the operating capacity that existed at the time of the loss; or

d. The Limits of Liability applicable to the lost or damaged property.

7.53.**Securities** -Negotiable and non-negotiable instruments or contracts representing either **Money** or other property, including:

a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use;

b. Points or any other unit that represents value or can be redeemed for value such as loyalty or reward points; and

c. Evidences of debt issued in connection with credit or charge cards, which are not issued by the Insured.

Securities does not mean or include **Money** or **Digital Currency**.

7.54.**Self-insured** - Any plan of risk retention in which a program or procedure has been established other than insurance to meet the adverse result of loss or damage.

7.55.**Selling Price** - The regular cash **Selling Price** at the Insured Location where the loss occurs, less all discounts, pilferage, waste, returns and charges to which **Finished Stock** and **Merchandise** would have been subject to had no loss occurred.

7.56.**Spores** - Any reproductive body produced by or arising out of any **Fungus** (or **Fungi**).

7.57.**Standard Turnover** - The **Turnover** the Insured would have earned during the Period of Liability had no direct physical loss or damage occurred.

7.58.**Standing Charges** - All costs and expenses used in determining **Net Profit or Loss**, except the following.

a. **Raw Materials** from which production is derived;

b. Supplies consisting of materials consumed directly in conversion of **Raw Materials** into **Finished Stock** or in supplying the service(s) sold by the Insured;

c. **Merchandise** sold, including related packaging materials;

d. Service(s) purchased from outsiders (not employees of the Insured) for resale that do not continue under contract;

e. Sales discounts;

f. **Ordinary Payroll.**

7.59. **Stock in Process – Raw Material** that has undergone any aging, seasoning, mechanical or other manufacturing process at the Insured Location, but which has not become **Finished Stock.**

7.60. **Storm Surge** - A general and temporary condition of partial or complete inundation by salt water, caused by wind driven waves that result from a **Named Storm**, of normally dry land areas or structure(s) in coastal areas, bays or inland waters connected to an ocean or sea.

7.61. **Suspension (Suspended)** –

a. The slowdown or cessation of the Insured's business activities; or

b. As respects to rental income; that part or all of the Insured Location that is rendered untenantable.

7.62. **Tenant Replacement Cost** - The reasonable and necessary fees and commissions of real estate brokers or real estate agents and advertising and promotional expenses incurred by the Insured to obtain new tenant leases at an Insured Location until the percentage of occupancy at the Insured Location reaches the same level that existed at the time of loss or damage.

7.63. **Terrorist Activity** – An act of terrorism includes any act, or preparation in respect of action, or threat of action designed to influence the government de jure or de facto of any nation or any political division thereof, or in pursuit of political, religious, ideological, or similar purposes to intimidate the public or a section of the public of any nation by any person or group(s) of persons whether acting alone or on behalf of or in connection with any organization(s) or government(s) de jure or de facto, and that:

a. involves violence against one or more persons; or

b. involves damage to property; or

c. endangers life other than that of the person committing the action; or

d. creates a risk to health or safety of the public or a section of the public; or

e. is designed to interfere with or to disrupt an electronic system; or

f. is attributable to any one or more of a. through e. hereinabove.

7.64. **Turnover** - The money (less discounts allowed) paid or payable to the Insured for goods sold and delivered and for services rendered in the course of the Insured's business activities.

7.65. **Vegetated Roof** - A roof system that includes growing vegetation planted over a waterproofing membrane.

Statutory Conditions, General Conditions and Other Conditions (6300)

Please refer to the Statutory Conditions, General Conditions and Other Conditions applicable to your Province(s)/ Territory(ies).

1. **Statutory Conditions**

2. **General Conditions**

3. **Other Conditions**

Statutory Conditions

(For all provinces except Alberta, British Columbia and Quebec, except that paragraph 14 does not apply to Saskatchewan).

These Statutory Conditions apply to all riders, endorsements, declarations pages and other policy forms attaching to this insurance policy; however, if any of the conditions of any such riders, endorsements, declarations and other policy forms attaching to this insurance policy are more favourable to the insured than those set out in these Statutory Conditions, the conditions more favourable to the insured will prevail.

1. **Misrepresentation**

   Where a person applying for insurance falsely describes the property to the prejudice of the Insurer, or misrepresents or fraudulently omits to communicate a circumstance which is material to be made known to the Insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. **Property of Others**

   Unless otherwise specifically stated in the contract, the Insurer is not liable for loss or damage to property owned by any person other than the Insured, unless the interest of the Insured is stated in the contract.

3. Change of Interest

The Insurer shall be liable for loss or damage occurring after an authorized assignment under the *Bankruptcy Act* (Canada) or change of title by succession, by operation of law or by death.

4. Material Change

A change material to the risk and within the control and knowledge of the Insured shall void the contract as the part affected by it , unless the change is promptly notified in writing to the Insurer or its local agent; and the Insurer when so notified may return the unearned portion of the premium paid and cancel the contract, or may notify the Insured in writing that, if the Insured desires the contract to continue in force, the Insured shall, within 15 days of the receipt of the notice pay to the Insurer an additional premium; and in default of the payment the contract shall no longer be in force and the Insurer shall return the unearned portion of the premium paid.

5. Termination

(1) This contract may be terminated.

(a) by the Insurer giving to the Insured 15 days' notice of termination by registered mail or five days written notice of termination personally delivered;

(b) by the Insured at any time on request.

(2) Where this contract is terminated by the Insurer,

(a) the Insurer shall refund the excess of premium actually paid by the Insured over the proportional premium for the expired time, but, in no event shall the proportional premium for the expired time be considered to be less than any minimum retained premium specified; and

(b) the refund shall accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund shall be made as soon as practicable.

(3) Where this contract is terminated by the Insured, the Insurer shall refund as soon as practicable the excess of premium actually paid by the Insured over the short rate premium for the expired time, but in no event shall the short rate premium for the expired time be considered to be less than a minimum retained premium specified.

(4) The refund may be made by money, postal or express company money order or by cheque payable at par.

(5) The 15 days mentioned in clause (1) (a) of this condition start to run on the day following the receipt of the registered letter at the post office to which it is addressed.

6. Requirements After Loss

(1) Upon the occurrence of a loss of or damage to the insured property, the Insured shall, where the loss or damage is covered by the contract, in addition to observing the requirements of conditions 9, 10 and 11,

(a) forthwith give notice of the loss or damage in writing to the Insurer;

(b) deliver as soon as practicable to the Insurer a proof of loss verified by a statutory declaration,

(i) giving a complete inventory of the destroyed and damaged property and showing in detail quantities, costs, actual cash value and particulars of amount of loss claimed,

(ii) stating when and how the loss occurred, and where caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the Insured knows or believes,

(iii) stating that the loss did not occur through a wilful act or neglect or the procurement, means or connivance of the Insured,

(iv) showing the amount of other insurances and the names of other insurers,

(v) showing the interest of the Insured and of all others in the property with particulars of all liens, encumbrances and other charges upon the property,

(vi) showing any changes in title, use, occupation, location, possession or exposures of the property since the issue of the contract,

(vii) showing the place where the property insured was at the time of loss:

(c) where required, give a complete inventory of undamaged property and showing in detail quantities, cost, actual cash value;

(d) where required, and if practicable, produce books of account, warehouse receipts and stock lists, and furnish invoices and other vouchers verified by statutory declaration, and furnish a copy of the written portion of any other contract.

(2) The evidence furnished under clauses 1 (c) and (d) of this condition shall not be considered proof of loss within the meaning of conditions 12 and 13.

7. Fraud

A fraud or a wilfully false statement in a statutory declaration in relation to the above particulars, shall vitiate the claim of the person making the declaration.

8. Who May Give Notice and Proof

Notice of loss may be given, and proof of loss may be made, by the agent of the Insured named in the contract in case of absence or inability of the Insured to give the notice or make the proof, and absence or inability being satisfactorily accounted for, or in the like case, or where the Insured refuses to do so, by a person to whom a part of the insurance money is payable.

9. Salvage

(1) The Insured, in the event of any loss or damage to the property insured under the contract, shall take all reasonable steps to prevent further damage to the property so damaged and to prevent damage to other property insured under the contract including, where necessary, its removal to prevent damage or further damage to the property.

(2) The Insurer shall contribute proportionally towards reasonable and proper expenses in connection with steps taken by the Insured and required under subparagraph (1) of this condition according to the respective interest of the parties.

10. Entry, Control, Abandonment

After loss or damage to insured property, the Insurer shall have an immediate right of access and entry by accredited agents sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and, after the insured has secured the property, a further right of access and entry sufficient to enable them to make appraisement or particular estimate of the loss or damage, but the Insurer shall not be entitled to the control or possession of the insured property, and without the consent of the Insurer there can be no abandonment to it of insured property.

11. Appraisal

In the event of a disagreement as to the value of the property insured, the property saved or the amount of the loss, those questions shall be determined by appraisal as provided under the *Insurance Act,* or the *Insurance Contracts Act* in the case of Newfoundland and Labrador, before there can be a recovery under this contract whether the right to recover on the contract is disputed or not, and independently of all other questions. There shall be no right to an appraisal until a specific demand for an appraisal is made in writing and until after proof of loss has been delivered.

12. When Loss Payable

The loss shall be payable within 60 days after completion of the proof of loss, unless the contract provides for a shorter period.

13. Replacement

(1) The Insurer, instead of making payment, may repair, rebuild, or replace the property damaged or lost, giving written notice of its intention to do so within 30 days after receipt of the proof of loss.

(2) In that event the Insurer shall start to repair, rebuild, or replace the property within 45 days after receipt of the proofs of loss, and shall after that time proceed with all due diligence to the completion of the property.

14. Action

Every action or proceeding against the Insurer for the recovery of a claim under or by virtue of this contract is absolutely barred unless commenced within 1 year next after the loss or damage occurs.

15. Notice

Any written notice to the Insurer may be delivered at, or sent by registered mail to, the chief agency or head office of the Insurer in the province. Written notice may be given to the Insured named in the contract by letter personally delivered to him or her or by registered mail addressed to him or her at his or her latest post office address as notified to the Insurer. In this condition, the expression "registered" means registered in or outside Canada.

Statutory Conditions

(applicable in the province of Alberta). Subject to certain exceptions set out in the Insurance Act and regulations thereunder, the Statutory Conditions are deemed to be part of every contract of insurance in force in the province of Alberta. (**Statutory Conditions** 1 and 6 to 13 apply only to contracts that include insurance against loss or damage to property).

These Statutory Conditions apply to all riders, endorsements, declarations pages and other policy forms attaching to this insurance policy; however, if any of the conditions of any such riders, endorsements, declarations and other policy forms attaching to this insurance policy are more favourable to the insured than those set out in these Statutory Conditions, the conditions more favourable to the insured will prevail.

1. Misrepresentation

If a person applying for insurance falsely describes the property to the prejudice of the insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. Property of Others

The insurer is not liable for loss or damage to property owned by a person other than the insured unless

(a) otherwise specifically stated in the contract, or

(b) the interest of the insured in that property is stated in the contract.

3. Change of Interest

The insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or a change of title by succession, by operation of law or by death.

4. Material Change in Risk

(1) The insured must promptly give notice in writing to the insurer or its agent of a change that is

(a) material to the risk, and

(b) within the control and knowledge of the insured.

(2) If an insurer or its agent is not promptly notified of a change under subparagraph (1) of this condition, the contract is void as to the part affected by the change.

(3) If an insurer or its agent is notified of a change under subparagraph (1) of this condition, the insurer may

(a) terminate the contract in accordance with Statutory Condition 5, or

(b) notify the insured in writing that, if the insured desires the contract to continue in force, the insured must, within 15 days after receipt of the notice, pay to the insurer an additional premium specified in the notice.

(4) If the insured fails to pay an additional premium when required to do so under subparagraph (3)(b) of this condition, the contract is terminated at that time and Statutory Condition 5(2)(a) applies in respect of the unearned portion of the premium.

5. Termination of Insurance

(1) The contract may be terminated

(a) by the insurer giving to the insured 15 days' notice of termination by registered mail or 5 days' written notice of termination personally delivered, or

(b) by the insured at any time on request.

(2) If the contract is terminated by the insurer,

(a) the insurer must refund the excess of premium actually paid by the insured over the prorated premium for the expired time, but in no event may the prorated premium for the expired time be less than any minimum retained premium specified in the contract, and

(b) the refund must accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund must be made as soon as practicable.

(3) If the contract is terminated by the insured, the insurer must refund as soon as practicable the excess of premium actually paid by the insured over the short rate premium for the expired time specified in the contract, but in no event may the short rate premium for the expired time be less than any minimum retained premium specified in the contract.

(4) The 15-day period referred to in subparagraph (1)(a) of this condition starts to run on the day the registered letter or notification of it is delivered to the insured's postal address.

6. Requirements After Loss

(1) On the happening of any loss or damage to insured property, the insured must, if the loss or damage is covered by the contract, in addition to observing the requirements of Statutory Condition 9,

(a) immediately give notice in writing to the insurer,

(b) deliver as soon as practicable to the insurer a proof of loss in respect of the loss or damage to the insured property verified by statutory declaration

(i) giving a complete inventory of that property and showing in detail quantities and costs of that property and particulars of the amount of loss claimed,

(ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the insured knows or believes,

(iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the insured,

(iv) stating the amount of other insurances and the names of other insurers,

(v) stating the interest of the insured and of all others in that property with particulars of all liens, encumbrances and other charges on that property,

(vi) stating any changes in title, use, occupation, location, possession or exposure of the property since the contract was issued, and

(vii) stating the place where the insured property was at the time of loss,

(c) if required by the insurer, give a complete inventory of undamaged property showing in detail quantities and cost of that property, and

(d) if required by the insurer and if practicable,

(i) produce books of account and inventory lists,

(ii) furnish invoices and other vouchers verified by statutory declaration, and

(iii) furnish a copy of the written portion of any other relevant contract.

(2) The evidence given, produced or furnished under subparagraph (1)(c) and (d) of this condition must not be considered proofs of loss within the meaning of Statutory Conditions 12 and 13.

7. Fraud

Any fraud or wilfully false statement in a statutory declaration in relation to the particulars required under Statutory Condition 6 invalidates the claim of the person who made the declaration.

8. Who May Give Notice and Proof

Notice of loss under Statutory Condition 6(1)(a) may be given and the proof of loss under Statutory Condition 6(1)(b) may be made

(a) by the agent of the insured if

(i) the insured is absent or unable to give the notice or make the proof, and

(ii) the absence or inability is satisfactorily accounted for,

or

(b) by a person to whom any part of the insurance money is payable, if the insured refuses to do so, or in the circumstances described in clause (a) of this condition.

9. Salvage

(1) In the event of loss or damage to insured property, the insured must take all reasonable steps to prevent further loss or damage to that property and to prevent loss or damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss or damage to the property.

(2) The insurer must contribute on a prorated basis towards any reasonable and proper expenses in connection with steps taken by the insured under subparagraph (1) of this condition.

10. Entry, Control, Abandonment

After loss or damage to insured property, the insurer has

(a) an immediate right of access and entry by accredited representatives sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and

(b) after the insured has secured the property, a further right of access and entry by accredited representatives sufficient to enable them to appraise or estimate the loss or damage, but

(i) without the insured's consent, the insurer is not entitled to the control or possession of the insured property, and

(ii) without the insurer's consent, there can be no abandonment to it of the insured property.

11. In Case of Disagreement

(1) In the event of disagreement as to the value of the insured property, the value of the property saved, the nature and extent of the repairs or replacements required or, if made, their adequacy, or the amount of the loss or damage, those questions must be determined using the applicable dispute resolution process set out in the *Insurance Act* whether or not the insured's right to recover under the contract is disputed, and independently of all other questions.

(2) There is no right to a dispute resolution process under this condition until

(a) a specific demand is made for it in writing, and

(b) the proof of loss has been delivered to the insurer.

12. When Loss Payable

Unless the contract provides for a shorter period, the loss is payable within 60 days after the proof of loss is completed in accordance with Statutory Condition 6 and delivered to the insurer.

13. Repair or Replacement

(1) Unless a dispute resolution process has been initiated, the insurer, instead of making payment, may repair, rebuild or replace the insured property lost or damaged, on giving written notice of its intention to do so within 30 days after receiving the proof of loss.

(2) If the insurer gives notice under subparagraph (1) of this condition, the insurer must begin to repair, rebuild or replace the property within 45 days after receiving the proof of loss and must proceed with all due diligence to complete the work within a reasonable time.

14. Notice

(1) Written notice to the insurer may be delivered at, or sent by registered mail to, the chief agency or head office of the insurer in the province.

(2) Written notice to the insured may be personally delivered at, or sent by registered mail addressed to, the insured's last known address as provided to the insurer by the insured.

15. Action

Every action or proceeding against an Insurer for the recovery of insurance money payable under the contract is absolutely barred unless commenced within the time set out in the *Insurance Act*.

Statutory Conditions

(applicable in the province of British Columbia). Subject to certain exceptions set out in the Insurance Act and regulations thereunder, the Statutory Conditions are deemed to be part of every contract of insurance in force in the province of British Columbia. (**Statutory Conditions** 1 and 6 to 13 apply only to contracts that include insurance against loss or damage to property).

These Statutory Conditions apply to all riders, endorsements, declarations pages and other policy forms attaching to this insurance policy; however, if any of the conditions of any such riders, endorsements, declarations and other policy forms attaching to this insurance policy are more favourable to the insured than those set out in these Statutory Conditions, the conditions more favourable to the insured will prevail.

1. Misrepresentation

If a person applying for insurance falsely describes the property to the prejudice of the insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. Property of others

The insurer is not liable for loss or damage to property owned by a person other than the insured unless

(a) otherwise specifically stated in the contract, or

(b) the interest of the insured in that property is stated in the contract.

3. Change of interest

The insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or a change of title by succession, by operation of law or by death.

4. Material change in risk

(1) The insured must promptly give notice in writing to the insurer or its agent of a change that is

(a) material to the risk, and

(b) within the control and knowledge of the insured.

(2) If an insurer or its agent is not promptly notified of a change under subparagraph (1) of this condition, the contract is void as to the part affected by the change.

(3) If an insurer or its agent is notified of a change under subparagraph (1) of this condition, the insurer may

(a) terminate the contract in accordance with Statutory Condition 5, or

(b) notify the insured in writing that, if the insured desires the contract to continue in force, the insured must, within 15 days after receipt of the notice, pay to the insurer an additional premium specified in the notice.

(4) If the insured fails to pay an additional premium when required to do so under subparagraph (3) (b) of this condition, the contract is terminated at that time and Statutory Condition 5 (2) (a) applies in respect of the unearned portion of the premium.

5. Termination of insurance

(1) The contract may be terminated

(a) by the insurer giving to the insured 15 days' notice of termination by registered mail or 5 days' written notice of termination personally delivered, or

(b) by the insured at any time on request.

(2) If the contract is terminated by the insurer,

(a) the insurer must refund the excess of premium actually paid by the insured over the prorated premium for the expired time, but in no event may the prorated premium for the expired time be less than any minimum retained premium specified in the contract, and

(b) the refund must accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund must be made as soon as practicable.

(3) If the contract is terminated by the insured, the insurer must refund as soon as practicable the excess of premium actually paid by the insured over the short rate premium for the expired time specified in the contract, but in no event may the short rate premium for the expired time be less than any minimum retained premium specified in the contract.

(4) The 15 day period referred to in subparagraph (1) (a) of this condition starts to run on the day the registered letter or notification of it is delivered to the insured's postal address.

6. Requirements after loss

(1) On the happening of any loss of or damage to insured property, the insured must, if the loss or damage is covered by the contract, in addition to observing the requirements of Statutory Condition 9,

(a) immediately give notice in writing to the insurer,

(b) deliver as soon as practicable to the insurer a proof of loss in respect of the loss or damage to the insured property verified by statutory declaration,

(i) giving a complete inventory of that property and showing in detail quantities and cost of that property and particulars of the amount of loss claimed,

(ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the insured knows or believes,

(iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the insured,

(iv) stating the amount of other insurances and the names of other insurers,

(v) stating the interest of the insured and of all others in that property with particulars of all liens, encumbrances and other charges on that property,

(vi) stating any changes in title, use, occupation, location, possession or exposure of the property since the contract was issued, and

(vii) stating the place where the insured property was at the time of loss,

(c) if required by the insurer, give a complete inventory of undamaged property showing in detail quantities and cost of that property, and

(d) if required by the insurer and if practicable,

(i) produce books of account and inventory lists,

(ii) furnish invoices and other vouchers verified by statutory declaration, and

(iii) furnish a copy of the written portion of any other relevant contract.

(2) The evidence given, produced or furnished under subparagraph (1) (c) and (d) of this condition must not be considered proofs of loss within the meaning of Statutory Conditions 12 and 13.

7. Fraud

Any fraud or wilfully false statement in a statutory declaration in relation to the particulars required under Statutory Condition 6 invalidates the claim of the person who made the declaration.

8. Who may give notice and proof

Notice of loss under Statutory Condition 6 (1) (a) may be given and the proof of loss under Statutory Condition 6 (1) (b) may be made

(a) by the agent of the insured, if

(i) the insured is absent or unable to give the notice or make the proof, and

(ii) the absence or inability is satisfactorily accounted for, or

(b) by a person to whom any part of the insurance money is payable, if the insured refuses to do so or in the circumstances described in clause (a) of this condition.

9. Salvage

(1) In the event of loss or damage to insured property, the insured must take all reasonable steps to prevent further loss or damage to that property and to prevent loss or damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss or damage to the property.

(2) The insurer must contribute on a prorated basis towards any reasonable and proper expenses in connection with steps taken by the insured under subparagraph (1) of this condition.

10. Entry, control, abandonment

After loss or damage to insured property, the insurer has

(a) an immediate right of access and entry by accredited representatives sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and

(b) after the insured has secured the property, a further right of access and entry by accredited representatives sufficient to enable them to appraise or estimate the loss or damage, but

(i) without the insured's consent, the insurer is not entitled to the control or possession of the insured property, and

(ii) without the insurer's consent, there can be no abandonment to it of the insured property.

11. In case of disagreement

(1) In the event of disagreement as to the value of the insured property, the value of the property saved, the nature and extent of the repairs or replacements required or, if made, their adequacy, or the amount of the loss or damage, those questions must be determined using the applicable dispute resolution process set out in the *Insurance Act,* whether or not the insured's right to recover under the contract is disputed, and independently of all other questions.

(2) There is no right to a dispute resolution process under this condition until

(a) a specific demand is made for it in writing, and

(b) the proof of loss has been delivered to the insurer.

12. When loss payable

Unless the contract provides for a shorter period, the loss is payable within 60 days after the proof of loss is completed in accordance with Statutory Condition 6 and delivered to the insurer.

13. Repair or replacement

(1) Unless a dispute resolution process has been initiated, the insurer, instead of making payment, may repair, rebuild or replace the insured property lost or damaged, on giving written notice of its intention to do so within 30 days after receiving the proof of loss.

(2) If the insurer gives notice under subparagraph (1) of this condition, the insurer must begin to repair, rebuild or replace the property within 45 days after receiving the proof of loss, and must proceed with all due diligence to complete the work within a reasonable time.

14. Notice

(1) Written notice to the insurer may be delivered at, or sent by registered mail to, the chief agency or head office of the insurer in the province.

(2) Written notice to the insured may be personally delivered at, or sent by registered mail addressed to, the insured's last known address as provided to the insurer by the insured.

15. Action

Every action or proceeding against an Insurer for the recovery of insurance money payable under the contract is absolutely barred unless commenced within the time set out in the *Insurance Act*.

General Conditions

(This Policy is subject to the Civil Code of Quebec)

Reference to Civil Code articles in some instances is for easier reading only and should not be construed as exact quotations.

These General Conditions apply to all riders, endorsements, declarations pages and other policy forms attaching to this insurance policy; however, if any of the conditions of any such riders, endorsements, declarations and other policy forms attaching to this insurance policy are more favourable to the insured than those set out in these General Conditions, the conditions more favourable to the insured will prevail.

For all coverages except where inapplicable.

1. Statements

1.1 Representation of risk (Article 2408)

The client, and the Insured if the Insurer requires it, is bound to represent all the facts known to him which are likely to materially influence an insurer in the setting of the premium, the appraisal of the risk or the decision to cover it, but he is not bound to represent facts known to the Insurer or which from their notoriety he is presumed to know, except in answer to inquiries.

The client means the person submitting an insurance application.

1.2 Material change in risk (Articles 2466 and 2467)

The Insured shall promptly notify the Insurer of any change that increases the risks stipulated in the policy and that results from events within his control if it is likely to materially influence an insurer in setting the rate of the premium, appraising the risk or deciding to continue to insure it.

On being notified of any material change in the risk, the Insurer may cancel the contract or propose, in writing, a new rate of premium. Unless the new premium is accepted and paid by the Insured within thirty days of the proposal, the policy ceases to be in force.

1.3 Misrepresentations or concealment (Articles 2410, 2411 and 2466)

Any misrepresentation or concealment of relevant facts mentioned in section 1.1 and in the first paragraph of section 1.2 by the client or the Insured nullifies the contract at the instance of the Insurer, even in respect of losses not connected with the risk so misrepresented or concealed.

Unless the bad faith of the client or of the Insured is established or unless it is established that the Insurer would not have covered the risk if he had known the true facts, the Insurer remains liable towards the Insured for such proportion of the indemnity as the premium he collected bears to the premium he should have collected.

1.4 Warranties (Article 2412)

Any increase in risk resulting from a breach of warranty suspends the coverage until accepted by the Insurer or until such breach has been remedied by the Insured.

2. General Provisions

2.1 Insurable interest (Articles 2481 and 2484)
(Applicable to property insurance only)

A person has an insurable interest in a property where the loss or deterioration of the property may cause him direct and immediate damage. It is necessary that the insurable interest exist at the time of the loss but not necessary that the same interest have existed throughout the duration of the contract. The insurance of a property in which the Insured has no insurable interest is null.

2.2 Changes (Article 2405)

The terms of this policy shall not be waived or changed except by endorsement.

2.3 Assignment (Articles 2475 and 2476)

This policy may be assigned only with the consent of the Insurer and in favour of a person who has an insurable interest in the insured property.

Upon the death or bankruptcy of the Insured or the assignment of his interest in the insurance to a co-Insured, the insurance continues in favour of the heir, trustee in bankruptcy or remaining Insured, subject to his performing the obligations that were incumbent upon the Insured.

2.4 Books and records

The Insurer and its authorized representatives shall have the right to examine the Insured’s books and records related to the subject matter of this insurance at any time during the period of this policy and the three subsequent years.

2.5 Inspection

The Insurer and its authorized representatives shall have the right but are not obligated to make inspections of the risk, inform the Insured of the conditions found and recommend changes. Any inspections, surveys, findings or recommendations relate only to insurability and the premiums to be charged. They shall not constitute a warranty that the premises, property or operations are safe or healthful or comply with laws, codes or standards.

2.6 Currency

All limits of insurance, premiums and other amounts as expressed in this policy are in Canadian currency.

3. Losses

3.1 Notice of loss (Article 2470)

The Insured shall notify the Insurer of any loss which may give rise to an indemnity, as soon as he becomes aware of it. Any interested person may give such notice.

In the event that the requirement set out in the preceding paragraph is not fully complied with, all rights to compensation shall be forfeited by the Insured where such non-compliance has caused prejudice to the Insurer.

3.2 Information to be provided (Article 2471)

The Insured shall inform the Insurer as soon as possible of all the circumstances surrounding the loss, including its probable cause, the nature and extent of the damage, the location of the insured property, the rights of third parties, and any concurrent insurance; he shall also furnish him with vouchers and swear or warrant to the truth of the information.

Where, for a serious reason, the Insured is unable to fulfil such obligation, he is entitled to a reasonable time in which to do so. If the Insured fails to fulfil his obligation, any interested person may do so on his behalf.

In addition, the Insured shall forthwith send to the Insurer a copy of any notice, letter, subpoena or writ or document received in connection with a claim.

3.3 False representation (Article 2472)

Any deceitful representation entails the loss or the right of the person making it to any indemnity in respect of the risk to which the representation relates.

However, if the occurrence of the event insured against entails the loss of both movable and immovable property or of both property for occupational use and personal property, forfeiture is incurred only with respect to the class of property to which the representation relates.

3.4 Intentional Fault (Article 2464)

The Insurer is never liable to compensate for injury resulting from the Insured's intentional fault.

Where there is more than one Insured, the obligation of coverage remains in respect of those Insureds who have not committed an intentional fault.

Where the Insurer is liable for injury caused by a person for whose acts the Insured is liable, the obligation of coverage subsists regardless of the nature or gravity of that person's fault.

3.5 Notice to police
(Applicable to property insurance only)

The Insured must promptly give notice to the police of any loss caused by vandalism, theft or attempted theft or other criminal act.

3.6 Safeguarding and examination of property (Article 2495)
(Applicable to property insurance only)

At the expense of the Insurer, the Insured must take all reasonable steps to prevent further loss or damage to the insured property and any further loss or damage resulting directly or indirectly from the Insured's failure to take such action shall not be recoverable.

The Insured may not abandon the damaged property if there is no agreement to that effect. The Insured shall facilitate the salvage and inspection of the insured property by the Insurer.

He shall, in particular, permit the Insurer and his representatives to visit the premises and examine the insured property before repairing, removing or modifying the damaged property, unless so required to safeguard the property.

3.7 Admission of liability and cooperation

The Insured shall cooperate with the Insurer in the processing of all claims.

(The following two paragraphs are applicable to liability insurance only `: Article 2504)

No transaction made without the consent of the Insurer may be set up against him.

The Insured shall not admit any liability nor settle or attempt to settle any claim, except at his own risk.

3.8 Right of action (Article 2502)
(Applicable to property insurance only)

The Insurer may set up against the injured third person any grounds he could have invoked against the Insured at the time of the loss, but not grounds pertaining to facts that occurred after the loss; the Insurer has a right of action against the Insured in respect of facts that occurred after the loss.

4. Compensation and Settlement

4.1 Basis of settlement (Articles 2490, 2491, 2493)
(Applicable to property insurance only)

Unless otherwise provided, the Insurer shall not be liable for more than the actual cash value of the property at the time of the loss as normally determined.

In unvalued policies, the amount of insurance does not make proof of the value of the insured property. In valued policies, the agreed value makes complete proof, between the Insurer and the Insured, of the value of the insured property.

If the amount of insurance is less than the value of the property, the Insurer is released by paying the amount of the insurance in the event of total loss or a proportional indemnity, in the event of partial loss.

4.2 Pair and set *(Applicable to property insurance only)*

In the case of loss of or damage to any article or articles, whether scheduled or unscheduled, which are part of a set, the measure of loss of or damage to such article or articles shall be a reasonable and fair proportion of the total value of the set, but in no event shall such loss or damage be construed to mean total loss of set.

4.3 Parts *(Applicable to property insurance only)*

In the case of loss of or damage to any part of the insured property, whether scheduled or unscheduled, consisting, when complete for use, of several parts, the Insurer is not liable for more than the insured value of the part lost or damaged, including the cost of installation.

4.4 Replacement (Article 2494)
(Applicable to property insurance only)

Subject to the rights of preferred and hypothecary creditors, the Insurer re-serves the right to repair, rebuild or replace the insured property. He is then entitled to salvage and may take over the property.

4.5 Time of payment (Articles 1591, 2469 and 2473)

The Insurer shall pay the indemnity within sixty days after receiving the notice of loss or, at his request, all relevant information and vouchers, provided the Insured shall have complied with all the terms of the contract.

Any outstanding premium may be deducted from the indemnity payable.

4.6 Property of others
(Applicable to property insurance only)

Where a claim is made as a result of loss of or damage to property not owned by the Insured, the Insurer reserves the right to pay the indemnity to the Insured or to the owner of the property and to deal directly with such owner.

4.7 Waiver

Neither the Insurer nor the Insured shall be deemed to have waived any term or condition of the policy by any act relating to arbitration or to the completion or delivery of proof of loss, or to the investigation or adjustment of the claim.

4.8 Limitation of actions (Article 2925)

Every action or proceeding against the Insurer under this policy shall be commenced within three years from the date the right of action has arisen.

4.9 Subrogation (Article 2474)

Unless otherwise provided, the Insurer shall be subrogated to the extent of the amount paid or the liability assumed therefor under this policy to the rights of the Insured against persons responsible for the loss except when they are members of the Insured's household. The Insurer may be fully or partly released from his obligation towards the Insured where, owing to any act of the Insured, he cannot be so subrogated.

5. Other Insurance

5.1 Property insurance (Article 2496)

The Insured who, without fraud, is insured by several insurers, under several policies, for the same interest and against the same risk so that the total amount of indemnity that would result from the separate performance of such policies would exceed the loss incurred may be indemnified by the insurer or insurers of his choice, each being liable only for the amount he has contracted for.

No clause suspending all or part of the performance of the contract by reason of other insurance may be used against the Insured.

Unless otherwise agreed, the indemnity is apportioned among the insurers in proportion to the share of each in the total coverage, except in respect of specific insurance, which constitutes primary insurance.

5.2 Liability insurance

The liability insurance provided under this policy is primary insurance except when stated to apply in excess of, or contingent upon the absence of, other insurance. When this insurance is primary and the Insured has other insurance which is stated to be applicable to the loss on an excess or contingent basis, the amount of the Insurer's liability under this policy shall not be reduced by the existence of such other insurance. When both this insurance and other insurance apply to the loss on the same basis whether primary, excess or contingent, the Insurer shall not be liable under this policy for a greater proportion of the loss than that stated in the applicable contribution provision below:

– Contribution by equal share:

  If all of such other collectible insurance provides for contribution by equal shares, this Insurer shall not be liable for a greater proportion of such loss than would be payable if each insurer contributed an equal share until the share of each insurer equals the lowest applicable limit of liability under any one policy or the full amount of the loss is paid, and with respect to any amount of loss not so paid the remaining insurers then continue to contribute equal shares of the remaining amount of the loss until each such insurer has paid its limit in full or the full amount of the loss is paid.

– Contribution by limits:

  If any such other insurance does not provide for contribution by equal shares, this Insurer shall not be liable for a greater proportion of such loss than the applicable limit of liability under this policy for such loss bears to the total applicable limit of liability of all valid and collectible insurance against such loss.

6. **Cancellation** (Articles 2477 and 2479)

This policy may be cancelled at any time:

(a) By mere written notice from each of the Named Insureds. Termination takes effect upon receipt of the notice and the Insured shall therefore be entitled to a refund of the excess of the premium actually paid over the short-term rate for the expired time.

(b) By the Insurer giving written notice to each of the Named Insureds. Termination takes effect fifteen days following receipt of such notice by the Insured at his last known address and the Insurer shall refund the excess of premium actually paid over the pro rata premium for the expired time. If the premium is subject to adjustment or determination as to amount, the refund shall be made as soon as practicable.

Where one or more of the Named Insureds have been mandated to receive or send the notices provided for under paragraph (a) or (b) above, notices sent or received by them shall be deemed to have been sent or received by all Named Insureds.

In this Condition, the words “premium actually paid” mean the premium actually paid by the Insured to the Insurer or its representative, but do not include any premium or part thereof paid to the Insurer by a representative unless actually paid to the representative by the Insured.

7. Notice

Any notice to the Insurer may be sent by any recognized means of communication to the Insurer or its authorized representative. Notice may be given to the named Insured by letter personally delivered to him or by mail addressed to him at his last known address.

It is incumbent upon the sender to prove that such notice was received.

Other Conditions

The Conditions shown below are deemed to be part of every contract of insurance in force in the province of Ontario:

Termination

(1) This contract may be terminated,

(a) by the insurer giving to the insured fifteen days' notice of termination by registered mail or five days' written notice of termination personally delivered or delivered by prepaid courier if there is a record by the person who delivered it that the notice has been sent;

(b) by the insured at any time on request;

(2) Where this contract is terminated by the insurer,

(a) the insurer shall refund the excess of premium actually paid by the insured over the proportionate premium for the expired time, but, in no event, shall the proportionate premium for the expired time be deemed to be less than any minimum retained premium specified; and

(b) the refund shall accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund shall be made as soon as practicable.

(3) Where this contract is terminated by the insured, the insurer shall refund as soon as practicable the excess of premium actually paid by the insured over the short rate premium for the expired time, but in no event shall the short rate premium for the expired time be deemed to be less than any minimum retained premium specified.

(4) The refund may be made by money, postal or express company money order or cheque payable at par.

(5) The fifteen days mentioned in clause (1) (a) of this condition commences to run on the day following the receipt of the registered letter at the post office to which it is addressed.

Notice

(1) Written notice may be given to the insurer in the following ways:

(a) It may be personally delivered at the chief agency or head office of the insurer in the Province.

(b) It may be sent by registered mail to the chief agency or head office of the insurer in the Province.

(c) It may be delivered by electronic means.

(2) Written notice may be given to the insured named in the contract in the following ways:

(a) It may be personally delivered.

(b) It may be delivered by prepaid courier to the latest address of the insured on the records of the insurer if there is a record by the person who has delivered it that the notice has been sent.

(c) It may be sent by registered mail to the latest address of the insured on the records of the insurer.

(d) It may be delivered by electronic means, if the insured consents to delivery by electronic means.

(3) In this condition, the expression "registered" means registered in or outside Canada.

The Condition shown below is deemed to be part of every contract of insurance in force in the province of Manitoba:

Action

Every action or proceeding against an Insurer for the recovery of insurance money payable under the contract is absolutely barred unless commenced within the time set out in the Insurance Act.

Standard Mortgage Clause (6301)

(approved by the Insurance Bureau of Canada)

(For use with Policy Forms outside of Quebec)

It is hereby provided and agreed that:

1. Breach of Conditions by Mortgagor Owner or Occupant

This insurance and every documented renewal thereof – **as to the Interest of the Mortgagee Only Therein** – is and shall be in force notwithstanding any act, neglect, omission or misrepresentation attributable to the mortgagor, owner or occupant of the property insured, including transfer of interest, any vacancy or non-occupancy, or the occupation of the property for purposes more hazardous than specified in the description of the risk;

Provided Always that the Mortgagee shall notify forthwith the Insurer (if known) of any vacancy or non-occupancy extending beyond thirty (30) consecutive days, or of any transfer of interest or increased hazard **that Shall Come to His Knowledge**; and that every increase of hazard (not permitted by the policy) shall be paid for by the Mortgagee – on reasonable demand – from the date such hazard existed, according to the established scale of rates for the acceptance of such increased hazard, during the continuance of this insurance.

2. Right of Subrogation

Whenever the Insurer pays the Mortgagee any loss award under this policy and claims that – as to the Mortgagor or Owner - no liability therefor existed, it shall be legally subrogated to all rights of the Mortgagee against the Insured; but any subrogation shall be limited to the amount of such loss payment and shall be subordinate and subject to the basic right of the Mortgagee to recover the full amount of its mortgage equity in priority to the Insurer; or the Insurer may at its option pay the Mortgagee all amounts due or to become due under the mortgage or on the security thereof, and shall thereupon receive a full assignment and transfer of the mortgage together with all securities held as collateral to the mortgage debt.

3. Other Insurance

If there be other valid and collectible insurance upon the property with loss payable to the Mortgagee – at law or in equity – then any amount payable thereunder shall be taken into account in determining the amount payable to the Mortgagee.

4. Who May Give Proof of Loss

In the absence of the Insured, or the inability, refusal or neglect of the Insured to give notice of loss or deliver the required Proof of Loss under the policy, then the Mortgagee may give the notice upon becoming aware of the loss and deliver as soon as practicable the Proof of Loss.

5. Termination

The term of this mortgage clause coincides with the term of the policy;

Provided Always that the Insurer reserves the right to cancel the policy as provided by Statutory provision but agrees that the Insurer will neither terminate nor alter the policy to the prejudice of the Mortgagee without the notice stipulated in such Statutory provision.

6. Foreclosure

Should title or ownership to said property become vested in the Mortgagee and/or assigns as owner or purchaser under foreclosure or otherwise, this insurance shall continue until expiry or cancellation for the benefit of the said Mortgagee and/or assigns.

Subject to the Terms of this Mortgage Clause (and these shall supersede any policy provisions in conflict therewith **but only as to the Interest of the Mortgagee**), loss under this policy is made payable to the Mortgagee.

Standard Mortgage Clause (6301)

(approved by the Insurance Bureau of Canada)

(For use with Québec Policy Forms only)

It is hereby provided and agreed that:

1. **Breach of Conditions by Mortgagor Owner or Occupant**

   This insurance and every documented renewal thereof – **as to the Interest of the Mortgagee Only Therein** – is and shall be in force notwithstanding any act, neglect, omission or misrepresentation attributable to the Mortgagor, owner or occupant of the property insured, including transfer of interest, any vacancy or non-occupancy, or the occupation of the property for purposes more hazardous than specified in the description of the risk;

   Provided Always that the Mortgagee shall promptly notify the Insurer (if known) of any change that increases the risks stipulated in the policy and that results from events within his control if it is likely to materially influence an insurer in setting the rate of the premium, appraising the risk or deciding to continue to insure it; and that every increase of risk (not permitted by the policy) shall be paid for by the Mortgagee – on reasonable demand – from the date such risk existed, according to the established scale of rates for the acceptance of such increased risk, during the continuance of this insurance.

2. **Right of Subrogation**

   Whenever the Insurer pays the Mortgagee any loss award under this policy and claims that – as to the Mortgagor or Owner – no liability therefor existed, it shall be legally subrogated to all rights of the Mortgagee against the Insured; but any subrogation shall be limited to the amount of such loss payment and shall be subordinate and subject to the basic right of the Mortgagee to recover the full amount of its mortgage equity in priority to the Insurer; or the Insurer may at its option pay the Mortgagee all amounts due or to become due under the mortgage or on the security thereof, and shall thereupon receive a full assignment and transfer of the mortgage together with all securities held as collateral to the mortgage debt.

3. **Other Insurance**

   If there be other valid and collectible insurance upon the property with loss payable to the Mortgagee – at law or in equity – then any amount payable thereunder shall be taken into account in determining the amount payable to the Mortgagee.

4. **Who May Give Proof of Loss**

   In the absence of the Insured, or the inability, refusal or neglect of the Insured to give notice of loss or deliver the required Proof of Loss under the policy, then the Mortgagee may give the notice upon becoming aware of the loss and deliver as soon as practicable the Proof of Loss.

5. **Coverage Period**

   The term of this Mortgage Clause coincides with the term of the policy;

   Cancellation or Amendment

   Provided Always that the Insurer reserves the right to cancel the policy as provided by Article 2477 of the Civil Code of Québec, but agrees that the Insurer will neither cancel nor amend the policy to the prejudice of the Mortgagee without 15 days' notice to the Mortgagee by registered letter.

6. **Transfer of Title**

   Should title or ownership to said property become vested in the Mortgagee and/or assigns as owner or purchaser under foreclosure or otherwise, this insurance shall continue until expiry or cancellation for the benefit of the said Mortgagee and/or assigns.

Subject to the Terms of this Mortgage Clause (and these shall supersede any policy provisions in conflict therewith **but only as to the Interest of the Mortgagee**), loss under this policy is made payable to the Mortgagee.

Cyber and Data Exclusion

Endorsement # N/A

Named Insured	Morgan Stanley Canada Limited		
Policy Number	8835467	**Endorsement Effective Date**	December 15, 2025

This endorsement changes the policy. Please read it carefully.

This endorsement modifies insurance provided by The Zurich Edge II Coverage Form (either of ZC-Edge II-100 or ZC-Edge II-101, whichever applies) attached to this Policy.

Please read this entire endorsement carefully to determine rights, duties and what is and is not covered.

1 Notwithstanding any provision to the contrary within this Policy or any endorsement thereto, this Policy excludes any:

a. **Cyber Loss**, unless subject to the provisions of paragraph 2;

b. loss, damage, liability, claim, cost, expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any loss of use, reduction in functionality, repair, replacement, restoration or reproduction of any **Data**, including any amount pertaining to the value of such **Data**, unless subject to the provisions of paragraph 3;

regardless of any other cause or event contributing concurrently or in any other sequence thereto.

2 Subject to all the terms, conditions, limitations and exclusions of this Policy or any endorsement thereto, this Policy covers physical loss or physical damage to property insured under this Policy caused by any ensuing fire or explosion which directly results from a **Cyber Incident**, unless that **Cyber Incident** is caused by, contributed to by, resulting from, arising out of or in connection with a **Cyber Act** including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any **Cyber Act**.

3 Subject to all the terms, conditions, limitations and exclusions of this Policy or any endorsement thereto, should **Data Processing Media** owned or operated by the Insured suffer physical loss or physical damage insured by this Policy, then this Policy will cover the cost to repair or replace the **Data Processing Media** itself plus the costs of copying the **Data** from back-up or from originals of a previous generation. These costs will not include research and engineering nor any costs of recreating, gathering or assembling the **Data**. If such media is not repaired, replaced or restored the basis of valuation shall be the cost of the blank **Data Processing Media**. However, this Policy excludes any amount pertaining to the value of such **Data**, to the Insured or any other party, even if such **Data** cannot be recreated, gathered or assembled.

4 In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

5 Solely with respect to the coverage limitations expressed in this endorsement, this endorsement supersedes and, if in conflict with any other wording in the Policy or any endorsement thereto having a bearing on **Cyber Loss**, **Data** or **Data Processing Media**, replaces that wording.

Definitions

Solely for the purposes of this endorsement, the following definitions apply to this Policy.

6 **Cyber Loss** means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any **Cyber Act** or **Cyber Incident** including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any **Cyber Act** or **Cyber Incident**.

7 **Cyber Act** means an unauthorized, malicious or criminal act or series of related unauthorized, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **Computer System**.

8 **Cyber Incident** means:

a. any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **Computer System**; or

b. any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **Computer System**.

9 **Computer System** means any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility, owned or operated by the Insured or any other party.

10 **Data** means information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a **Computer System**.

11 **Data Processing Media** means any property insured by this Policy on which Data can be stored but not the **Data** itself.

Except as provided herein, all the terms and conditions of this policy shall have full force and effect.

Trade and Economic Sanctions Limitation

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This endorsement changes the policy. Please read it carefully.

This endorsement modifies insurance provided under the policy it forms part of.

Notwithstanding any other terms under this agreement, no insurer shall be deemed to provide coverage or will make any payments or provide any service or benefit to any insured or other party to the extent that such cover, payment, service, benefit and/or any business or activity of the insured would violate any applicable trade or economic sanctions law or regulation.

Except as provided herein, all the terms and conditions of this policy shall have full force and effect.

International Insurance Program Clause

ZURICH

Endorsement # N/A

Named Insured	Morgan Stanley Canada Limited		
Policy Number	8835467	**Endorsement Effective Date**	December 15, 2025

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided by The Zurich Edge II Coverage Form (form ZC-Edge II-100).

Section 6.2., General Provisions, is amended to include the following additional General Provision:

INTERNATIONAL INSURANCE PROGRAM CLAUSE

This policy is an integral part of an international insurance program administered by the Zurich Group of Companies. The international insurance program is comprised of this policy and one or more other policy(ies) issued to the Named Insured's parent company and, potentially, other subsidiary (or otherwise affiliated) company(ies) of the Named Insured's parent company.

If the policy issued to the Named Insured's parent company is no longer in place (for whatever reason) and if this policy is still in place as of the date the policy issued to the Named Insured's parent company is no longer in place, the cancellation of this policy will be initiated (in accordance with the cancellation provisions of this policy, section 6.2.a., titled Cancellation/Non-Renewal), as of the date the policy issued to the Named Insured's parent company is no longer in place.

Except as provided herein, all the terms and conditions of this policy shall have full force and effect.

Additional Described Cause of Loss – Theft
(and amendments to the Declarations)

ZURICH

Endorsement # 1

Named Insured	Morgan Stanley Canada Limited		
Policy Number	8835467	**Endorsement Effective Date**	December 15, 2025

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies The Zurich Edge II Declarations (form ZC- Edge II-D-100) and The Zurich Edge II Coverage Form (form ZC-Edge II-100).

1. **The Zurich Edge II Declarations are amended as follows:**

   a. Subsection 2.3.f.(3), Described Causes of Loss, is amended to include the following additional Coverage Part and corresponding Limit of Liability:

Limits of Liability	Coverage Part
$137,692,000	THEFT

   b. The subsection described as Exceptions to Policy Deductible(s) within item 2.5.f., Policy Deductible(s), is amended to include the following additional deductible:

   The deductible for loss or damage caused by Theft is:

   $688,460 Property Damage (PD) & $688,460 Time Element (TE)

   per **Occurrence**

2. **The Zurich Edge II Coverage Form is amended as follows:**

   a. Item 5.3., Described Causes of Loss, is amended to include the following additional Described Cause of Loss.

   THEFT

   The Company will pay for direct physical loss of or damage to Property Insured, Time Element loss and Special Coverages loss if such loss or damage is caused by theft. However, ensuing physical loss of or damage to Property Insured caused by fire or explosion will not be considered loss by theft within the terms and conditions of this Policy.

   b. Section 7., Definitions, is amended as follows.

   Definition 7.16., **Described Cause(s) of Loss**, is deleted in its entirety and replaced with the following:

Described Cause(s) of Loss - **Breakdown** of Equipment, **Earth Movement**, **Flood**, **Named Storm**, and Theft.

Except as provided herein, all the terms and conditions of this policy shall have full force and effect.

Additional Described Cause of Loss – Windstorm

ZURICH®

Named Insured	Policy Number	Endorsement Effective Date	Endorsement Number
Morgan Stanley Canada Limited	8835467	15 Dec 2025	2

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies The Zurich Edge II Declarations (form ZC- Edge II-D-100) and The Zurich Edge II Coverage Form (form ZC-Edge II-100).

1. The Zurich Edge II Declarations are amended as follows:

a) Subsection 2.3.f.(3), Described Causes of Loss, is amended to include the following additional Described Cause of Loss:

Limits of Liability	**Coverage Part**
$137,692,000 combined for all coverages Property Damage (PD) and Time Element (TE)	**Windstorm**

b) Subsection 2.3.h., Time Specifications, is amended to include the following additional Time Specification, applicable to **Windstorm**:

Time Specification:

Windstorm	72 Hours

c) Subsection 2.3.g., Causation Definition, is deleted in its entirety and replaced with the following:

Causation Definition: The following term is included in the definition of the **Described Cause(s) of Loss** as indicated:

Storm Surge is part of Flood when caused by a **Windstorm** **Storm Surge** is part of **Flood** when caused **by Named Storm**

d) The subsection described as Exceptions to Policy Deductible(s) within Subsection 2.5.g., Policy Deductible(s), is amended to include the following additional Exception to Policy Deductible(s):

Windstorm:

The following deductible applies to loss or damage caused by or resulting from **Windstorm.**

1. Applicable to loss of or damage to Property Insured at all **Locations**, except **Locations** scheduled onto the Schedule:

   $688,460 Property Damage (PD) & $2,753,840 Time Element (TE), except
   $68,846 combined coverages for locations with respect to TIV less than $25M
   per Occurrence

2. **The Zurich Edge II Coverage Form is amended as follows:**

a) Subsection 5.3., Described Causes of Loss, is amended to include the following additional Described Causes of Loss.

Windstorm

The Company will pay for direct physical loss of or damage to Property Insured, Time Element loss and Special Coverages loss if such loss of or damage is caused by **Windstorm**, regardless of any other cause or event contributing concurrently or in any other sequence of loss. However, ensuing direct physical loss of or damage to Property Insured caused by fire, explosion, theft, vandalism, sprinkler leakage or **Flood** will not be considered to be loss by **Windstorm** within the terms and conditions of this Policy.

All **Windstorm** that occurs within the Time Specification shown hereinabove (of this Endorsement) will constitute a single **Occurrence**. The expiration of this Policy will not reduce that period. The Insured may elect the point in time when the aforementioned Time Specification begins; but such point in time must not precede the loss of or damage to Property Insured. Any loss or damage from such **Windstorm** occurring outside of the period defined in the Declarations for a single **Occurrence** of **Windstorm** will constitute a separate **Occurrence** subject to any additional deductibles and Limits of Liability that apply under this Policy.

b) Section 7., Definitions, is amended to include the following additional definition:

Windstorm means a windstorm with a wind velocity of at least 75 kilometers per hour, tornado or hurricane (other than a tornado or hurricane that is a **Named Storm**).

Furthermore:

a. **Windstorm** does not include **Named Storm.**

b. **Windstorm** also includes **Storm Surge** if in item 1.c. of this Endorsement, Causation Definition, **Storm Surge** is shown to be part of **Windstorm,** except when the **Storm Surge** was caused by **Named Storm**.

c) Each of the following definitions in Section 7., Definitions, are deleted in their entirety and replaced with the following amended definitions:

Described Cause(s) of Loss means **Breakdown** of Equipment, **Earth Movement**, **Flood**, **Named Storm** or **Windstorm**.

Flood means the following:

a. A general and temporary condition of partial or complete inundation of normally dry land areas or structure(s) caused by:

(1) The unusual and rapid accumulation or runoff of surface waters, waves, tides, tidal waves, the release of water, the rising, overflowing or breaking of boundaries of natural or man-made bodies of water; or the spray from any of these, all whether driven by wind or not; or

(2) Mudflow or mudslides caused by accumulation of water on or under the ground.

b. **Flood** also includes the backup of water from a sewer, drain or sump caused in whole or part by **Flood**.

c. **Flood** also includes **Storm Surge** if shown on the Declarations as part of **Flood**.

d. **Flood** does not include **Storm Surge** if shown on the Declarations as part of **Named Storm** or **Windstorm**.

e. **Flood** does not include loss or damage directly or indirectly caused by or resulting from waves, tides, tidal waves or tsunamis, when such waves, tides, tidal waves or tsunamis are caused directly or indirectly by **Earth Movement** regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

Storm Surge - A general and temporary condition of partial or complete inundation by salt or brackish water, caused by wind driven waves that result from a **Windstorm** or **Named Storm**, of normally dry land areas or structure(s) in coastal areas, bays or inland waters connected to an ocean or sea.

3. **Windstorm Zone Schedule of Locations**

Locations that are in a **Windstorm** Zone designated as high hazard or medium hazard, as per the Schedule of Locations hereinbelow.

Windstorm Zones	**Location Number/Address** (insert full address particulars)
High Hazard Zone	
Medium Hazard Zone	

Except as provided herein, all the terms and conditions of this policy shall have full force and effect.

Appendix B –
Earth Movement/Earthquake Zones Worldwide Except USA its Commonwealths and Territories

ZURICH

This list is for informational purposes only and does not convey any coverage under the policy.

Country	Zone	Provinces/Territories/States/Counties
ALBANIA	1	Entire Country
ALGERIA	2	Balance of Country
	4	Adrar, Bechar, Tamanghasset, Ouargla, Illizi, Tindouf, Ghardaia
ANDORRA	4	Entire Country
ANGUILLA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ANTARCTICA	3	Entire Country
ANTIGUA & BARBUDA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ARGENTINA	1	Mendoza, Neuquen, San Juan
	2	Catamarca, Jujuy, Salta, Tucuman
	4	Balance of Country
ARMENIA	1	Entire Country
ARUBA	3	Entire Country
AUSTRALIA including Christmas Island, Cocos (Keeling) Islands	2	Christmas Island , Cocos (Keeling) Islands
	3	Western Australia
	4	Balance of Country
AUSTRIA	4	Entire Country
AZERBAIJAN	1	Entire Country
BAHAMAS	4	Entire Country
BAHRAIN	4	Entire Country
BANGLADESH	1	Entire Country
BARBADOS	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
BELARUS	4	Entire Country
BELGIUM	3	Entire Country
BELIZE	2	Entire Country
BENIN	4	Entire Country
BERMUDA	4	Entire Country

Country	Zone	Provinces/Territories/States/Counties
BHUTAN	1	Balance of Country
	2	Gasa
BOLIVIA	1	La Paz
	2	Oruro, Potosi, Tarija
	3	Beni, Chuquisaca, Cochabamba, Pando, Santa Cruz
BOSNIA & HERZEGOVINA	2	Entire Country
BOTSWANA	4	Entire Country
BRAZIL	4	Entire Country
BRITISH VIRGIN ISLANDS	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
BRUNEI DARUSSALAM	3	Entire Country
BULGARIA	2	Entire Country
BURKINA FASO	4	Entire Country
BURUNDI	2	Entire Country
CAMBODIA	4	Entire Country
CAMEROON	3	Entire Country
CANADA	2	British Columbia, Ontario, Quebec, Yukon except listed postal codes with first 3 characters in Zones 3 and 4
	3	British Columbia Postal Codes: V8C,V8G,V0M,V0T,V0V,V1M,V2P,V2R,V2S,V2T,V2V,V2W,V2X,V2Y,V3B,V3C,V3E,V3G,V3H,V3J,V3K,V3L,V3N,V3R,V3T,V3V,V3Y,V4N,V4R,V4S,V4W,V4X,V4Z,V5A,V5B,V5C,V5E,V5G,V5H,V5J,V5K,V5L,V5M,V5N,V5R,V5T,V5V,V5Y,V5Z,V6A,V6B,V6C,V6E,V6G,V6H,V6J,V6K,V6L,V6R,V6T,V6Z,V7G,V7H,V7J,V7K,V7L,V7M,V7N,V7P,V7R,V7S,V7T,V7V,V7W,V7X,V7Y,V8B,V8J New Brunswick Postal Codes: E1G,E1N,E1V,E1X,E2A,E2E,E2G,E2H,E2J,E2K,E2L,E2M,E2N,E2P,E2R,E2S,E2V,E3A,E3B,E3C,E3E,E3L,E3N,E3V,E3Y,E3Z,E4A,E4B,E4C,E4E,E4G,E4J,E4S,E4T,E4V,E4W,E4X,E4Y,E4Z,E5A,E5B,E5C,E5E,E5H,E5J,E5K,E5L,E5M,E5N,E5P,E5R,E5S,E5T,E5V,E6A,E6B,E6C,E6E,E6G,E6H,E6J,E6K,E6L,E7A,E7B,E7C,E7E,E7G,E7H,E7J,E7K,E7L,E7M,E7N,E7P,E8A,E8B,E8C,E8E,E8G,E8J,E8K,E8L,E8M,E8N,E8P,E8R,E9A,E9B,E9C,E9E,E9G,E9H, Ontario Postal Codes: K0E,K0G,K6T,K6V,K7A,K7H Quebec Postal Codes: G0E,G0J,G0K,G0M,G0N,G0P,G0S,G0V,G0Y,G0Z,G4R,G4S,G5B,G5J,G5X,G5Y,G5Z,G6A,G6B,G6E,G6G,G6H,G6J,G6K,G6L,G6P,G6R,G6S,G6T,G7A,G7B,G7G,G7H,G7J,G7K,G7N,G7P,G7S,G7T,G7X,G7Y,G7Z,G8A,J0A,J0B,J0E,J0H,J0J,J1A,J1C,J1E,J1G,J1H,J1J,J1K,J1L,J1M,J1N,J1R,J1S,J1T,J1X,J2G,J2H,J2J,J2K,J2L,J2M,J2N,J2R,J2S,J2T,J2X,J3M,J9V

Country	Zone	Provinces/Territories/States/Counties
CANADA (continued)	4	British Columbia Postal Codes: V0C,V0J,V1J,V2K,V2M,V0A,V0B,V0E,V0G,V0H,V0K,V0L,V0W,V0X,V1A,V1B,V1C,V1E,V1G,V1H,V1K,V1L,V1N,V1P,V1R,V1S,V1T,V1V,V1W,V1X,V1Y,V1Z,V2A,V2B,V2C,V2E,V2G,V2H,V2J,V2L,V2N,V4T,V4V Ontario Postal Codes: K0H, K0K, K0L, K0M, K7G, K7K, K7L, K7M, K7N, K7P, K7R, K8N, K8P, K8R, K8V, K9A, K9H, K9J, K9K, K9L, K9V, L0A, L0B, L0C, L0E, L0G, L0H, L0J, L0K, L0L, L0M, L0N, L0P, L0R, L0S, L1A, L1B, L1C, L1E, L1G, L1H, L1J, L1K, L1L, L1M,L1N, L1P, L1R, L1S, L1T, L1V, L1W, L1X, L1Y, L1Z, L2A, L2E, L2G, L2H, L2J, L2M, L2N, L2P, L2R, L2S, L2T, L2V, L2W, L3B, L3C, L3K, L3M, L3P, L3R, L3S, L3T, L3V, L3X, L3Y, L3Z, L4A, L4B, L4C, L4E, L4G, L4H, L4J, L4K, L4L, L4M, L4N, L4P, L4R, L4S, L4T, L4V, L4W, L4X, L4Y, L4Z, L5A, L5B, L5C, L5E, L5G, L5H, L5J, L5K, L5L, L5M, L5N, L5P, L5R, L5S, L5T ,L5V ,L5W, L6A, L6B, L6C, L6E, L6G, L6H, L6J, L6K, L6L, L6M, L6P, L6R, L6S, L6T, L6V, L6W, L6X, L6Y, L6Z, L7A, L7B, L7C, L7E, L7G, L7J, L7K, L7L, L7M, L7N, L7P, L7R, L7S, L7T, L8E, L8G, L8H, L8J, L8K, L8L, L8M, L8N, L8P, L8R, L8S, L8T, L8V, L8W, L9A, L9B, L9C, L9G, L9H, L9K, L9L, L9M, L9N, L9P, L9R, L9S, L9T, L9V, L9W, L9Y, L9Z, M1B, M1C, M1E, M1G, M1H, M1J, M1K, M1L, M1M, M1N, M1P, M1R, M1S, M1T, M1V, M1W, M1X, M2H, M2J, M2K, M2L, M2M, M2N, M2P, M2R, M3A, M3B, M3C, M3H, M3J, M3K, M3L, M3M, M3N, M4A, M4B, M4C, M4E, M4G, M4H, M4J, M4K, M4L, M4M, M4N, M4P, M4R, M4S, M4T, M4V, M4W, M4X, M4Y, M5A, M5B, M5C, M5E, M5G, M5H, M5J, M5K, M5L, M5M, M5N, M5P, M5R, M5S, M5T, M5V,M5W, M5X, M6A, M6B, M6C, M6E, M6G, M6H, M6J, M6K, M6L, M6M, M6N, M6P, M6R, M6S, M7A, M7Y, M8V, M8W, M8X, M8Y, M8Z, M9A, M9B, M9C, M9L, M9M, M9N, M9P, M9R, M9V, M9W, N0A, N0B, N0C, N0E, N0G, N0H, N0J, N0K, N0L, N0M, N0N, N0P, N0R, N1A, N1C, N1E, N1G, N1H, N1K, N1L, N1M, N1P, N1R, N1S, N1T, N2A, N2B, N2C, N2E, N2G, N2H, N2J, N2K, N2L, N2M, N2N, N2P, N2R, N2T, N2V, N2Z, N3A, N3B, N3C, N3E, N3H, N3L, N3P, N3R, N3S, N3T, N3V, N3W, N3Y, N4B, N4G, N4K, N4L, N4N, N4S, N4T, N4V, N4W, N4X, N4Z, N5A, N5C, N5H, N5L, N5P, N5R, N5V, N5W, N5X, N5Y, N5Z, N6A, N6B, N6C, N6E, N6G, N6H, N6J, N6K, N6L, N6M, N6N, N6P, N7A, N7G, N7L, N7M, N7S, N7T, N7V, N7W, N7X, N8A, N8H, N8M, N8N, N8P, N8R, N8S, N8T, N8V, N8W, N8X, N8Y, N9A, N9B, N9C, N9E, N9G, N9H, N9J, N9K, N9V, N9Y, P0A, P0B, P0C, P0E, P0G, P0H, P0J, P0K, P0L, P0M, P0N, P0P, P0R, P0S, P0T, P0V, P0W, P0X, P0Y, P1A, P1B, P1C, P1H, P1L, P1P, P2A, P2B, P2N, P3A, P3B, P3C, P3E, P3G, P3L, P3N, P3P, P3Y, P4N, P4P, P4R, P5A, P5E, P5N, P6A, P6B, P6C, P7A, P7B, P7C, P7E, P7G, P7J, P7K, P7L, P8N, P8T, P9A, P9N Quebec Postal Codes: G0C,G0G,G0W,G4T,G4X,G8B,G8C,G8E,G8G, G8H,G8J,G8K,G8L,G8M,G8N,G8P,J0M,J0Y,J0Z,J9P,J9T,J9X,J9Y,J9Z Balance of Country
CAPE VERDE	4	Entire Country

Country	Zone	Provinces/Territories/States/Counties
CAYMAN ISLANDS	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
CENTRAL AFRICAN REPUBLIC	4	Entire Country
CHAD	4	Entire Country
CHILE	1	Entire Country
CHINA	1	Liaoning, Tianjin, Hebei, Shandong, Gansu, Sichuan, Shaanxi, Yunnan
	2	Tibet Autonomous Region, Macau
	3	Balance of Country
	4	Hong Kong
COLOMBIA	1	Antioquia, Cauca, Choco, Narino, Quindio, Risaralda, Valle del Cauca, Bogota
	2	Balance of Country
	3	Amazona, Arauca, Caqueta, Casanare, Guainia, Guaviare, Meta, Putumayo, San Anres and Providencia, Vaupes, Vichada
COMOROS	4	Entire Country
CONGO, REPUBLIC OF	2	Entire Country
COOK ISLANDS	2	Entire Country
COSTA RICA	1	Entire Country
CROATIA	2	Entire Country
CURACAO	3	Entire Country
CYPRUS	2	Entire Country
CZECH REPUBLIC	3	Entire Country
DENMARK	4	Entire Country
DJIBOUTI	2	Entire Country
DOMINICA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
DOMINICAN REPUBLIC	1	Entire Country
ECUADOR	1	Entire Country
EGYPT	2	Cairo, Dakahlia, Damietta, Gharbia, Ismailia, Kafr el-Sheikh, Monufia, North Sinai, Port Said, Red Sea, Sharqia, Suez
	3	Balance of Country
EL SALVADOR	1	Entire Country
EQUATORIAL-GUINEA	4	Entire Country
ERITREA	2	Entire Country
ESTONIA	4	Entire Country
ETHIOPIA	2	Balance of Country
	3	Benishangul, Dure Dawa, Gambela, Harari, Somalia, Tigray
FAROE ISLANDS	4	Entire Country

Country	Zone	Provinces/Territories/States/Counties
FEDERATED STATES OF MICRONESIA	2	Entire Country
FIJI	1	Entire Country
FINLAND	4	Entire Country
FRANCE	3	Entire Country
FRENCH GUIANA	4	Entire Country
FRENCH POLYNESIA	4	Entire Country
GABON	2	Ogooue-Ivindo, Ogooue-Lolo
	3	Balance of Country
GAMBIA	4	Entire Country
GERMANY	3	Entire Country
GHANA	1	Accra
	2	Balance of Country
GIBRALTAR	3	Entire Country
GREECE	1	Entire Country
GREENLAND	3	Entire Country
GRENADA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
GUADELOUPE	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
GUATEMALA	1	Balance of Country
	3	Peten
GUINEA	2	Boke
	3	Balance of Country
GUINEA- BISSAU	3	Entire Country
GUYANA	3	Entire Country
HAITI	1	Entire Country
HONDURAS	1	Balance of Country
	3	Atlantida, Colon, Comayagua, El Paraiso, Francisco Morazan, Gracias a Dios, Islas de la Bahia, Olancho, Yoro
HUNGARY	3	Entire Country
ICELAND	2	Northeast Region, South Region, Southern Peninsula Region, Capital Region
	3	Balance of Country
INDIA	1	Arunachal Pradesh, Assam, Gujarat, Haryana, Himachal Pradesh, Jammu and Kashmir, Manipur, Meghalaya, Mizoram, Nagaland, Punjab, Uttarakhand
	3	Balance of Country

Country	Zone	Provinces/Territories/States/Counties
INDONESIA	2	Balance of Country
	3	(Borneo)-East Kalimantan, South Kalimantan, West Kalimantan, Central Kalimantan, Riau, Jambi, South Sulawesi, Southeast Sulawesi, Bengka-Belitung, West Nusa Tenggara
IRAQ	2	Entire Country
IRELAND	4	Entire Country
ISLE OF MAN	3	Entire Country
ISRAEL	1	Entire Country
ITALY	1	Balance of Country
	3	Liguria, Lombardy, Marche, Piedmont, Aosta Valley, Trentino-Alto Adige/Südtirol, Veneto, Sardinia
IVORY COAST (COTE-D'IVOIRE)	4	Entire Country
JAMAICA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
JAPAN	1	Balance of Country
	2	Prefectures of Akita, Fukui, Fukuoka, Gifu, Gunma, Hiroshima, Ishikawa, Kagoshima, Niigata, Okayama, Okinawa, Saga, Shimane, Tochigi, Tottori, Toyama, Yamaguchi
JORDAN	1	Balance of Country
	3	Ma'an
KAZAKHSTAN	1	Entire Country
KENYA	2	Entire Country
KIRIBATI	2	Entire Country
KOSOVO	3	Entire Country
KUWAIT	4	Entire Country
KYRGYZSTAN (KYRGYZ REPUBLIC)	1	Entire Country
LAOS	2	Balance of Country
	3	Attapu, Bolikhamxai, Champasak, Khammouan, Salavan, Savannakhet, Xekong
LATVIA	4	Entire Country
LEBANON	1	Entire Country
LESOTHO	2	Balance of Country
	3	Berea, Butha-Buthe, Leribe, Mokhotlong, Thaba-Tseka
LIBERIA	4	Entire Country
LIBYA	2	Entire Country
LIECHTENSTEIN	4	Entire Country
LITHUANIA	4	Entire Country
LUXEMBOURG	4	Entire Country
MACEDONIA	1	Entire Country
MADAGASCAR	3	Entire Country

Country	Zone	Provinces/Territories/States/Counties
MALAWI	2	Entire Country
MALAYSIA	3	Entire Country
MALDIVES	4	Entire Country
MALI	4	Entire Country
MALTA	4	Entire Country
MARSHALL ISLANDS	4	Entire Country
MARTINIQUE	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
MAURITANIA	4	Entire Country
MAURITIUS	4	Entire Country
MAYOTTE	2	Entire Country
MEXICO	1	Balance of Country
	4	Chihuahua, Campeche, Coahuila, Durango, Nuevo Leon, Quintana Roo, San Luis Potosi, Sonora, Tamaulipas, Yucatan, Zacatecas
MOLDOVA	2	Entire Country
MONACO	3	Entire Country
MONGOLIA	1	Balance of Country
	2	Govi-Altai, Arkhangai, Bulgan, Selenge, Tov, Ovorkhangai
	3	Khentii, Dundgovi, Dornogovi, Dornod, Sukhbaatar
MONTENEGRO	2	Entire Country
MONTSERRAT	1	Entire Country For Limits
	2	Entire Country for Deductibles
MOROCCO	2	Fès-Boulemane (Fès) , Gharb-Chrarda-Béni Hssen (Kénitra), Tangier-Tétouan (Tangier)
	3	Taza-Al Hoceima-Taounate (Al Hoceima)
	4	Balance of Country
MOZAMBIQUE	2	Manica, Sofala, Zambezia
	3	Balance of Country
NAMIBIA	4	Entire Country
NAURU	2	Entire Country
NEPAL	1	Entire Country
NETHERLANDS	4	Balance of Country
	3	Bonaire
	1	Saba, Sint Eustatius for Limits of Liability
	3	Saba, Sint Eustatius for Deductibles
NEW CALEDONIA	3	Entire Country
NEW ZEALAND	1	Balance of Country
	3	Northland, Auckland, Waikato

Country	Zone	Provinces/Territories/States/Counties
NICARAGUA	1	Balance of Country
	3	RAAN (Bilwi), RAAS (Bluefields)
NIGER	4	Entire Country
NIGERIA	4	Entire Country
NIUE	2	Entire Country
NORFOLK ISLAND	2	Entire Country
NORWAY	4	Entire Country
OMAN	4	Entire Country
PAKISTAN	1	Balance of Country
	3	Punjab
PALAU	2	Entire Country
PALESTINE	1	Entire Country
PANAMA	2	Entire Country
PAPUA NEW GUINEA	1	Entire Country
PARAGUAY	4	Entire Country
PERU	1	Entire Country
PHILIPPINES	1	Entire Country
PITCAIRN ISLANDS	2	Entire Country
POLAND	4	Entire Country
PORTUGAL	2	Lisbon, Santarém, Faro, Azores Autonomous Region
	4	Balance of Country
QATAR	4	Entire Country
REUNION	4	Entire Country
ROMANIA	2	Entire Country
RUSSIAN FEDERATION	1	Kamchatka, Buryatia, Tuva, Altai Republic, Stavropol, Chechnya, Adygea, Krasnodar, Karachay-Cherkessia, Ingushetia, Dagestan, Kabardino-Balkaria, North Ossetia-Alania
	3	Balance of Country
RWANDA	2	Entire Country
SAMOA (WESTERN)	2	Entire Country
SAN MARINO	2	Entire Country
SAO TOME & PRINCIPE	4	Entire Country
SAUDI ARABIA	2	Jizan, Tabuk
	4	Balance of Country
SENEGAL	3	Entire Country
SERBIA	2	Entire Country
SEYCHELLES	4	Entire Country
SIERRA LEONE	4	Entire Country
SINGAPORE	4	Entire Country

Country	Zone	Provinces/Territories/States/Counties
SINT MAARTEN	1	Entire Country for Limits of Liability
	3	Entire Country for Deductibles
SLOVAKIA	3	Entire Country
SLOVENIA	2	Entire Country
SOLOMON ISLANDS	1	Entire Country
SOMALIA	3	Entire Country
SOUTH AFRICA	2	Free State, Western Cape
	3	Balance of Country
SOUTH KOREA	3	Entire Country
SOUTHERN SUDAN	3	Entire Country
SPAIN	2	Andalusia, Murcia
	3	Balance of Country
SRI LANKA	3	Entire Country
ST. BARTHELEMY	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ST. KITTS AND NEVIS	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ST. LUCIA	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ST. MARTIN	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
ST. VINCENT AND THE GRENADINES	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
SURINAME	4	Entire Country
SWAZILAND	2	Entire Country
SWEDEN	4	Entire Country
SWITZERLAND	4	Entire Country
TAIWAN	1	Entire Country
TAJIKISTAN	1	Entire Country
TANZANIA	2	Kigoma, Arusha, Singida, Dodoma, Manyara, Rukwa, Mbeya, Iringa, Ruvuma, Mtwara
	3	Balance of Country

Country	Zone	Provinces/Territories/States/Counties
THAILAND	2	Chiang Rai, Payao, Nan, Chang Mai, Mae Hong Son, Lampang, Lampun, Phrae, Uttaradit, Sukhothai, Tak, Phitsanulok, Kamphaeng Phet, Phichit, Nakhon Sawan, Uthai Thani, Kanchanaburi, Chai Nat, Lop Buri, Sara Buri, Nakon Nayok, Ang Thong, Phra Nakhon Si Ayuthaya, Nakhon Pathom, Sing Buri, Pathum Thani, Bangkok, Samut Songkhram, Samut Sakhon, Nonthaburi, Samut Prakan, Phetchaburi
	3	Balance of Country
TIMOR-LESTE	2	Entire Country
TOGO	3	Entire Country
TONGA	2	Entire Country
TRINIDAD AND TOBAGO	1	Entire Country for Limits of Liability
	2	Entire Country for Deductibles
TUNISIA	2	Ariana, Béja, Ben Arous, Bizerte, Gafsa, Jendouba, Manouba, Monastir, Nabeul, Sousse, Tunis, Zaghouan
	3	Balance of Country
TURKEY	1	Entire Country
TURKMENISTAN	1	Entire Country
TURKS AND CAICOS	1	Entire Country for Limits of Liability
	3	Entire Country for Deductibles
TUVALU	4	Entire Country
UGANDA	2	Entire Country
UKRAINE	4	Entire Country
UNITED ARAB EMIRATES	4	Entire Country
UNITED KINGDOM including Guernsey, Jersey	3	Entire Country
URUGUAY	4	Entire Country
UZBEKISTAN	1	Entire Country
VANUATU	2	Entire Country
VATICAN CITY	1	Entire Country
VENEZUELA	1	Balance of Country
	2	Carabobo, Aragua, Guarico, Vargas, Miranda, Dpto Capital, Anzoategui, Monagas
	4	Delta Amacuro, Bolivar, Amazonas
VIETNAM	2	Lai Chau, Lao Cai, Yen Bai, Son La, Hoa Binh, Vinh Phu, Hanoi, Hai Phong, Ha Tay, Hai Hung, Thai Binh, Nom Ha, Ninh Binh, Thanh Hoa, Nghe An, Ha Tinh, Quang Binh, Quang Ngai, Binh Dinh, Phu Yen, Khanh Hoa, Ninh Thuan
	3	Balance of Country
WESTERN SAHARA	4	Entire Country
YEMEN	4	Entire Country

Country	Zone	Provinces/Territories/States/Counties
ZAMBIA	2	Northern, Southern
	3	Balance of Country
ZIMBABWE	3	Entire Country

Any country not listed is designated as Zone 1 unless stated differently in the Declarations of this Policy.

Appendix E –Flood Zones

This list conveys locations of Property Insured that are in either of a High Hazard **Flood** Zone or a Medium Hazard **Flood** Zone.

Flood Zone	Location Number/Address
High Hazard	140 4th Avenue SW, Calgary, AB
High Hazard	600 3rd Avenue SW, Calgary, AB